MASTER OF COMMERCE
COMMERCE
(MCOM)

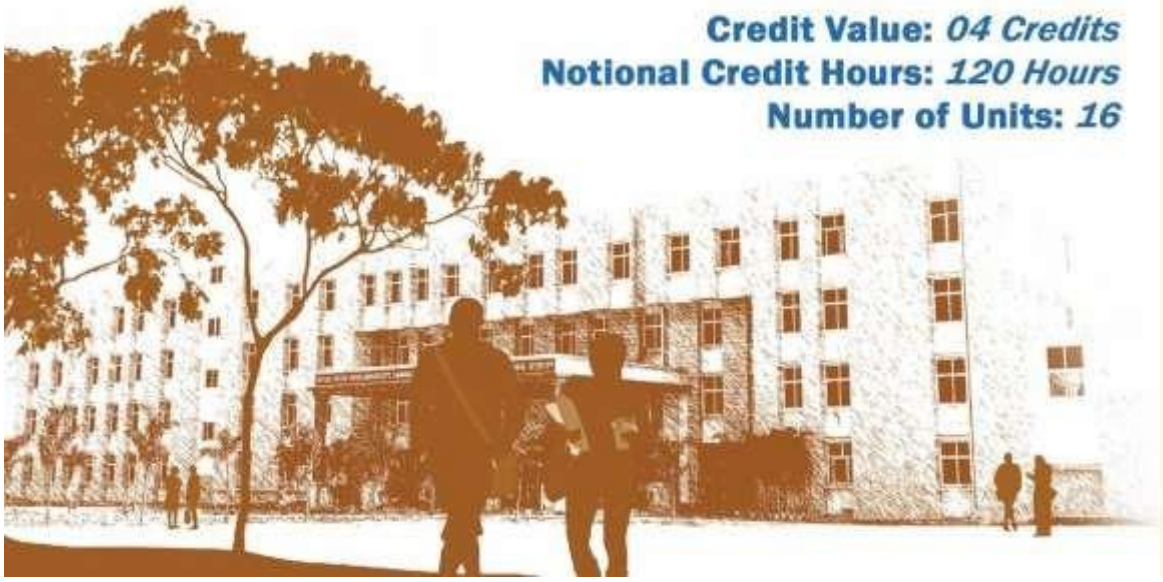
SEMESTER-I

SUBJECT SPECIFIC CORE COURSE

PCO-104:

CORPORATE TAXATION

Credit Value: *04 Credits*
Notional Credit Hours: *120 Hours*
Number of Units: *16*



ଓଡ଼ିଶା ରାଜ୍ୟ ମୁକ୍ତ ବିଶ୍ୱବିଦ୍ୟାଳୟ, ସମ୍ବଲପୁର
ODISHA STATE OPEN UNIVERSITY, SAMBALPUR

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ଓଡ଼ିଶା ରାଜ୍ୟ ମୁକ୍ତ ବିଶ୍ୱବିଦ୍ୟାଳୟ, ସମ୍ବଲପୁର, ଓଡ଼ିଶା
Odisha State Open University, Sambalpur, Odisha
Established by an Act of Government of Odisha.

SLM Structure

Name of the Programme	MASTER OF COMMERCE (COMMERCE)
Credit Value	80 Credits
Notional Credit Hours	2400 Hours

First Semester

Course Code	**PCO-104**
Course Title	Corporate Taxation

Credit Value	04 Credits
Notional Credit Hours	120 Hours

Unit	Name of the Title	Sub Points under the Unit	Page No
1	**Meaning and Purpose of Taxation, Tax Planning, Tax Avoidance, Tax Evasion**	• Learning Outcomes • Bloom's level of learning • Introduction • Evaluation of Taxation in India • Purposes and Justifications for Taxation • classes of Tax • Overview of income tax in india • Basic concept of income tax • Tax Planning • Tax Evasion • Tax Avoidance • To Sum Up • Some Key Words • Assignment Question • Objective Type Question • Bibliography	**1-23**
2	**Corporate Tax Planning, Objectives of Tax Management**	• Learning Outcomes • Bloom's level of learning • Introduction • Corporate Tax Planning • Goals of Corporate Tax Planning • Tax Management • Difference between Tax Planning and Tax Management • Difference between Tax Planning and Tax evasion • Difference between Tax Planning	**24-39**

		and Tax avoidance • Limitation of tax planning • Scope of tax planning • Precaution of Tax Planning • To sum up • Some Key Words • Assignment Question • Objective Type Question • Bibliography	
3	**Corporate Taxation in India**	• Learning Outcomes • Bloom's Level of Learning • Introduction • Corporate Taxation in India • Types of Companies • Sources of Income of a Company • Agricultural Income • Tax Rates • To Sum up • Some Key Words • Assignment Question • Objective Type Question • Bibliography	**40-55**
4	**Set off and Carry forward losses, Advance Tax Planning and Tax Relief**	• Learning Outcomes • Bloom's Level of Learning • Introduction • Set off and carry forward of Losses • Carry Forward of Losses: • Basic Rules for Set-off and Carry Forward of Losses • Advance Tax Payment and Relief • Who is Required to Pay Advance Tax? • To Sum Up • Some Key Words • Assignment Question • Objective Type Question • Bibliography	**56-76**

5	• **Residential Status of a Company**	• Learning Outcomes • Bloom's Level of Learning • Introduction • Residential Status • Importance of Residential status • Classification of Residential Status under Income Tax • Case studies on Residential Status • Double Taxation • Tax Applicability for Different Residential Statuses • To sum up • Some key words • Assignment Question • Objective Type Question • Bibliography	**77-93**
6	**Taxable Income of Company**	• Learning Outcomes • Bloom's level of learning • Introduction • Taxable Income of Companies • Deductibility of Expenses • Steps to Compute Taxable Income of Companies • Assessment of Firm • Case studies • Calculating a Company's Taxable Income • To Sum Up • Some Key Words • Assignment question • Objective types Question • Bibliography	**94-115**
7	**Minimum Alternate Tax (MAT) Provisions**	• Learning Outcomes • Bloom's level of Learning • Introduction • Meaning of Minimum Alternate Tax (MATS) • Payment of the Taxes • Determining Book Profit Under Section 115JB • Tax Credit for Minimum Alternate Tax (MAT) Payments • Certification Requirements: • Summary of Minimum Alternative Tax (MAT) provisions • Exceptions to Minimum Alternative Tax (MAT)	**116-129**

		• To Sum Up • Some Key Words • Assignment Question • Objective Types of Question • Bibliography	
8	**Taxation on Distributed Profits of Domestic Companies**	• Learning Outcomes • Bloom's Level of Learning • Introduction • Meaning of Dividend Distribution Tax (DDT) • Section 115-O: Tax on distributed profits • Section 115Q: Deemed default of company • Dividend Distribution Tax Rates (DDT) as on 1 April 2010: • Tax on Income Distributed To Shareholders • To Sum Up • Some Key Words • Assignment question • Objective Type of Question • Bibliography	**130-140**
9	**Tax Consideration in Specific Managerial Decisions: Tax Planning Regarding Employees Remuneration**	• Learning Outcome • Bloom's Level of Learning • Introduction • Tax Planning Regarding Employees Remuneration • Key Elements • Salary • Allowances • Perquisites • To Sum Up • Some Key Words • Assignment Question • Objective Types Question • Bibliography	**141-160**
10	• **Regarding Fringe Benefit Planning**	• Learning Outcomes • Bloom's Level of Learning • Introduction • Meaning of Fringe Benefit • Treatment of Fringe Benefit • Payment of Fringe Benefit Tax • Brief summary of Fringe Benefits • To Sum Up • Some Key Words	**161-173**

		• Assignment Question • Objective Types Question • Bibliography	
11	**Tax Consideration Financial Management Decisions: Capital Structure Decisions - Need, Factors and Guidelines**	• Learning Outcomes • Bloom's Level of Learning • Introduction • Capital Structure • Importance of capital structure • Factors Influencing Capital Structure • Theories of capital structure • Guidelines for Capital Structuring • Tax Planning and Capital Structure Decision • To Sum Up • Some Key Words • Assignment Question • Objective Types of Question • Bibliography	**174-186**
12	**Dividend Policy – Meaning, types and its Distribution, Dividend Distribution Tax (DDT), Issue of Bonus Share**	• Learning Outcomes • Bloom's Level of Learning • Introduction • Meaning of Dividend • Types of Dividends • Dividend Policy • Determinant Factors of Dividends • Tax Implications of Dividend Policy • Issue of Bonus Shares • Advantages of Issuing Bonus Shares • To Sum Up • Some Key Words • Assignment question • objective Types Question • Bibliography	**187-198**

13	**Companies Established in Free Trade Zones (FTZs)**	• Learning Outcomes • Bloom's Level of Learning • Introduction • Meaning of Free Trade Zone • Advantages of FTZs • Types of Free Trade Zones • Incentives for New Businesses in Free Trade Zones (FTZs) and Special Economic Zones (SEZs) • Estimated computation of business profits and income for eligible undertakings • To Sum Up • Some Key Words • Assignment Question • Objective Type Question • Bibliography	**199-209**
14	**Enterprises set up in Special Economic Zones (SEZs), newly set up in 100% Export Oriented Units (EOUs)**	• Learning Outcomes • Bloom's Level of Learning • Introduction • Meaning and Objectives • Governance Structure of Special Economic Zones (SEZs) • Facilities and Incentives in Special Economic Zones • 100% Export Oriented Units (EOUs) Newly Established Enterprises • Difference between EOU and SEZ • Advantages of Export Oriented Units (EOUs) • To Sum up • Some Key Words • Assignment Question • Objective Types Question • Bibliography	**210-219**

15	**Mergers and Amalgamations, Tax Implications for Foreign Partnerships**	• Learning Outcomes • Bloom's Level of Learning • Introduction • Types of Amalgamations • Mergers • Reasons for mergers and consolidations • Business Growth Benefits • Laws Applicable to Mergers and Amalgamations in India • Merger and Amalgamation Procedure • To Sum up • Some Key Words • Assignment Question • Objective Type of Question • Bibliography	**220-232**
16	**Corporate Tax Structure for Domestic Startups**	• Learning Outcomes • Bloom's Level of Learning • Introduction • Tax Incentives for Startups • Angel Tax Exemption for Startups • Deduction under Section 80-IAC for Eligible Startups • Meaning of Sale of Scientific Research Asset • Tax Treatment of Sale of Scientific Research Asset • Recalculation of Profits • Limitation on double deduction • Other significant changes: • To Sum Up • Some Key Words • Assignment Question • Objective Types Question • Bibliography	**233-242**

ODISHA STATE OPEN UNIVERSITY, SAMBALPUR

Programme Name: MASTER OF COMMERCE (COMMERCE)

Course Name: Corporate Taxation **Course Code:** PCO-104

Semester: 1 **Credit:** 4 **Unit No.** 1 to 16 **Page: 242**

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Odisha State Open University, Sambalpur

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PREFACE

In the rapidly evolving economic and regulatory landscape of India, corporate taxation stands as a cornerstone in the strategic financial planning of businesses. With the globalization of markets and an increasingly complex fiscal environment, the need for a structured and conceptual understanding of tax planning, tax management, and statutory compliance has become paramount. This textbook is crafted to serve as a rigorous academic and professional guide, bridging theoretical constructs with real-world applicability in the domain of corporate taxation.

The content is meticulously organized into sixteen chapters, each targeting a critical dimension of corporate tax law and practice in India. Beginning with foundational principles such as the meaning, purpose, and classification of taxes, the book progresses into nuanced topics like tax avoidance, tax evasion, corporate tax planning, MAT provisions, taxation in special economic zones, and implications of mergers and acquisitions. A focused discussion on tax considerations in managerial decisions—including employee remuneration, capital structuring, and dividend policy—equips future tax professionals with a strategic lens.

Special emphasis is placed on recent legislative developments, such as provisions for startups under Section 80-IAC and the evolving framework around Free Trade Zones (FTZs), Export Oriented Units (EOUs), and angel tax exemptions. Case studies and real-life illustrations are integrated to foster analytical thinking and practical insight, in line with Bloom's Taxonomy of Learning Domains.

Each chapter is designed to enhance both conceptual clarity and analytical ability, featuring learning outcomes, assignment prompts, objective questions, and keywords to aid retention and application. The inclusion of Indian jurisprudence and taxation principles under the Income Tax Act, 1961, ensures that the reader remains grounded in statutory accuracy while exploring the strategic implications of taxation in corporate decision-making.

This work is intended not only for students pursuing professional degrees in finance, taxation, law, or business management, but also for practitioners and policymakers who seek to engage with tax structures that impact corporate performance and national economic growth. By interweaving policy, compliance, and strategy, this volume aspires to cultivate a generation of tax leaders equipped with ethical judgment, analytical rigor, and domain expertise.

UNIT – 1
MEANING AND PURPOSE OF TAXATION, TAX PLANNING, TAX AVOIDANCE, TAX EVASION

Structure

1.0 Learning Outcomes
1.1 Bloom's level of learning
1.2 Introduction
1.3 Evaluation of Taxation in India
1.4 Purposes and Justifications for Taxation
1.5 classes of Tax
1.6 Overview of income tax in india
1.7 Basic concept of income tax
1.8 Tax Planning
1.9 Tax Evasion
1.10 Tax Avoidance
1.11 To Sum Up
1.12 Some Key Words
1.13 Assignment Question
1.14 Objective Type Question
1.15 Bibliography

1.0 Learning Outcomes

After completion of this unit, a student is expected to have a clear idea of the following concepts:

- Evaluation of Taxation in India
- Purpose and Justification of Taxation
- Classes of Tax
- Some basic concept of tax
- Tax Planning
- Tax Evasion
- Tax Avoidance

1.1 Bloom's levels of learning

1. Remembering (Knowledge)

- Objective: Recall basic definitions and concepts.
- Examples:
  - Define tax planning, tax evasion, and tax avoidance.
  - List types of tax planning (short-term, long-term, permissive, purposive).
  - Identify sections of the Income Tax Act related to penalties for tax evasion.

2. Understanding (Comprehension)

- Objective: Explain concepts in your own words.
- Examples:
  - Differentiate between tax avoidance and tax evasion.
  - Explain why tax planning is considered legal and ethical.
  - Illustrate with examples how tax avoidance works within the framework of the law.

3. Applying (Application)

- Objective: Use knowledge in practical situations.
- Examples:
  - Apply tax planning strategies to minimize tax liability legally.
  - Analyze a case to determine whether it is tax evasion or tax avoidance.
  - Prepare a basic tax-saving plan for a salaried individual.

4. Analyzing (Analysis)

- Objective: Break down concepts into parts and examine relationships.
- Examples:
  - Analyze the ethical implications of tax avoidance.
  - Distinguish between legitimate tax planning and aggressive tax avoidance schemes.
  - Examine the motives behind tax evasion and its consequences.

5. Evaluating (Evaluation)

- Objective: Make judgments based on criteria.
- Examples:
  - Evaluate the effectiveness of tax planning measures.
  - Justify whether a given tax strategy is ethical or not.
  - Critique a company's tax strategy in terms of legality and morality.

6. Creating (Synthesis)

- Objective: Formulate new patterns or structures.
- Examples:
  - Design a comprehensive tax planning framework for an SME.
  - Develop a policy recommendation to curb tax evasion and promote ethical tax planning.
  - Construct a comparison model showing how tax planning differs from evasion and avoidance in different countries.

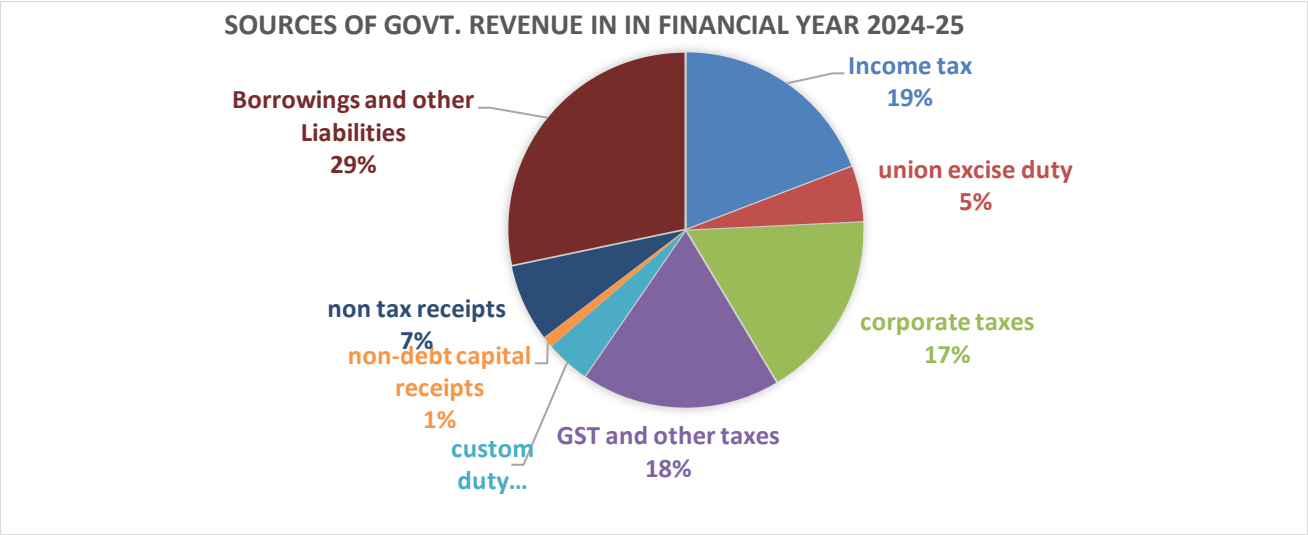
1.2 Introduction

Taxation is the primary means by which governments worldwide generate revenue to fund public goods and services. This revenue is typically collected through various direct and indirect taxes, including income tax, sales tax, property tax, and corporate tax. Taxes are levied in nearly every country, primarily to raise funds for government expenditures.

In India, the taxation system serves multiple purposes beyond revenue generation. It supports economic development, reduces income inequality, funds social welfare programs, and regulates economic activities to ensure sustainable growth and stability. Thus, taxation plays a vital role in promoting India's economic and social development.

Tax is the compulsory extraction made by either central, state or local government from the eligible person (assessee) for the benefit of general public. Generally tax payer cannot claim equal benefit in return of tax payment. So we can say that taxes are what we pay for civilized society. We can say that taxes are the grass root for economic development because it is the huge source of government. It is distributed by government at the deficit and needy places through

fiscal policy.



In the above pie chart, we can see nearly 60% revenue came from taxes so you can imagine the importance of taxes.

1.3 Evolution of Taxation in India

The evolution of India's tax system dates back to ancient times, with texts like the Mahabharata, Manusmriti, Arthasatra, and Sukranitican providing a thorough methodology for taxation. These treaties covered tax rates, administration, and revenue collection, and were instrumental in shaping India's tax system. Ancient Indian taxation was also influenced by individuals like Byasa, Manu, Koutilya, and Sukra.

The British East India Company's financial stability was severely impacted by the Sepoy Mutiny in 1857, leading to the introduction of the first Income Tax Act in February 1860. This act was sponsored by James Wilson and marked the birth of India's tax system. The act was designed to address the financial crisis faced by the British government, and was a significant milestone in the evolution of India's tax system. The British government experimented with various measures to fill its treasury, and some of these measures were successful in increasing revenue.

Post-independence, India's tax system underwent significant changes with the adoption of the Income Tax Act of 1961. This act drastically altered the income tax structure and paved the way for regular changes and reforms. The act provides for the scope and apparatus for levy and

collection of income tax in India, and is supported by the Income Tax Rules, 1962, and several other subordinate rules and regulations. The Central Board of Direct Taxes (CBDT) and the Ministry of Finance, Government of India, have been empowered to issue circulars and notifications dealing with various aspects of the act.

1.4 Purposes and Justifications for Taxation

Taxation serves several key purposes in society. Firstly, it enables governments to fund essential public goods and services, such as infrastructure, education, and healthcare, thus promoting societal well-being. Taxes also facilitate wealth redistribution, bridging economic gaps through social programs and initiatives.

Furthermore, taxation regulates economic activities, discouraging harmful practices through targeted levies. It stabilizes the economy by providing governments with resources for strategic spending and investment. Ultimately, taxation promotes social justice by ensuring that all citizens contribute their fair share to national growth and development.

The purposes and impact of taxation can be categorized into four areas:

- Generating Resources
- Equity and Growth
- Behavior
- Social Contract

Generating Resources: Taxation is crucial for generating resources that governments use to provide essential public services. Taxes fund fundamental aspects of functioning societies, including healthcare, education, and social services. Research indicates that a minimum tax revenue of 15% of a country's gross domestic product is necessary to deliver basic services.

However, taxation is only one side of the equation; the allocation of tax revenue also significantly impacts citizens' lives. Studies show a strong correlation between taxation and happiness, with countries having the highest tax rates consistently ranking among the top ten happiest nations. This positive link can be attributed to citizen satisfaction with public services. In essence, higher taxes enable governments to provide improved social benefits, healthcare,

education, employment opportunities, and infrastructure, ultimately leading to greater citizen satisfaction.

Equity and Growth: Beyond revenue generation, taxation can drive economic growth, social equality, and mobility. A well-structured tax system can be a powerful developmental tool. Economists argue that fiscal and tax systems should be reformed to promote progressive taxation, stimulating economic growth, reducing inequality, and fostering social cohesion. Governments must balance tax rates and bases to achieve this.

An equitable tax system should ensure a fair distribution of the tax burden, protecting underprivileged households. Excessively high tax rates can inhibit private sector development and discourage formal business practices. Smaller businesses, in particular, require lower tax rates to thrive, despite their limited contribution to government revenue. By striking the right balance, governments can create a tax system that fosters economic growth, social equality, and overall development.

Behavior: Taxation is also a powerful tool for influencing behavior and promoting positive outcomes. Historically, governments have used taxes to encourage healthy behaviors and deter undesirable ones. For example, tobacco taxes have effectively reduced tobacco consumption, while environmental taxes have helped protect natural resources. By leveraging taxation, governments can profoundly impact human development.

The implications of taxation extend beyond public health and the environment; they also impact social issues such as gender equality. Research indicates that tax policies can influence people's behaviors and choices, affecting health outcomes, gender equity, and environmental sustainability. Ultimately, the tax policies implemented by governments shape societal direction, making informed decision-making essential for creating a more equitable and sustainable future.

Social Contract: Effective tax administration can transform the relationship between citizens and their government. Taxation is not merely a means of funding public goods and services; it also plays a pivotal role in the social contract between citizens and the state. The methods of tax collection and expenditure can influence a government's legitimacy.

When citizens perceive the tax system as fair and value the public services they receive, they are

more likely to comply with tax laws. Building trust in government is crucial for fostering tax morale—the citizens' sense of moral obligation to contribute to society through taxes. To achieve this, governments must prioritize improving tax system design and administration, thereby enhancing public trust and promoting civic responsibility.

1.5 classes of Tax

Direct Taxes: Direct taxes are levied on an individual's income or wealth, with the tax burden falling directly on the taxpayer. These taxes cannot be transferred to others and are collected directly by the government from the taxpayer's income or profits.

Examples of direct taxes in India include:

1. **Income Tax:** This tax applies to income earned by individuals and businesses, with rates varying based on income brackets and applicable deductions.
2. **Corporate Tax:** Companies are taxed on their profits, with rates varying by company type and size.

Other examples include Wealth Tax, Inheritance Tax, and Capital Gains Tax. These taxes are a significant revenue source for the government, enabling funding for public goods and services.

Indirect Taxes: Indirect taxes are levied on the value of goods and services consumed, rather than on income or profits. These taxes are included in the final price paid by consumers, with sellers acting as collection agents, effectively passing the tax burden to consumers.

Before July 1, 2017, India had a complex system of indirect taxes, including service tax, sales tax, value-added tax (VAT), central excise duty, and customs duty. This multiplicity of taxes created administrative challenges and compliance difficulties for businesses.

The introduction of the Goods and Services Tax (GST) revolutionized the tax landscape. GST replaced a multitude of indirect taxes, simplifying the system and consolidating various levies into a single, unified tax. This reform streamlined compliance, reduced administrative burdens, and alleviated the tax burden on businesses. GST is a destination-based tax which is shifted from one person to another person and fall on the final consumer. There are various types of GST,

such are

- **CGST**-Central Goods and Service Tax that is collected by government and valid on intrastate transaction.
- **SGST**- State Goods and Service Tax that is collected by government and valid on intrastate transaction.
- **IGST**- Integrated Goods and Service Tax that is collected by government and valid on interstate transaction.
- **UTGST**- Central Goods and Service Tax that is collected by Union government and valid on union territory transaction.

1.6 Overview Of Income Tax Law In India

Income tax is a tax levied on the total income of the previous year of every person. A person includes an individual, Hindu Undivided Family (HUF), Association of Persons (AOP), Body of Individuals (BOI), a fi rm, a company etc. Income tax is the most significant direct tax. The income tax law in India consists of the following components

Components of Income Tax Law

The various instruments of law containing the law relating to income tax are explained below:

1. Income tax Act: The collection of income tax in India is governed by the Income tax Act, 1961. This Act came into force on 1st April, 1962. The Act contains 298 sections and XIV schedules. These act changes every year with additions and deletions brought about by the Finance Act passed by Parliament. In pursuance of the power given by the Income tax Act, 1961 rules have been framed to facilitate proper administration of the Income tax Act.

2. Finance Act: Every year, the Finance Minister of the Government of India presents the budget to the Parliament. Part A of the budget speech contains the proposed policies of the Government in fiscal areas. Part B of the budget speech contains the detailed tax proposals. In order to implement the above proposals, the Finance Bill is introduced in the Parliament. Once the Finance Bill is approved by the Parliament and gets the assent of the President, it becomes the Finance Act.

3. Income tax Rules: The administration of direct taxes is looked after by the Central Board of Direct Taxes (CBDT). The CBDT is empowered to make rules for carrying out the purposes of the Act. For the proper administration of the Income tax Act, the CBDT frames rules from time to time. These rules are collectively called Income tax Rules, 1962. It is important to keep in mind that along

with the Income tax Act, 1961, these rules should also be studied.

4. Circulars and Notifications: Circulars are issued by the CBDT from time to time to deal with certain specific problems and to clarify doubts regarding the scope and meaning of the provisions. These circulars are issued for the guidance of the officers and/or assesses. The department is bound by the circulars. While such circulars are not binding the assesses they can take advantage of beneficial circulars.

5. Judiciary: The study of case laws is an important and unavoidable part of the study of income tax law. It is not possible for Parliament to conceive and provide for all possible issues that may arise in the implementation of any Act. Hence the judiciary will hear the disputes between the assesses and the department and give decisions on various issues. The Supreme Court is the Apex Court of the country and the law laid down by the Supreme Court is the law of the land. The decisions given by various High Courts will apply in the respective states in which such High Courts have jurisdiction.

1.7 Basic Concepts of Income Tax

Section 2 of the Act gives definitions of the various terms and expressions used therein. In order to understand the provisions of the Act, one must have a thorough knowledge of the meanings of certain key terms like 'person', 'assessee', 'income', etc. To understand the meanings of these terms we have to first check whether they are defined in the Act itself. If a particular definition is given in the Act itself, we have to be guided by that definition. If a particular definition is not given in the Act, reference can be made to the General Clauses Act or dictionaries. Students should note this point carefully because certain terms like "dividend", "transfer", etc. have been given a wider meaning in the Income tax Act, 1961 than they are commonly understood. Some of the important terms defined under section 2 are given below:

(1) Assessee [Section 2(7)]: 'Assessee' is the person who is liable to pay the tax under the rule of income tax act 1961, such person includes

(a) every person in respect of whom any proceedings under this act have been taken for the assessment.

(i) of his income or of the income of any other person in respect of which he is assessable; or

(ii) of the loss sustained by him or by such other person; or

(iii) of the amount of refund due to him or to such other person;

(b) every person who is deemed to be an assessee under any provision of this Act.

(c) every person who is deemed to be an assessee in default under any provisions of this act.

(2) Person [Section 2(31)]: The definition of 'assessee' leads us to the definition of 'person' as the former is closely connected with the latter. The term 'person' is important from another point of view also viz.; the charge of income tax is on every 'person'.

The definition is inclusive i.e. a person includes,

- an individual,
- a Hindu Undivided Family (HUF),
- a company,
- a firm,
- an AOP or a BOI, whether incorporated or not,
- a local authority, and
- every artificial juridical person e.g., an idol or deity.

We may briefly consider some of the above seven categories of assessees each of which constitute a separate unit of assessment.

(i) Individual: The term 'individual' means only a natural person, i.e., a human being. It includes both males and females. It also includes a minor or a person of unsound mind. But the assessment in such a case may be made under section 161(1) on the guardian or manager of the minor or lunatic. In the case of deceased person, assessment would be made on the legal representative.

(ii) HUF: Under the Income tax Act, a Hindu Undivided Family (HUF) is treated as a separate entity for the purpose of assessment. It is included in the definition of the term "person" under section 2(31). The levy of income tax is on "every person".Therefore, income tax is payable by a HUF. "Hindu undivided family" has not been defined under the Income tax Act. The expression is however defined under the Hindu Law as a family, which consists of all males lineally descended from a common ancestor and includes their wives and unmarried daughters. The relation of a HUF does not arise from a contract but arises from status.

A Hindu is born into a HUF. A male member continues to remain a member of the family until there is a partition of the family. After the partition, he ceases to be a member of one family. However, he becomes a member of another smaller family. A female member ceases to be a member of the HUF in which she was born, when she gets married. Thereafter, she becomes a member of the HUF of her husband. Some members of the HUF are called coparceners. They are related to each other and to

the head of the family. HUF may contain many members, but members within four degrees including the head of the family (kartha) are called coparceners.

A Hindu coparcenary includes those persons who acquire by birth an interest in the joint coparcenary property. Only the coparceners have a right to partition. A Jain undivided family would also be assessed as a HUF, as Jains are also governed by the laws as Hindus.

(iii) Company [Section 2(17)]: For all purposes of the Act the term 'Company', has a much wider connotation than that under the Companies Act. Under the Act, the expression 'Company' means:

(a) any Indian company as defined in section 2(26); or

(b) anybody corporate incorporated by or under the laws of a country outside India, i.e., any foreign company; or

(c) any institution, association or body which is assessable or was assessed as a company for any assessment year under the Indian Income tax Act, 1922 or for

any assessment year commencing on or before 1.4.1970 under the present Act;

(d) any institution, association or body, whether incorporated or not and whether Indian or non-Indian, which is declared by a general or special order of the CBDT to be a company for such assessment years as may be specified in the CBDT's order.

There are two types of companies:

(1) Domestic Company [Section 2(22A)]: means an Indian company or any other company which, in respect of its income liable to income tax, has made the prescribed arrangements for the declaration and payment of dividends (including dividends on preference shares) within India, payable out of such income.

(2) Foreign Company [Section 2(23A)]: Foreign company means a company which is not a domestic company.

(iv) Firm: The terms 'firm', 'partner' and 'partnership' have the same meanings as assigned to them in the Indian Partnership Act. In addition, the definitions also include the terms as they have been defined in the Limited Liability Partnership (LLP) Act, 2008. However, for income tax purposes a minor admitted to the benefits of an existing partnership would also be treated as partner. This is specified under section 2(23) of the Act. A partnership is the relation between persons who have agreed to share the profit of business carried on by all or any of them acting for all. The persons who have entered into partnership with one another are called individually 'partners' and collectively a 'firm'.

Notes

1. Consequent to the Limited Liability Partnership Act, 2008 coming into effect in 2009 and notification of the Limited Liability Partnership Rules w.e.f. 1st April, 2009, the Finance (No.2) Act, 2009 has incorporated the taxation scheme of LLPs in the Income tax Act on the same lines as applicable for general partnerships, i.e. tax liability would be attracted in the hands of the LLP and tax exemption would be available to the partners. Therefore, the same tax treatment would be applicable for both general partnerships and LLPs.

2. Consequently, the following definitions in section 2(23) have been amended –

(a) The definition of 'partner' to include within its meaning, a partner of a limited liability partnership;

(b) The definition of 'fi rm' to include within its meaning, a limited liability partnership; and

(c) The definition of 'partnership' to include within its meaning, a limited liability partnership.

(v) Association of Persons (AOP): When persons combine together for promotion of joint enterprise, they are assessable as an AOP when they do not in law constitute a partnership. In order to constitute an association, persons must join in a common purpose, common action and their object must be to produce income; it is not enough that the persons receive the income jointly. Co-heirs, co-legatees or co-donees joining together for a common purpose or action would be chargeable as an AOP. Body of Individuals (BOI): It denotes the status of persons like executors or trustees who merely receive the income jointly and who may be assessable in like manner and to the same extent as the beneficiaries individually. Thus co-executors or co-trustees are assessable as a BOI as their title and interest are indivisible. Income tax shall not be payable by an assessee in respect of the receipt of share of income by him from BOI and on which the tax has already been paid by such BOI.

(vi) Local Authority: The term means a municipal committee, district board, body of port commissioners or other authority legally entitled to or entrusted by the Government with the control or management of a municipal or local fund. A local authority is taxable in respect of that part of its income which arises from any business carried on by it in so far as that income does not arise from the supply of a commodity or service within its own jurisdictional area. However, income arising from the supply of water and electricity even outside the local authority's own jurisdictional areas is exempt from tax.

(vii) Artificial Persons: This category could cover every artificial juridical person not falling under other heads. An idol or deity would be assessable in the status of an artificial juridical person.

(3) Income [Section 2(24)]: Section 2(24) of the Act gives a statutory definition of income. This definition is inclusive and not exhaustive. Thus, it gives scope to include more items in the definition of income as circumstances may warrant. At present, the following items of receipts are included in income:

- Profits and gains.
- Dividends.
- Voluntary contributions received by a trust/institution created wholly or partly for charitable or religious purposes or by an association.
- The value of any perquisite or profit in lieu of salary taxable under section 17.
- Any special allowance or benefit other than the perquisite included above, specifically granted to the assessee to meet expenses wholly, necessarily and exclusively for the performance of the duties of an office or employment of profit.
- Any allowance granted to the assessee to meet his personal expenses at the place where the duties of his office or employment of profit are ordinarily performed by him or at a place where he ordinarily resides or to compensate him for the increased cost of living.
- The value of any benefit or perquisite whether convertible into money or not, obtained from a company either by a director or by a person who has a substantial interest in the company or by a relative of the director or such person and any sum paid by any such company in respect of any obligation which, but for such payment would have been payable by the director or other person aforesaid.
- The value of any benefit or perquisite, whether convertible into money or not, which is obtained by any representative assessee mentioned under section 160(1)(iii) and (iv), or by any beneficiary or any amount paid by the representative assessee for the benefit of the beneficiary which the beneficiary would have ordinarily been required to pay.
- Deemed profit chargeable to tax under section 41 or section 59.
- Profits and gains of business or profession chargeable to tax under section 28.
- Any capital gains chargeable under section 45.
- The profits and gains of any insurance business carried on by Mutual Insurance Company or by a co-operative society, computed in accordance with Section 44 or any surplus taken to be such profits and gains by virtue of the provisions contained in the First Schedule to the Act.
- The profits and gains of any business of banking (including providing credit facilities)

carried on by a co-operative society with its members.

- Any winnings from lotteries, cross-word puzzles, races including horse races, card games and other games of any sort or from gambling, or betting of any form or nature whatsoever. For this purpose,
- "Lottery" includes winnings, from prizes awarded to any person by draw of lots or by chance or in any other manner whatsoever, under any scheme or arrangement by whatever name called;
- "Card game and other game of any sort" includes any game show, an entertainment programmed on television or electronic mode; in which people compete to win prizes or any other similar game.
- Any sum received by the assessee from his employees as contributions to any Provident Fund (PF) or superannuation fund or Employees State Insurance Fund (ESI) or any other fund for the welfare of such employees.
- Any sum received under a Keyman insurance policy including the sum allocated by way of bonus on such policy will constitute income.
- "Keyman insurance policy" refers to a life insurance policy taken by a person on the life of another person where the latter is or was an employee or is or was connected in any manner whatsoever with the former's business.
- Any sum referred to clause of Section 28. Thus, any sum, whether received or receivable in cash or kind, under an agreement for not carrying out any activity in relation to any business; or not sharing any know-how, patent, copy right, trademark, license, franchise, or any other business or commercial right of a similar nature, or information or technique likely to assist in the manufacture or processing of goods or provision of services, shall be chargeable to income tax under the head "profits and gains of business or profession".
- Any sum of money or value of property referred to in section 56(2)(vii) or section 56(2)
- Any consideration received for issue of shares as exceeds the fair market value of shares referred to in section 56(2)(viib).

(4) Dividend [Section 2(22)]: The term 'dividend' as used in the Act has a wider scope and meaning than under the general law. According to section 2(22) of the Act, the following receipts are deemed to be dividend:

(a) Distribution of accumulated profits, entailing the release of company's assets: Any distribution of accumulated profits, whether capitalized or not, by a company to its shareholders is dividend if it

entails the release of all or any part of its assets.

For example, if accumulated profit are distributed in cash it is dividend in the hands of the shareholders. Where accumulated profits are distributed in kind, for example by delivery of shares etc. entailing the release of company's assets, the market value of such shares on the date of such distribution is deemed dividend in the hands of the shareholder [section 2(22)(a)].

(b) Distribution of debentures, deposit certificates and bonus shares to preference shareholders:

Any distribution to its shareholders by a company of debenture stock or deposit certificate in any form, whether with or without interest, and any distribution of bonus shares to preference shareholders to the extent to which the company possesses accumulated profits, whether capitalized or not, will be deemed as dividend. The market value of such bonus shares is taxable in the hands of the preference shareholder. In the case of debentures, debenture stock etc., their value is to be taken at the market rate and if there is no market rate they should be valued according to accepted principles of valuation [section 2(22)(b)].

(c) Distribution on liquidation: Any distribution made to the shareholders of a company on its liquidation, to the extent to which the distribution is attributable to the accumulated profits of the company immediately before its liquidation, whether capitalised or not, is deemed to be dividend income [section 2(22)(c)]. Any distribution made out of the profits of the company after the date of the liquidation cannot amount to dividend. It is a repayment towards capital Accumulated profits include all profits of the company up to the date of liquidation whether capitalised or not. But where liquidation is consequent to the compulsory acquisition of an undertaking by the Government or by any corporation owned or controlled by the Government, the accumulated profits do not include any profits of the company prior to the 3 successive previous years immediately preceding the previous year in which such acquisition took place subject to certain exceptions. The dividend does not include a distribution made in accordance with sub-clause

(c) in respect of any share issued for full cash consideration, where the holder of the share is not entitled in the event of liquidation to participate in the surplus assets.

(d) Distribution on reduction of capital: Any distribution to its shareholders by a company on the reduction of its capital to the extent to which the company possessed accumulated profits, whether capitalized or not, shall be deemed to be dividend [section 2(22)(d)].

(e) Advance or loan by a closely held company to its shareholder: Any payment by a company in which the public are not substantially interested of any sum by way of advance or loan to any shareholder who is the beneficial owner of 10% or more of the equity capital of the company will be

deemed to be dividend to the extent of the accumulated profit. If the loan is not covered by the accumulated profits , it is not deemed to be dividend [section 2(22)(e)].

Notes There are two exceptions to this rule:

1. If the loan is granted in the ordinary course of its business and lending of money is a substantial part of the company's business, the loan or advance to a shareholder is not deemed to be dividend.

2. Where a loan had been treated as dividend and subsequently the company declares and distributes dividend to all its shareholders including the borrowing shareholder, and the dividend so paid is set off by the company against the previous borrowing, the adjusted amount will not again be treated as a dividend.

(5) India [Section 2(25A)]: The term 'India' means:

(i) the territory of India as per article 1 of the Constitution,

(ii) its territorial waters, seabed and subsoil underlying such waters,

(iii) continental shelf,

(iv) exclusive economic zone, or

(v) any other specified maritime zone and the air space above its territory and territorial waters. Specified maritime zone means the maritime zone as referred to in the Territorial Waters, Continental Shelf, Exclusive Economic Zone and the Maritime Zones Act, 1976.

(6) Assessment Year: The term has been defined under section 2(9). This means a period of 12 months commencing on 1st April every year. The year in which tax is paid is called the assessment year while the year in respect of the income of which the tax is levied is called the previous year. Income of previous year of an assessee is taxed during the next following assessment year at the rates prescribed by the relevant Finance Act.

Example: For the assessment year 2013-14, the relevant previous year is 2012-13 (1.4.2012 to 31.3.2013).

(7) Previous Year [Section 3]: It means the financial year immediately preceding the assessment year. The income earned during the previous year is taxed in the assessment year. Business or profession newly set up during the financial year: In such a case, the previous year shall be the period beginning on the date of setting up of the business or profession and ending with 31st March of the said financial year. If a source of income comes into existence in the said financial year, then the previous year will commence from the date on which the source of income newly comes into existence and will end with 31st March of the financial year.

Example: For the assessment year 2011-12, the immediately preceding financial year (i.e.,

2010-11) is the previous year. Income earned by an individual during the previous year 2010-11 is taxable in the immediately following assessment year 2011-12 at the rates applicable for the assessment year 2011-12. Similarly, income earned during the previous year 2011-12 by a company will be taxable in the assessment year 2012-13 at the rates applicable for the assessment year 2012-13. Task A Chartered Accountant sets up his practice on 1st July, 2012. Determine the previous year for the assessment year 2013-14.

(8) Gross Total Income: 'Gross Total Income' may be defined as the aggregate of income computed in accordance with the provisions of this act before making any deduction under Chapter-VI A of Income Tax Act, 1961.

(9) Total Income: Any assessee has to pay income tax on different types of income derived on the basis of residential status. As per section 45 of Income Tax Act, 1961 'Total Income' means, income shown in Section 5 of Income Tax Act, 1961:

(a) Salary Income,

(b) Income from House property,

(c) Income from Business and Profession,

(d) Capital gains, and

(e) Income from other sources.

1.8 Tax Planning

Tax planning is an art and the exercise of arranging financial affairs in such a manner that, without violating the legal provisions in any way under tax and other laws, full advantage is taken of all tax exemptions, deductions, rebates, reliefs, allowances and other benefits under the tax law so that the burden of taxation on the tax payer is reduced to the minimum. So, under Tax planning the tax payer would be in a position to reduce his tax liability at the lowest level without violating in any way the legal provision of the law. Tax planning is a comprehensive process that enables individuals and businesses to manage their tax obligations effectively. It involves understanding the tax implications of various financial decisions, identifying tax-deductible expenses, and planning for taxes to ensure timely payments. The primary focus of tax planning is to apply current tax laws to revenue generated during a given tax period.

For individuals, tax planning considers various income sources, such as salaries, wages, tips, bonuses, investment profits, and interest from bank accounts. Businesses, on the other hand, account

for revenue from sales, stock and bond issues, interest-bearing bank accounts, and other taxable income sources. By understanding these revenue streams, individuals and businesses can develop effective tax planning strategize.

Tax planning involves devising and implementing strategies to minimize tax liability. For small businesses, reducing tax liability can free up funds for expenses, investments, or growth, effectively serving as working capital. However, tax planning is not intended to evade tax burdens but to optimize tax savings through legitimate means, such as investments in government securities and bonds from priority sectors.

The Supreme Court has validated the legitimacy of tax planning, provided it operates within the legal framework. In reality, tax planning benefits individuals, businesses, and the government. By encouraging investments in government securities and priority sectors, tax planning helps mobilize funds, ultimately contributing to the nation's development

1.9 Tax Evasion

Tax evasion refers to the intentional act of avoiding taxes through illegal means. This involves individuals, firms, trusts, and other entities misrepresenting or concealing their financial situations to reduce tax liability. Examples include dishonest tax reporting, such as under-declaring income or overstating deductions.

A common example of tax evasion occurs when businesses collect revenue in cash and fail to record it, thereby avoiding taxes on unreported income. This practice is illegal and constitutes tax evasion. Conversely, tax avoidance refers to legal activities that minimize tax liability.

Tax evasion often manifests as the intentional act of not paying due income taxes, achieved by not filing an income tax return or omitting information about taxable income. Tax evasion is considered fraud and incurs significant penalties.

Measuring tax evasion poses challenges due to its illegal nature, which motivates individuals to conceal such actions. Nevertheless, estimates suggest that tax evasion comprises a substantial portion of total economic activity, highlighting the importance of addressing this issue. The lost revenue due to tax evasion underscores the need for strategies to minimize evasion and optimize tax policies.

1.10 Tax Avoidance

Tax avoidance is the legal use of tax laws to minimize tax liability. It involves exploiting legal avenues to reduce taxes and is a legitimate approach to tax management. Taxpayers employ tax avoidance strategies to decrease their tax burden; most people engage in some form of tax avoidance.

Tax avoidance differs from tax evasion, which involves illegal means to evade taxes. While tax evasion can result in prosecution, fines, and imprisonment, tax avoidance is encouraged by financial planners and accountants who assist taxpayers in navigating tax laws to minimize liabilities.

Examples of tax avoidance include claiming available exemptions and leveraging tax-saving opportunities, such as retirement accounts. These strategies are legal and widely practiced, enabling taxpayers to keep more of their hard-earned money.

A skilled accountant can help taxpayers save on taxes by advising them on finance management strategies to minimize tax liabilities. Accountants can identify legal avenues for tax reduction but typically do not guarantee specific savings amounts. Their goal is to maximize legitimate tax savings for their clients.

Some tax avoidance strategies may be more aggressive while remaining legal, taking advantage of loopholes in the law subject to interpretation. Disagreement exists among accountants regarding the interpretation of these loopholes, and some may be cautious about venturing into more ambiguous areas. Those engaging in tax avoidance aim to reduce their taxes within legal limits.

Conversely, tax evasion involves knowingly breaking the law to evade tax payments. Tax evaders may conceal or relocate income to avoid taxation or refuse to pay their taxes altogether. Evasion tactics vary by country but always involve illegal actions. Tax avoidance and tax evasion are distinct concepts, with avoidance representing a legitimate and lawful method for minimizing taxes, while evasion constitutes a serious offense.

1.11 To Sum Up

Taxation is a crucial means for governments to generate revenue and fund public goods and services. In India, the taxation system has a long history, dating back to ancient times, with texts like the Mahabharata and Arthashastra providing a methodology for taxation. The British East India Company introduced the first Income Tax Act in 1860, which marked the birth of India's tax system. Post-independence, India's tax system underwent significant changes with the adoption of the Income Tax Act of 1961.

The Indian tax system includes direct taxes, such as income tax and corporate tax, and indirect taxes, such as goods and services tax (GST). Tax planning is essential for individuals and businesses to manage their tax obligations effectively. However, tax evasion, which involves intentionally avoiding taxes through illegal means, is a serious offense. Tax avoidance, on the other hand, is the legal use of tax laws to minimize tax liability. The Central Board of Direct Taxes (CBDT) and the Income Tax Rules support the Income Tax Act, providing guidelines for tax compliance.

1.12 Some Key Words

Taxation: The process of levying and collecting taxes to fund public goods and service

Direct Taxes: Taxes levied directly on an individual's income or wealth, such as income tax and corporate tax.

Indirect Taxes: Taxes levied on the value of goods and services consumed, such as sales tax, value-added tax (VAT), and customs duty.

Goods and Services Tax (GST): A unified tax system that replaced multiple indirect taxes in India, streamlining compliance and reducing administrative burdens.

Tax Planning: A comprehensive process of managing tax obligations, involving understanding tax implications, identifying tax-deductible expenses, and planning for taxes.

Tax Evasion: The intentional act of avoiding taxes through illegal means, such as misrepresenting financial situations or concealing income.

Tax Avoidance: The legal use of tax laws to minimize tax liability, involving exploiting legal avenues to reduce taxes.

Assessee: An individual or entity liable to pay taxes, as defined under the Income Tax Act.

Assessment Year: The 12-month period starting from April 1, during which taxes are assessed and collected.

Previous Year: The financial year preceding the assessment year, during which income is earned and taxes are calculated.

Taxable Income: The income that is subject to taxation, after deducting exemptions and allowances.

Gross Total Income: The total income earned by an individual or entity, before deducting exemptions and allowances.

Total Income: The income that is subject to taxation, after deducting exemptions and allowances.

Central Board of Direct Taxes (CBDT): The apex body responsible for administering and enforcing direct tax laws in India.

Income Tax Rules: Subordinate rules and regulations that support the Income Tax Act, providing detailed guidelines for tax compliance.

1.13 Assignment Question

1.Explain the evolution of Taxation in India

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2.Discuss the purpose and justification for Taxation.

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3. Explain the terms Tax Planning, Tax Evasion and Tax Avoidance

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4. Explain different types of taxes.

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5. Explain basic concept of income tax briefly.

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1.14 Objective Type Question

Fill up the blanks

1. Taxation is the process by which a government collects _____ from individuals and businesses.
2. A tax that is levied directly on income, wealth, or property is called a _____ tax.
3. _____ taxes are collected by intermediaries (like sellers) from consumers and then paid to the government.
4. The main objective of taxation is to raise _____ for the government.
5. The authority to levy taxes in India is derived from the _____ of India.
6. The Income Tax Act, _____, governs the taxation of income in India.
7. The person who is liable to pay tax under the Income Tax Act is known as the _____.
8. _____ year is the financial year in which income is earned.
9. The year following the previous year in which income is assessed for tax is called the _____ year.
10. Tax paid in advance before the end of the financial year is called _____ tax.
11. Tax planning is the process of arranging financial affairs to minimize _____ liability within the law.
12. Tax _____ involves legally exploiting loopholes in the tax law to reduce liability.
13. Tax _____ refers to illegal practices to escape tax liability.
14. GST stands for _____.
15. The Central Board of Direct Taxes (CBDT) works under the Ministry of _____.

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UNIT – 2
CORPORATE TAX PLANNING, OBJECTIVES OF TAX MANAGEMENT

Structure

2.0 Learning Outcomes
2.1 Bloom's level of learning
2.2 Introduction
2.3 Corporate Tax Planning
2.4 Goals of Corporate Tax Planning
2.5 Tax Management
2.6 Difference between Tax Planning and Tax Management
2.7 Difference between Tax Planning and Tax evasion
2.8 Difference between Tax Planning and Tax avoidance
2.9 Limitation of tax planning
2.10 Scope of tax planning
2.11 Precaution of Tax Planning
2.12 To sum up
2.13 Some Key Words
2.14 Assignment Question
2.15 Objective Type Question
2.16 Bibliography

2.0 Learning Outcomes

After completion of this unit a student can able to understand the following concepts:

- Corporate Tax Planning
- Goals of Corporate Tax Planning
- Tax Management
- Difference between Tax Planning and Tax Management
- Difference between Tax Planning and Tax evasion
- Difference between Tax Planning and Tax avoidance
- Limitation of tax planning
- Scope of tax planning
- Precaution of tax planning

2.1 Bloom's level of learning

1. Remembering

- Learning Objective: Recall facts and basic concepts.
- Examples**:**
  - Define corporate tax planning.
  - List sections of the Income Tax Act relevant to corporate taxation (e.g., Section 115BAB, 80G, MAT).
  - Identify types of corporate tax planning (short-term, long-term, defensive, purposive).

2. Understanding

- Learning Objective :Explain ideas or concepts in your own words.
- Examples:
  - Describe the objectives and importance of corporate tax planning.
  - Explain how tax planning differs for a domestic company vs. an MNC.
  - Illustrate the role of tax incentives in corporate tax planning.

3. **Applying**

- Learning Objective: Use information in new but similar situations.
- Examples:
  - Apply corporate tax planning methods to reduce tax liability legally.
  - Calculate taxable income of a company using exemptions and deductions.
  - Use provisions of the IT Act to structure tax-saving investments for a corporation.

4. **Analyzing**

- Learning Objective: Break information into parts to explore understandings and relationships.
- Examples:
  - Analyze a company's financial data to identify tax-saving opportunities.
  - Differentiate between legitimate and aggressive corporate tax planning strategies.
  - Examine the implications of Minimum Alternate Tax (MAT) on corporate planning.

5. **Evaluating**

- Learning Objective**:** Justify a decision or course of action.
- Examples:
  - Evaluate the effectiveness of a company's tax planning strategy.
  - Justify the use of a particular tax planning approach over another.
  - Critically assess the ethical boundaries in corporate tax planning.

6. **Creating**

- Learning Objective**:** Produce new or original work.
- Examples:
  - Design a comprehensive corporate tax planning strategy for a startup.
  - Develop a decision matrix for choosing optimal tax-saving avenues.
  - Create a presentation on innovative and compliant corporate tax planning methods

2.2 Introduction

In today's competitive business environment, managing taxes efficiently is a crucial aspect of corporate financial strategy. **Corporate tax planning** involves the strategic arrangement of a company's financial activities in a way that takes full advantage of the available tax provisions, deductions, and exemptions to reduce tax liability. The goal is to ensure that the company meets its tax obligations legally while maximizing after-tax profits. On the other hand, **tax management** focuses on the administrative and procedural aspects of taxation. It ensures timely compliance with tax laws, accurate calculation of tax dues, and proper filing of returns. While tax planning is proactive and strategic in nature, tax management is more operational and compliance-oriented.

Together, these functions help businesses maintain financial discipline, avoid penalties, and improve overall financial performance. An effective balance between planning and management not only minimizes the tax burden but also strengthens the company's reputation by promoting transparency and compliance.

2.3 Corporate Tax Planning

Corporate tax is a type of tax levied by governments on the profits of companies. Tax rates and tax systems vary widely across countries and regions. Companies can reduce their tax burden through careful planning. This is called corporate tax planning and involves structuring business activities to minimize taxes. The objective is not to illegally evade taxes, but to avoid unnecessary taxes.

Effective corporate tax planning is crucial for businesses. It requires expert advice from an auditor or tax lawyer. The goal is to reduce taxes, not take risks or break the law. Proper tax planning allows businesses to efficiently and effectively manage taxes and ensure smooth operations. Prioritizing tax planning allows businesses to make the most of their hard-earned profits. Corporate tax planning is about understanding which governments have the authority to tax business activities. Different countries, states, and cities have their own tax laws, which create tax savings opportunities. Being aware of these differences can help businesses reduce their tax costs.

Another important aspect of business tax planning is timing. Businesses can save on taxes by delaying income recognition or accelerating expense deductions. This results in positive cash flows and savings due to the time value of money. Additionally, companies can take advantage of differences between accounting and tax accounting rules to create favorable timing differences for tax purposes.

Corporate tax rates in India are comparable to global standards. Tax rates vary depending on the company's origin. Indian companies are taxed at a flat rate of 30% on their worldwide income. In contrast, foreign companies in India are taxed on their local income, which includes income from Indian investments, interest, stock sales, royalties and dividends. The tax rate for foreign companies depends on several factors.

2.4 Goals of Corporate Tax Planning

The primary objectives of corporate tax planning are complex and are essential for a company to achieve financial stability, growth and success. These goals can be summarized in six main areas:

1. Reducing tax liability: The primary goal of business tax planning is to minimize total tax

liability. This involves analyzing the company's financial position, identifying areas of tax inefficiency, and implementing strategies to reduce the tax burden.

2. Compliance: Complying with all relevant tax laws and regulations is crucial for businesses. A company's tax planning requires staying up to date on changes in tax laws, regulations, and court rulings to avoid non-compliance and potential penalties.

3. Optimize Tax Benefits: Taking advantage of maximum tax benefits, deductions, and refunds is essential for businesses to minimize their tax burden. Business tax planning involves identifying and taking advantage of available tax benefits such as depreciation, amortization, and tax credits.

4. Maximize Profits: Reducing tax burdens and increasing net profits are key goals of corporate tax planning. Minimizing tax liability allows a business to retain more profits and reinvest them within the company or distribute them to shareholders. 5. Risk Management: Identifying and mitigating tax-related risks is a key aspect of business tax planning. This involves assessing potential tax risks, such as audits, penalties, and litigation, and implementing strategies to minimize these risks.

6. Financial Planning: Promoting long-term financial stability and growth is the primary goal of business tax planning. By minimizing tax liability, optimizing tax benefits, and managing tax-related risks, businesses can achieve financial stability and growth, which can lead to increased competitiveness, innovation, and success.

7. Healthy Economic Growth: Income savings are the foundation of a strong economic structure. Tax planning allows individuals to save their income in a legally permitted manner, which is essential for the healthy growth of a country's economy. Wealth accumulated through legal means contributes to a country's prosperity, while wealth acquired through illegal means such as black money can lead to economic ruin. 8. Productive Investment: Tax planning does not only mean minimizing your tax burden but also making informed investment decisions. Being aware of the intricacies of the tax code helps you identify productive investment opportunities that can lead to significant tax savings. The tax code offers a variety of investment options that can provide absolute or significant tax deductions.

2.5 Tax Management

Tax management involves the strategic management of financial affairs to efficiently fulfill tax obligations. This includes activities such as filing tax returns on time, conducting audits of financial accounts, and withholding taxes. Effective tax management has many benefits, including avoiding the payment of interest on overdue taxes, avoiding penalties for non-compliance, and minimizing the risk of prosecution for tax evasion and tax evasion. This ultimately helps maintain good financial health and avoid unnecessary costs.
Tax management pursues four goals. First, it aims to minimize tax liability by keeping tax payments as low as possible. Second, it aims to maximize tax benefits by claiming all allowable tax credits, deductions, and exemptions. Third, tax management ensures compliance with tax laws, regulations, and reporting requirements. Finally, tax payments are managed to minimize penalties and optimize cash flow.
To achieve these goals, various tax management strategies are used. This includes tax planning, which analyzes your financial situation to identify tax savings opportunities. Tax compliance ensures timely and accurate filing of tax returns. Tax audit management handles tax audits and disputes with tax authorities. Tax optimization implements strategies to minimize tax liability, such as income splitting and tax deferred savings. Finally, international tax management deals with individuals and companies with international income and operations, helping them manage complex tax obligations.

Effective tax management has many benefits. By implementing an efficient tax management strategy, individuals and companies can reduce their tax liability and consequently increase their cash flow. This leads to improved financial planning and better allocation of resources and investments. In addition, effective tax management improves compliance with tax laws and regulations and reduces the risk of fines and penalties. For companies with international tax obligations, effective tax management also ensures better management of these complex requirements.

To achieve effective tax management, it is important to follow best practices. First, consult with a tax professional or advisor, who can provide valuable expertise and advice. Maintaining accurate and detailed financial records is also important for tax management. Staying up to date with tax law changes and regulations is key to ensure compliance. It is also important to implement a tax management strategy that is tailored to the needs of individuals and businesses.

Finally, regularly reviewing your tax management strategy and adjusting it as necessary ensures that it remains effective and efficient.

2.6 Difference between Tax Planning and Tax Management

Tax planning and tax management are two distinct yet interconnected aspects of tax management. The primary difference between the two lies in their timeframe. Tax planning is a proactive approach that involves strategic planning to minimize tax liability. It entails forecasting and analyzing financial situations to identify opportunities for tax savings. In contrast, tax management is the implementation of tax planning strategies to ensure compliance with tax laws and regulations. It involves taking concrete steps to execute the plans made during the tax planning phase.

Another key difference between tax planning and tax management is their requirements and purpose. Tax planning is not mandatory for individuals or businesses, whereas tax management is a necessity since everyone is required to file state and federal tax returns. The primary objective of tax planning is to minimize tax liability by planning deductions, purchases, and expenses. On the other hand, tax management focuses on ensuring that tax planning is implemented correctly and avoiding interest and fees for non-compliance. Effective tax management helps individuals and businesses avoid penalties and ensures that they are in compliance with tax laws and regulations.

The scope of tax planning and tax management also differs significantly. Tax planning involves taking measures to minimize tax liability, such as claiming deductions and credits, and making strategic financial decisions. Tax management, on the other hand, involves a broader period, including tracking past sales, deductions, and assets, making current tax payments, and preparing tax documents for future payments. Tax management requires ongoing monitoring and maintenance to ensure that tax obligations are met, and tax planning strategies are executed effectively.

Tax planning and tax management are complementary processes that work together to ensure effective tax management. While tax planning involves strategic planning to minimize tax liability, tax management focuses on implementing those plans to ensure compliance with tax laws and regulations. By understanding the differences between tax planning and tax

management, individuals and businesses can better navigate the complex world of taxation and make informed decisions to minimize their tax liability.

2.7 Difference between Tax Planning and Tax Evasion

Tax Planning	**Tax Evasion**
Tax planning is an exercise aim at reducing tax liability by availing maximum benefit of various deduction, exemption, rebates etc. provide under tax laws.	Tax evasion is an exercise of reducing tax liability either i) by showing lesser income than actual or ii) by hiding the very source of any income.
Tax planning is completely within the framework of laws i.e it is an exercise involving obedience of law.	Tax evasion is willful disobedience of law and involve and involve an element of deceit.
It is a legal and accepted by judiciary.	It is illegal and prohibited.
It is based on principle of disclosure	It involves hiding of fact regarding income and expenditure.
It is deliberate creation of for wealth generation through encourage saving and investment.	It isa white collar crime and is seen as on offence.
It leads to more resources with the tax payer without any fear of being eroded later on rather used for productive purposes.	The increased resources due to tax evasion may get eroded later on by way of penalties
It leads to sound sleep for tax payer without any headache	It leads to stress full device which leads to headache.
Tax planning is a fair effort which is benefit for both tax payer and economy	It is a unfair effort which is out of rule of law

2.8 Difference between planning and tax avoidance

Tax planning	Tax avoidance
Tax planning is a process where we reducing tax liability without violating of law	Tax avoidance is a process where we reducing tax liability by exploiting some loopholes of laws.
It a fair activity within the obedience of law.	It involves dodging tax laws
It a legal and accepted by law.	Tax avoidance is illegal, unethical in nature.
In tax planning transaction are real and natural.	In tax avoidance, transaction is not real.
Tax planning is dependable.	Tax avoidance is not dependable because as and when the ingenuity is exposed, tax avoider has to pay tax retrospectively
Tax planning is long term in nature.	Tax avoidance is short term in nature.

2.9 Limitation of tax planning

1. Legal risk and changing regulation

Among the most significant issues with tax planning are legal risks and evolving regulations; this topic is marked by ongoing legal changes. Therefore, it is crucial to remember that tax regulations might change significantly over time based on administrative choices as well as political or economic circumstances. Existing tax planning strategies may become irrelevant or ineffective as a result of these developments.

2.Time and resource intensive

Given the variety of tax planning tools and tactics accessible to taxpayers, it is widely understood that good tax planning requires a significant investment of time and resources. Busy people and small businesses frequently lack the time necessary to properly plan or to understand all the regulations pertaining to their taxes. Such a circumstance may result in hurried decision-making,

1. **Potential cash flow isues**

The majority of tax planning solutions need the customer to weigh the company's needs—which occasionally include short-term cash flow—against the tax paid. For instance, income timing techniques

like anticipating higher revenue the following year and expense timing techniques like estimating twice as much spending will result in immediate cash flow issues as a result of achieving strategic goals.

2. **Dependency on external factors**

A number of external factors, including those pertaining to markets, government regulations, and economic trends, might affect tax matters. This implies that adjustments to these variables may have an impact on tax plans and results. For instance, the effectiveness of specific planning techniques may be impacted by shifts in interest rates or the arrival of a recession.

3. **Complexity of international tax planning**

For businesses operating in several nations, international tax planning is difficult and more complicated. Different jurisdictions have different taxation and regulation laws, which causes some inconsistencies in the tax system's operation and strategic planning.

To succeed in a difficult environment with this admirable intricacy, one must have a thorough understanding of both domestic and foreign taxation rules.

4. **Risk of audit and scrunity**

Tax authorities may view controversial planning techniques that border on aggressive as such, increasing the risk of an audit.

The legal distinction between tax preparation and evasion, however, can occasionally be hazy and may involve the possibility of legal repercussions because tax planning is permitted. A taxpayer needs to exercise caution and, above all, be sure that the approach he is taking is lawful.

5. **Complex Tax Laws**

The limitation of tax planning is that it is generally constrained by the legal issues of taxes. Due to frequent changes in tax laws around the world, tax matters are complex and can be difficult, especially for business entities and other players in the economy, to strike a balance between tax compliance and tax planning and strategies. It can be confusing and something may be missed and it may attract some other taxes or penalties for which the businessman may not be prepared.

6. **Limited time and resources**

The process of tax planning is laborious and time-consuming. The general population and small company organizations could lack the resources or expertise to engage qualified tax experts or carry out in-depth assessments.

This straightforward reasoning causes people to use very basic tax planning techniques to reduce taxes, which are not intended to maximize benefits and do not take into account—or even avoid—possible deductions and allowances.

7. **Uncertainty in future tax rates**

Assumptions about prospective taxes and the legislation governing this matter are also a part of tax planning. All of these presumptions, though, may turn out to be unreliable at some point. Future taxation policies may be impacted by political, economic, and governmental developments, rendering current plans ineffectual. Because of this, it is highly challenging to create a long-term tax plan and see it through to its eventual validity.

8. **Short term focus**

It is frequently observed that many individuals and businesses simply consider reducing their current taxes rather than considering their long-term financial success. When it comes to taxes, this kind of myopia is evident, meaning that certain choices will require the business to pay less in the present while having to pay more in the future. For instance, it may be expensive for future cash flows or investment possibilities to maximize existing tax shielding.

9. **Risk of tax evasion**

Although tax planning is advised and permitted, it is very similar to, if not the same as, unlawful tax evasion. This indicates that a number of severe and aggressive tax evasion strategies that are well recognized in the legal community are seriously threatened by legal disputes and audit operations in the current economy.

Despite the short-term benefits of efficient tax planning, few businesses take part in such discretionary activities because the penalties and reputational damage they incur are greater.

10. **Changes in personal or business circumstances**

Personal or corporate conditions can change suddenly, affecting the efficiency of tax preparation. Marriage, divorce, job changes, or the sale of a business are all examples of life transitions that can have a significant influence on an individual or organization's tax situation. A previously effective tax scheme may evolve or provide less benefit, necessitating ongoing examination and revision.

11. **Potential cost of implementation**

The implementation of tax planning strategies involves cost factors, which reduce the benefits gained through tax planning. For instance, outsourcing employees to tax professionals or buying or subscribing to some of the best tax software also comes at a cost and can eat into the money saved.

Also, some of these tax strategies may require some modifications in the existing structures of finances and investment portfolios and may attract other additional expenses.

12. **Limited awareness of available opportunities**

It could be necessary for some of these taxpayers to recognize the abundance of tax preparation options. Investors may lose money and miss out on possibilities if they are unaware of tax credits, deductions, and incentives.

People who follow the year in question and don't think about tax preparation can wind up paying more than they anticipated.

2.10 Scope of tax planning

Tax planning encompasses a broad variety of actions meant to lower tax obligations through effective money management. It consists of:

Income management: arranging income so that the least amount of deductions are required and the most revenue is exempt.

Investment planning: purchasing tax-saving goods like government-approved bonds, retirement pensions, and endowment policies.

Expense management: excluding deductions for things like home loan interest rates, personal medical costs, and educational costs.

Tax law optimization: utilizing accounting strategies to postpone income and capital gains, among other legal procedures, in order to minimize tax obligations.

2.11 Precaution of Tax Planning

Comply with tax laws : Verify their validity while accounting for all tax-related legal complexity that could result in fines or other legal issues.

Avoiding aggressive strategies : There is always a fine line between being aggressive and being evasive when it comes to tax preparation; the latter could draw the attention of auditors and the law

Balancing financial goals: Future benefits should not be sacrificed for current tax optimization; rather, the tax planning strategy should focus on achieving the most financially feasible goals.

Consulting profession : Since tax regulations are clearly complicated, consulting a tax professional enables you to comply with them and get the most of your benefits.

Monitoring changes in tax laws: There are a number of reasons why tax planning requires flexibility, but the most significant is that tax regulations are constantly evolving.

2.12 To sum up

Corporate tax planning is the process of structuring business activities to minimize tax liability while ensuring compliance with tax laws and regulations. It involves analyzing financial situations to identify opportunities for tax savings and implementing strategies to reduce tax liability. Effective corporate tax planning requires expertise from auditors or tax lawyers and is crucial for businesses to achieve financial stability and growth.

Tax management, on the other hand, is the strategic management of financial affairs to efficiently fulfill tax obligations. It involves filing tax returns, conducting audits, and withholding taxes. Tax management aims to minimize tax liability, maximize tax benefits, and ensure compliance with tax laws and regulations. By understanding the differences between tax planning and tax management, individuals and businesses can make informed decisions to minimize their tax liability and ensure effective tax management.

2.13 Some Key Words

Corporate Tax Planning: The process of structuring business activities to minimize tax liability, while ensuring compliance with tax laws and regulations.

Tax Management: The strategic management of financial affairs to efficiently fulfill tax obligations, involving activities such as filing tax returns, conducting audits, and withholding taxes.

Tax Planning: A proactive approach that involves strategic planning to minimize tax liability, forecasting and analyzing financial situations to identify opportunities for tax savings.

Tax Liability: The amount of taxes owed to the government, which can be minimized through tax planning and management.

Tax Compliance: The process of ensuring that tax laws and regulations are followed, involving activities such as filing tax returns, paying taxes on time, and maintaining accurate financial

records.

Tax Optimization: The process of implementing strategies to minimize tax liability, such as income splitting and tax-deferred savings.

International Tax Management: The process of managing complex tax obligations for individuals and companies with international income and operations.

Tax Audit Management: The process of handling tax audits and disputes with tax authorities.

Tax Benefits: The advantages or savings that can be claimed under tax laws, such as deductions, credits, and exemptions.

Tax Credits: The direct reductions in tax liability that can be claimed for certain expenses or investments.

Tax Deductions: The expenses or investments that can be subtracted from taxable income to reduce tax liability.

Tax Exemptions: The income or expenses that are exempt from taxation under tax laws.

2.14 Assignment Question

1. Explain meaning and goals of Tax planning.

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2. Explain limitation of tax planning.

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3. Explain scope and precaution of tax planning.

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4. Narrate the difference between Tax Planning and Tax Management.

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5. Narrate the difference between tax planning and Tax evasion .

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6. Narrate the difference between Tax Planning and Tax avoidance.

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2.15 Objective Type Question

Fill in the blanks:

1. **Corporate tax** is a type of tax levied by governments on the _____ of companies.
   Answer: profits
2. _____ is the process of structuring business activities to minimize tax liability, while ensuring compliance with tax laws and regulations.
   Answer: Corporate Tax Planning
3. The primary goal of business tax planning is to minimize total _____.
   Answer: tax liability
4. _____ involves the strategic management of financial affairs to efficiently fulfill tax obligations.
   Answer: Tax Management
5. Tax planning is a _____ approach that involves forecasting and analyzing financial situations to identify opportunities for tax savings.
   Answer: proactive
6. Indian companies are taxed at a flat rate of _____ on their worldwide income.
   Answer: 30%
7. _____ is the process of handling tax audits and disputes with tax authorities.
   Answer: Tax Audit Management
8. Tax planning is based on the principle of _____ of income and financial activities.
   Answer: disclosure

9. Tax evasion is a willful disobedience of law and involves an element of _____.

   Answer: deceit

10. Tax avoidance is a process of reducing tax liability by exploiting some _____ of the laws.

    Answer: loopholes

11. One limitation of tax planning is the potential for _____ issues due to strategic income or expense timing.

    Answer: cash flow

12. The process of minimizing tax liability through strategies like income splitting and tax-deferred savings is known as _____.

    Answer: Tax Optimization

13. _____ tax planning becomes complex due to varying laws and regulations across jurisdictions.

    Answer: International

14. Tax _____ are direct reductions in tax liability that can be claimed for certain expenses or investments.

    Answer: credits

15. Tax _____ refer to income or expenses that are legally excluded from taxable income.

    Answer: exemptions

2.16 Bibliography

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Unit – 3
Corporate Taxation in India

- Learning Outcomes
- Bloom's Level of Learning
- Introduction
- Corporate Taxation in India
- Types of Companies
- Sources of Income of a Company
- Agricultural Income
- Tax Rates
- To Sum up
- Some Key Words
- Assignment Question
- Objective Type Question
- Bibliography

3.0Learning Outcomes

After completion of this unit a student can have clear understanding of the following concepts:

- Corporate Taxation in India
- Types of Companies
- Sources of Income of a Company
- Tax Rate in India

3.1 Bloom's Level of Learning

. Remembering (Knowledge)

- Learning Objective: Recall basic concepts and terminology.
- Examples:
  - Define corporate assessee, MAT (Minimum Alternate Tax), surcharge, cess, etc.
  - List types of companies under the Income Tax Act (domestic, foreign, etc.).
  - Identify applicable sections (e.g., Sec 115BAA, Sec 115BAB, Sec 115JB).

2. Understanding (Comprehension)

- Learning Objective: Explain ideas or concepts.
- Examples:
  - Explain how corporate tax rates differ for domestic and foreign companies.
  - Describe the concept of MAT and its implications.
  - Interpret the difference between book profit and taxable income.

3. Applying (Application)

- Learning Objective: Use information in a new situation.
- Examples:
  - Compute tax liability of a domestic company with given income details.
  - Apply Sec 115BAA or 115BAB to a given case scenario.
  - Determine applicability of surcharge and cess on corporate income.

4. Analyzing (Analysis)

- Learning Objective: Break down information into parts and examine relationships.
- Examples:
  - Compare tax implications of opting for normal tax regime vs. concessional regimes.
  - Analyze the impact of MAT credit on a company's tax planning.
  - Examine changes in effective tax rates due to Finance Act amendments.

5. Evaluating (Evaluation)

- Learning Objective: Justify a decision or course of action.
- Examples:
  - Assess whether a company should opt for Sec 115BAA based on financials.
  - Evaluate the effectiveness of tax planning strategies under current laws.
  - Critique recent amendments in corporate tax law from a policy perspective.

6. Creating (Synthesis)

- Learning Objective: Produce new or original work.
- Examples:
  - Design a tax-efficient business structure for a new startup in India.
  - Propose a strategic tax planning model for an MNC with Indian operations.
  - Draft a memorandum summarizing the corporate tax liability under different scenarios.

3.2 Introduction

Corporate taxation is a vital component of a country's fiscal framework, playing a crucial role in shaping the economic landscape. As a significant source of government revenue, corporate taxes influence business decisions, investment strategies, and ultimately, a nation's economic growth. In India, corporate taxation is governed by a complex set of laws and regulations, with rates and provisions varying depending on factors such as company type, size, and industry. Effective management of corporate taxation is essential for businesses to optimize their financial performance, minimize tax liabilities, and ensure compliance with regulatory requirements.

3.3 Corporate Taxation in India

A company is an entity incorporated in India or abroad under Section 2(17) of the Income Tax Act, 1961. This definition includes various types of companies that are treated as corporations for tax purposes.

In addition to companies, this definition also includes institutions of persons, associations and corporations that have been assessed as corporations in any assessment year after 1922. Further,

the Central Board of Direct Taxes (CBDT) has the power to declare a company as a company, but this declaration is valid only for the particular assessment year in which it is made.

Corporate tax is a type of tax levied on the profits or net profits of a company. This calculation is based on the company's taxable income after deducting various deductions from sales. These deductions may include cost of goods sold, general and administrative expenses, sales and marketing expenses, depreciation, research and development expenses, etc.

Effectively managing these costs can help minimize your corporate tax burden and maximize your profits. Corporation tax, also known as trade tax, is a type of income tax levied on a company's profits. Tax laws and regulations vary from country to country, and each jurisdiction has its own corporate tax rules.

3.4 Types of Companies

Domestic Companies

In India, companies are broadly classified into two categories, each with distinct corporate tax obligations. Domestic companies, which are registered under the Companies Act, 2013, are taxed on their worldwide income as per the applicable tax rates and regulations. This means that domestic companies are required to pay taxes on their global income, regardless of where it is earned, encompassing profits generated from both domestic and international operations, investments, and business activities. As a result, domestic companies must carefully manage their global tax liabilities, ensuring compliance with Indian tax laws and regulations, while also navigating the tax implications of their international transactions and operations.

Foreign Companies

Foreign companies, also referred to as non-resident companies in India, are incorporated outside the country's borders but maintain a business presence within India. Unlike their domestic counterparts, foreign companies are subject to a more limited tax liability, being taxed solely on the income earned from their Indian operations. This means that foreign companies are exempt from paying taxes on their global income, and instead, are only required to pay taxes on the profits generated from their business activities, investments, and transactions conducted within

India's territorial boundaries. As a result, foreign companies operating in India can benefit from a more favorable tax treatment, allowing them to retain a larger portion of their Indian-earned profits, while still being subject to Indian tax laws and regulations. It is important to understand the business structure as it determines the applicable corporate tax rates and regulations.

Company in which public are substantially interested[sec 2(18)]

The following situations qualify a business as "a company in which the public are substantially interested" under Section 2(18) of the Income Tax Act:

(a) if the company is owned by the Government or the Reserve Bank of India, or if the Government, the Reserve Bank of India, or a corporation owned by that bank owns at least 40% of the shares, either individually or collectively;

(aa) in the event that it is a business registered in accordance with section 25 of the Companies Act of 1956.

(ab) if it is a corporation with no share capital and if the Board has determined, by order, that it is a company in which the public has a major interest, taking into account its goals, the makeup of its membership, and other pertinent factors. However, only for the assessment year or assessment years (whether starting before April 1, 1971, or on or after that date) that may be indicated in the statement would such a corporation be considered one in which the public has a considerable stake;

(ac) if it is a mutual benefit finance company, that is, a business that accepts deposits from its members as its primary activity and that the Central Government has designated as a Nidhi or Mutual Benefit Society under section 620A of the Companies Act.

(ad) if it is a business in which at least 50% of the voting power has been granted to, or acquired unconditionally by, and was beneficially held by, one or more cooperative societies during the relevant previous year. These shares do not have the right to a fixed dividend rate, whether or not they also have the right to share in profits.

(b) if the following requirements are met, either in item (A) or item (B), and the firm is not a private company as defined by the Companies Act, 1956 (1 of 1956):

(A) shares of the business (not shares entitled to a fixed dividend rate, whether or not they also had the right to share in profits) were listed on a recognized Indian stock exchange as of the last day of the relevant year in compliance with the Securities Contracts (Regulation) Act, 1956 (42 of 1956) and any regulations derived from it;

B) shares of the company that carry at least 50% (or 40% in the case of *industrial companies) of the voting power have been granted or acquired unconditionally by, and were beneficially held by, during the relevant previous year (not including shares entitled to a fixed rate of dividend, whether with or without a further right to participate in profits).

(a) the government,

(b) a corporation formed under a Central, State, or Provincial Act, or

(c) any business to which this clause applies or any of its subsidiaries [if the parent company or its nominees held all of the subsidiary company's share capital during the preceding year].

Publicly held shares are not taken into account for this purpose. "Industrial companies" are defined as businesses that are primarily involved in the production or distribution of electricity or any other type of power, shipbuilding, the manufacturing or processing of goods, or mining.

Explanation: Under this article, a business will be considered to be

a) primarily involved in the production or distribution of electricity or any other type of power, building ships, manufacturing or processing goods, or mining, provided that the income from any one or more of the aforementioned activities was less than 51% of its total income in the prior year (as calculated prior to any deduction under Chapter VIA of the Income-tax Act);

b) which, although not primarily so, derives 51% or more of its income from such activities in any given year.

<u>An examination of the aforementioned clause in practice</u>

Assume ABC Ltd. is a company that is listed on an established stock exchange. Will the public, significantly interested corporation be able to access all of the subsidiaries?

1. ABC Ltd.: According to Section 2(18)(b)(A), ABC Ltd. is a public significantly interested company since it is listed on a recognized stock market.

2. ANK Ltd.: According to Section 2(18)(b)(B)(c), ANK Ltd. is a public significantly interested company since it is a subsidiary of ABC Ltd. (controlling at least 50% of the company's shares) and is listed on a recognized stock exchange.

3. XYZ Ltd. – XYZ Ltd. is not a public substantially involved company since ABC Ltd, a public substantially interested firm, owns less than 50% of its shares.

4. T Pvt Ltd.: Given that it is a private business. Since Pvt. firms are exempt from the aforementioned rule, TY Ltd. is not a publicly traded corporation with a major interest.

5. PQ Ltd.: According to Section 2(18)(b)(B)(c), PQ Ltd. is a public significantly interested company since the company ABC & ANK Ltd. (40+20=60), to which this clause applies, owns

at least 50% of its shares.

6. OK Ltd.: Since the shares are held by XYZ (to which this provision does not apply), OK Ltd. is not a publicly traded corporation with a substantial stake.

7. K Ltd: Since ABC Ltd, a public substantially interested company, owns 20% of the shares of XYZ Ltd and T Pvt Ltd, which are both private companies, shares held by T Pvt Ltd will be counted towards the limit, bringing the total shareholding to 60%. As a result, K Ltd is a public substantially interested company.

3.5 Sources of income in india

A company's income is derived from various sources, which affects the company's tax liability and applicable tax rates. The usual sources of income of a company during a financial year are:

1. Operating profits and income from operating activities
2. Interest and dividend income from financial transactions.
3. Realized capital gains from sale of assets
4. Rental income from immovable property

A company's income is derived from various sources, which affects the company's tax liability and applicable tax rates. One of the main sources of income of a company is corporate profits and income from operating activities. This includes income from the sale of goods and services, and profits from the company's core business. The tax treatment of business profits and income varies by jurisdiction and the tax status of the business.

In addition to corporate profits and income, a company may earn income from financial transactions, such as: B. Interest and dividend income. This type of income is typically earned by investing in bonds, stocks, or other financial instruments. The tax treatment of interest and dividend income varies by jurisdiction and the company's tax status. For example, dividend income may be tax-free in some jurisdictions, while it may be subject to reduced tax rates in others.

Capital gains from asset sales are also a common source of income for corporations. This type of

income arises when a corporation sells assets, such as real estate, equipment, or investments, for a price higher than their original purchase price. The tax treatment of capital gains varies depending on the jurisdiction and the company's tax status. For example, some jurisdictions tax capital gains at reduced rates, while others exempt capital gains entirely.

Rental income from owning real estate is also a common source of income for businesses. This type of income arises when a business owns real estate and rents it to tenants. The tax treatment of rental income varies depending on the jurisdiction and the tax status of the business. For example, some jurisdictions tax rental income at reduced rates, while others exempt it from tax entirely. Additionally, companies may be able to claim deductions for expenses related to the rental property, such as maintenance and repairs.

3.6 Agricultural income for company

Agricultural income for a company refers to the earnings generated from activities related to agriculture, such as farming, horticulture, livestock farming, and other similar operations. This income is typically derived from selling crops, animals, dairy products, or any other agricultural products the company produces or sells.

In some countries, agricultural income may be subject to special tax exemptions or rules. For instance, in India, agricultural income is generally tax-free, although specific regulations may differ by region or situation.

For a company involved in agriculture, the sources of agricultural income can include:

1. **Crops:** Income from selling grains, vegetables, fruits, or other agricultural products.
2. **Livestock:** Earnings from selling animals (e.g., cattle or poultry) or their products (e.g., milk, wool).
3. **Dairy:** Revenue from selling milk or dairy products like cheese or butter.
4. **Forest Products:** Earnings from selling timber, medicinal plants, or other products derived from forests.
5. **Agricultural Services:** Some companies also earn income by providing agricultural services such as consulting, equipment leasing, or agronomy.

Agricultural income is defined specifically under the Income Tax Act, and there are certain requirements that must be met for the income to qualify for exemption. Let's look at the provisions of the law in this regard.

Agriculture is typically the only source of income for the large rural population in India, and the country as a whole depends entirely on agriculture for its basic food requirements. The government has numerous schemes, policies, and other measures to promote growth in this sector, one of which is an exemption from income tax.

Agricultural income, as defined by the Income-tax Act, includes three main types of activities:

1. **Rent or Revenue from Agricultural Land in India**
   This refers to earnings from land in India used for agricultural purposes. However, income from the sale of such land is not considered agricultural income.
2. **Income Derived from Agricultural Land**
   - **Agricultural Activities**: Although not explicitly defined in the Act, the Supreme Court in *CIT v. Raja Benoy Kumar Sahas Roy* clarified that agriculture includes two types of operations:
     - **Basic operations**: Activities such as tilling, sowing seeds, and planting, which require direct human effort on the land.
     - **Subsequent operations**: Tasks like weeding, digging, pruning, harvesting, and preserving crops to maintain and prepare the produce for market. Even income from nurseries growing saplings or seedlings qualifies as agricultural income, regardless of where the basic operations occur.
   - **Processing by Cultivators or Rent Receivers**: If the agricultural produce undergoes processes (manual or mechanical) to make it marketable while retaining its original form, the income remains agricultural.
   - **Sale of Agricultural Produce**: If the produce is sold without undergoing standard market-preparation processes, the income may be partly agricultural (exempt) and partly non-agricultural (taxable).

3. **Income derived from farm building required for agricultural operations:**

The conditions for classifying income derived from farm building as agricultural income are as follows: The building should be on or in the surrounding area of the agricultural land. Also, the rent receiver or cultivator of the land, by reason of his connection with the land, requires the building as a house to stay or as a storehouse or uses it for these kinds of situations

Either of the two conditions should be satisfied:
The land is assessed by either land revenue or a local rate assessed and collected by government officers;
OR
If the above condition is not satisfied, the land should not be located within the following region:

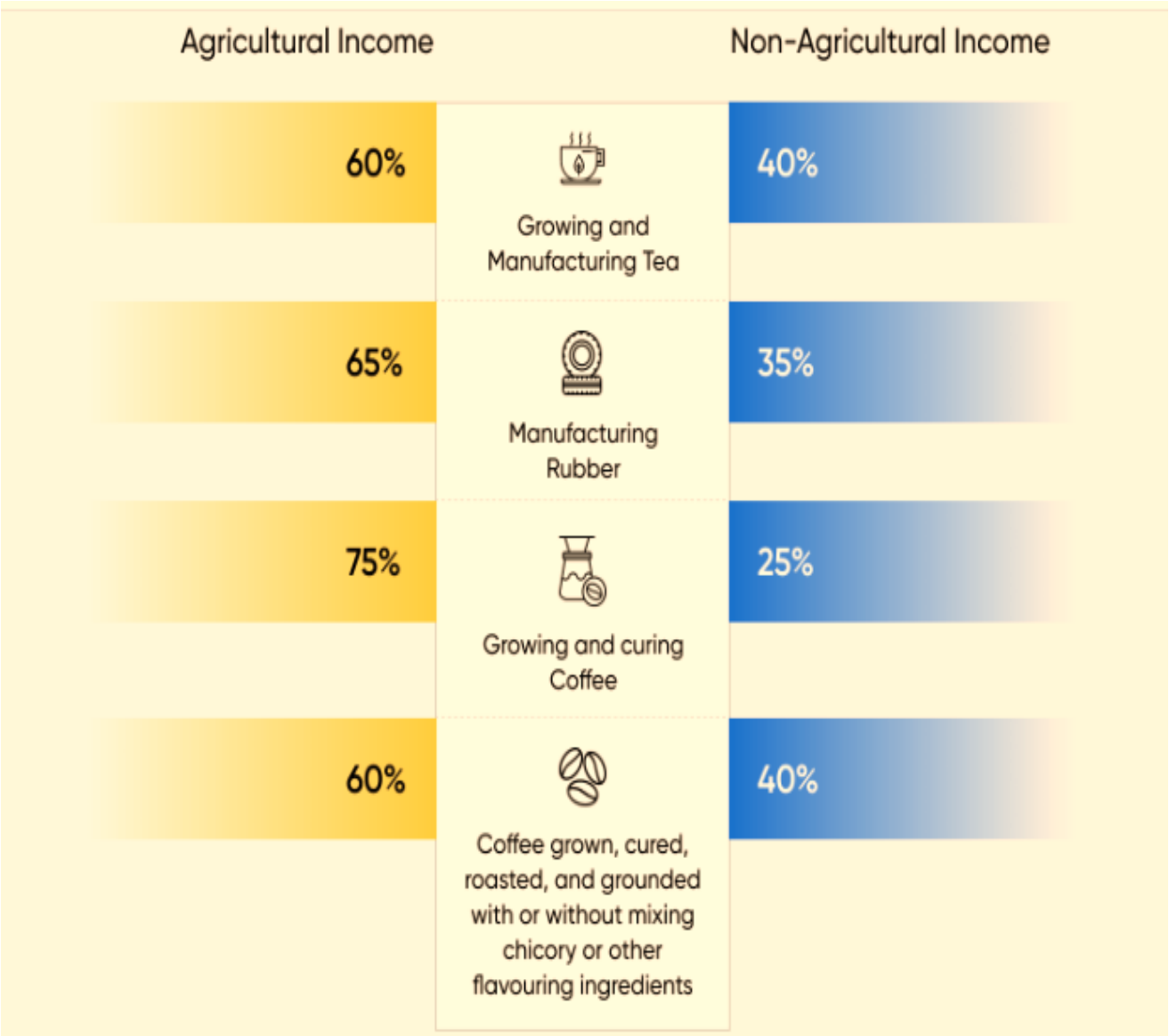
Aerial distance from municipality*	Population as per last preceding census.
Within 2 kms	10,000 to 1,00,000
Within 6 kms	1,00,000 to 10,00,000
Within 8 kms	> Rs. 10,00,000

*Municipality includes municipal corporation, notified area committee, town area committee, town committee and cantonment board.

Note: Even where the local population is < 10,000, the land should also not be situated within the jurisdiction of the local municipality or cantonment board.

In cases where the activities have only some distant relation to land like dairy farming, breeding, rearing of livestock, poultry farming, etc. they do not form a part of agriculture income.

The Income Tax has prescribed rules to make this bifurcation regarding agricultural and non-agricultural produce for products like tea, coffee, rubber, etc



3.7 Tax Rates

In India, corporate tax is a direct tax levied on businesses. All businesses, including domestic and multinational organisations operating within the Indian borders, are required to comply with the Corporation Tax Act and pay tax accordingly.

The following tax rates are applicable to domestic businesses based on their turnover for the 2020-21 tax year.

SECTIONS	TAX RATE	SURCHARGE
Section 115BA (Companies having turnover upto Rs.400 crore in Financial Year 2017-18)	25%	7% / 12%
Section 115BAA	22%	10%
Section 115BAB	15%	10%
Any Other Case	30%	7% / 12%

In addition to the tax rates, surcharges may also be applicable. The surcharges are as follows:

- 7% surcharge on total income exceeding 100 crore up to 100 crore (under section 115BA)
- 12% surcharge on total income exceeding 10 million (under section 115BA)
- 10% surcharge irrespective of total income (if tax under section 115BAA or section 115BAB is elected)

The following tax rates are applicable to foreign businesses from the 2025-26 tax year based on their turnover:

NATURE OF INCOME	TAX RATE
Royalty received or fees for technical services from Government or any Indian concern under an agreement made before April, 1976 and approved by the Central Government	50%
Any other income (from Assessment Year 2020-21 to Assessment Year 2024-25 this tax is charged at 40%)	35%

In addition to the above rates, the following surcharges are applicable:

PARTICULARS	TAX RATE
If total income exceeds Rs.1 crore but below Rs.10 crore	7% tax calculated on domestic company / 2% tax calculated on foreign company as per above rates
If total income exceeds Rs.10 crore	12% tax calculated on domestic company / 5% tax calculated on foreign company as per above rates

Additional Tax Components:

- Health and Education Tax: A tax of 4% is levied on the total tax amount, including surcharge.
- Minimum Alternative Tax (MAT): Companies, including foreign companies, must pay a MAT equal to 15% of their accounting profits if the tax levied is less than 15% of their accounting profits. This applies unless the company opts for section 115BAA or 115BAB.

The deadline for filing income tax returns for corporations, including foreign corporations, is as follows:

- October 30th of every year (for ordinary years)
- October 31st of every year (for companies incorporated in the same financial year)

Note: Due to the pandemic, the filing deadline for 2019-2020 (2020-21) has been extended to November 30, 2020.

3.8 To Sum up

Corporate taxation in India is a complex system that governs the taxation of companies' profits. Domestic companies, registered under the Companies Act, 2013, are taxed on their worldwide income, while foreign companies, incorporated outside India, are taxed only on their Indian operations. Companies' income can come from various sources, including operating profits, interest and dividend income, capital gains, and rental income.

Tax rates for companies in India vary depending on their turnover and type. Domestic companies with a turnover of up to Rs. 400 crore are taxed at 25%, while foreign companies are taxed at 40% or 50% depending on the nature of their income. Additional taxes, such as surcharge, health and education tax, and minimum alternative tax (MAT), may also be applicable. Companies must file their income tax returns by the specified deadline to avoid penalties and fines.

3.9 Some Key Words

Corporate Taxation: A type of direct tax levied on companies' profits.

Domestic Companies: Companies registered under the Companies Act, 2013, and taxed on worldwide income.

Foreign Companies: Companies incorporated outside India, taxed only on Indian operations.

Sources of Income: Operating profits, interest and dividend income, capital gains, and rental income.

Tax Rates: Applicable tax rates for domestic and foreign companies, including surcharges.

Surcharge: Additional tax levied on companies based on total income.

Health and Education Tax: A 4% tax levied on total tax amount, including surcharge.

Minimum Alternative Tax (MAT): A tax levied on companies to ensure minimum tax payment.

Tax Filing Deadline: Deadline for filing income tax returns for corporations.

3.10 Assignment Question

1. Explain Corporate Taxation in India.

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2. Explain various types of company in India.

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3. Explain Sources of Income of a Company.

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4. Explain agricultural income in india.

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5. Write in detail about the Tax Rates.

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……

3.11 Objective Type Question

1. A company is defined under Section _____ of the Income Tax Act, 1961.

   Answer: 2(17)

2. The Central Board of Direct Taxes (CBDT) has the authority to declare an entity as a _____ for a specific assessment year.

   Answer: company

3. Corporate tax is levied on the _____ or net profits of a company.

   Answer: profits

4. Taxable income is computed after deducting expenses such as _____, depreciation, and administrative expenses.

   Answer: cost of goods sold

5. Corporate tax is also known as _____ tax.

   Answer: trade

6. Domestic companies are taxed on their _____ income.

   Answer: worldwide

7. Foreign companies are taxed only on income earned from their _____ operations.

   Answer: Indian

8. A company in which the public are substantially interested is defined under Section _____ of the Income Tax Act.

   Answer: 2(18)

9. A company listed on a recognized stock exchange is considered a _____ interested company under Section 2(18)(b)(A).

   Answer: public substantially

10. Companies with at least _____% of shares held by cooperative societies are considered publicly interested companies.

    Answer: 50

11. Income from the sale of goods and services falls under _____ income.

    Answer: operating

12. Income earned from interest and dividends falls under _____ transactions.

    Answer: financial

13. Revenue from renting out property is classified as _____ income.

    Answer: rental

14. Agricultural income in India is generally _____ under the Income Tax Act.

    Answer: tax-free

15. The income derived from the sale of _____, such as real estate or equipment, leads to capital gains.

    Answer: assets

3.12 Bibliography

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Unit – 4
Set off and carry forward losses, Advance Tax Planning and Tax Relief

Structure

- Learning Outcomes
- Bloom's Level of Learning
- Introduction
- Set off and carry forward of Losses
- Carry Forward of Losses:
- Basic Rules for Set-off and Carry Forward of Losses
- Advance Tax Payment and Relief
- Who is Required to Pay Advance Tax?
- To Sum Up
- Some Key Words
- Assignment Question
- Objective Type Question
- Bibliography

4.0 Learning Outcomes

After completion of this unit a student is expected to a clear understanding of

- Set off and carry forward of Losses
- Carry Forward of Losses:
- Basic Rules for Set-off and Carry Forward of Losses
- Advance Tax Payment and Relief
- Who is Required to Pay Advance Tax?

4.1 Bloom's Level of Learning

1. Remembering (Knowledge Level)

Objective: Recall basic facts and definitions.
Examples:

- Define set-off and carry forward of losses.
- List the different types of losses under the Income Tax Act (e.g., house property loss, capital loss).
- State the time limit for carrying forward business losses.

2. Understanding (Comprehension Level)

Objective: Explain ideas or concepts in one's own words.
Examples:

- Explain the difference between intra-head and inter-head set-off.
- Describe the conditions under which a capital loss can be carried forward.
- Summarize the provisions related to the set-off of speculative business losses.

3. Applying (Application Level)

Objective: Use knowledge in new situations.
Examples:

- Compute the total income of a person by setting off losses from different heads.
- Apply the rules of carry forward to a given problem involving business and capital losses.
- Fill out a tax return incorporating brought forward losses.

4. Analyzing (Analysis Level)

Objective: Break down information into components and examine relationships.
Examples:

- Analyze why certain losses can't be carried forward without filing returns in time.
- Differentiate between short-term and long-term capital losses in terms of set-off provisions.
- Identify errors in the application of set-off provisions in a given income scenario.

5. Evaluating (Evaluation Level)

Objective: Justify a decision or course of action.
Examples:

- Assess whether a taxpayer should set off a loss in the current year or carry it forward for future benefits.
- Evaluate the impact of belated filing of returns on the carry forward of losses.
- Critique the fairness of restriction on carry forward of losses for unabsorbed depreciation.

6. Creating (Synthesis Level)

Objective: Produce original work by combining ideas.
Examples:

- Develop a flowchart or decision tree outlining the process of set-off and carry forward under the Income Tax Act.
- Construct a case study showing the treatment of different types of losses over multiple assessment years.
- Design a compliance checklist for a company ensuring proper tracking and utilization of losses.

4.2 Introduction

In the realm of taxation, businesses often encounter financial setbacks, resulting in losses that can have a significant impact on their tax liabilities. To mitigate this impact, tax laws provide provisions for setting off and carrying forward losses, allowing businesses to offset their losses against profits in the same year or in subsequent years. This mechanism enables companies to reduce their tax burden, thereby conserving financial resources and facilitating business continuity. Understanding the rules and regulations governing set off and carry forward of losses is essential for businesses to optimize their tax planning strategies and minimize their tax liabilities.

4.3 Set off and carry forward of Losses

Income tax is calculated by combining income from different sources, which determines the total earnings for the previous year. A taxpayer's total income is assessed under various categories, including Salaries, House Property, Business and Profession, Capital Gains, and Other Sources. In some cases, losses may arise from one or more of these categories. To address this, the Income Tax Act provides provisions for taxpayers to reduce such losses.

When a loss is deducted from total income in the same financial year it occurs, it is known as **set-off**. However, if losses from previous years are adjusted against income in the current year, it is referred to as **carry forward of losses**. The guidelines for set-off and carry forward of losses are specified under Sections 70 to 80 of the Income Tax Act, 1961.

Provisions for Set-Off of Losses

1. Adjusting Losses Within the Same Head of Income (Inter-Source Adjustment) – Section 70

If the net result for any assessment year under a specific source of income, excluding Capital Gains, is a loss, the taxpayer is allowed to set off that loss against income from another source under the same head. In other words, if a loss is incurred under a particular income category in a given year, it can be adjusted against income from another source within that same category. This process is known as **inter-source adjustment**.

However, there are certain exceptions:

- **Losses from Speculation Business**: These cannot be adjusted against income from any other business or profession. They can only be set off against profits from another speculation business.
- **Losses from Specified Businesses (Section 35AD)**: Losses from businesses covered under Section 35AD can only be adjusted against profits from another specified business within the same section.
- **Set-Off Rules for Capital Losses**

  A long-term capital loss can only be adjusted against a long-term capital gain. For instance, if Mr. X incurs a short-term capital loss of ₹25,00,000 and earns a long-term capital gain of

₹60,00,000, he can offset the short-term capital loss against the long-term capital gain. As a result, his net long-term capital gain would be ₹35,00,000.

- However, if Mr. Y earns a short-term capital gain of ₹50,00,000 but incurs a long-term capital loss of ₹20,00,000, he cannot offset the long-term capital loss against the short-term capital gain. In this scenario, the ₹50,00,000 short-term capital gain remains taxable, while the ₹20,00,000 long-term capital loss is carried forward for future adjustments.
- **Losses from the Business of Owning and Maintaining Race Horses** Any loss incurred from the business of owning and maintaining racehorses can only be set off against income from the same source. These losses cannot be adjusted against any other type of income.
- **Restrictions on Set-Off of Losses Against Winnings (Section 58(4))** Losses cannot be adjusted against income earned from activities such as lotteries, crossword puzzles, gambling, card games, horse races, betting, or similar activities. Furthermore, losses from any source cannot be set off against such winnings, and no loss under any head of income can be adjusted against these types of earnings.

2.Set-Off of Losses Across Different Heads of Income (Section 71) – Inter-Head Adjustment

Once intra-head adjustments (within the same category of income) are made, the next step is inter-head adjustment. If, during an assessment year, a taxpayer incurs a loss under one head of income (excluding Capital Gains) and has no income under the Capital Gains category, they are allowed to offset the loss against income earned under another head, subject to the provisions of the Income Tax Act.

This implies that if a taxpayer faces a loss under one category of income but earns income under another, they can adjust the loss accordingly. For example, a loss incurred under the **House Property** category can be offset against income from **Salaries**. However, intra-head adjustments must be completed before proceeding with inter-head adjustments.

<u>Exceptions to Inter-Head Adjustment:</u>

- **Speculative Business Losses:** Losses arising from a speculative business cannot be offset against any other type of income. However, losses from a non-speculative business can be set off against income from a speculative business.

- • **Specified Business Losses (Section 35AD):** Losses incurred from businesses covered under Section 35AD cannot be set off against any other type of income. This section applies to specific businesses, such as establishing a cold chain facility, operating a warehouse for agricultural produce storage, or developing and constructing housing projects.
- • **Capital Gains Losses:** Losses under the **Capital Gains** category cannot be adjusted against income from any other head of income.
- • **Losses from Racehorse Business:** Any loss from the business of owning and maintaining racehorses can only be offset against income generated from the same business and not from any other source.
- • **Losses Against Gambling or Lottery Winnings:** Losses from any source cannot be set off against income earned from lotteries, crossword puzzles, betting (including horse racing), card games, or any other form of gambling.
- • **Business and Profession Losses Against Salary Income:** Losses arising from business or professional activities cannot be adjusted against income taxed under the **Salaries** head.

4.4 Carry Forward of Losses

A) Carrying Forward and Setting Off Business Losses (Excluding Speculation Loss) – Section 72

If a taxpayer incurs a loss under the head **"Profits and Gains of Business or Profession"** in any assessment year (excluding losses from speculative business), and this loss cannot be fully adjusted against income from any other source as per **Section 71**, then the unadjusted portion of the loss, or the entire loss in case of no other income, shall be carried forward to the next assessment year, subject to certain conditions.

1. **Set-Off Against Future Business Income**:
    - The carried-forward loss can be set off against profits from any business or profession in the subsequent assessment year.
    - If the loss is not completely adjusted in that year, the remaining balance continues to be carried forward to the following years.

2. **Loss from a Discontinued Business (as per Section 33B)**:
    - If the business that incurred the loss is discontinued but later re-established, reconstructed, or revived within three years, the loss associated with such business shall be carried forward to the assessment year corresponding to the period when it resumes.
    - This loss can then be adjusted against profits from the revived business or any other business operated by the taxpayer.
    - If the loss is not fully offset, the remaining portion will continue to be carried forward for up to **seven** assessment years.
3. **Priority in Allowance Adjustments**:
    - Any allowances to be carried forward under **Section 32(2) or Section 35(4)** will first be adjusted before applying the provisions of this section.
4. **Time Limit for Carrying Forward Losses**:
    - Except for specific cases mentioned in **sub-section (1) proviso**, business losses cannot be carried forward for more than **eight assessment years** following the year in which the loss was initially computed.

B) <u>Carrying Forward and Setting Off Accumulated Losses & Unabsorbed Depreciation in Amalgamation or Demerger –</u> <u>Section 72A</u>

In the case of an amalgamation, the **accumulated losses** and **unabsorbed depreciation** of the amalgamating company are treated as the losses or depreciation of the **amalgamated company** for the financial year in which the amalgamation takes place. The applicable provisions for carrying forward and setting off these losses and depreciation allowances will apply, provided certain conditions are met:

1. **Eligible Types of Amalgamation**:
    - The merger must involve:

      a) A company operating an **industrial unit, ship, or hotel** merging with another company.

      b) A **banking company** (as per Section 5(c) of the **Banking Regulation Act, 1949**) merging with a **specified bank**.

      c) One or more **public sector enterprises** engaged in **aircraft operations** merging with similar public sector enterprises.
2. **Business Continuity Requirements**:

- The amalgamating company must have been in operation for at least **three years** before the merger, during which the losses were incurred or depreciation remained unabsorbed.
- As of the merger date, the amalgamating company must have held at least **75% of the book value of its fixed assets** for at least **two years** prior.

3. **Obligations of the Amalgamated Company**:
   - The amalgamated company must **retain at least 75% of the book value** of the fixed assets acquired from the amalgamating company for at least **five years** after the merger.
   - It must **continue the business operations** of the amalgamating company for a minimum period of **five years** post-merger.

Additional conditions prescribed by tax authorities must be fulfilled to ensure the **revival of the business** and confirm that the merger serves a **genuine business purpose**.

Non-Compliance Consequences

If any of the above conditions are not met, the **previously set-off losses and depreciation** will be considered **taxable income** of the amalgamated company in the year of non-compliance.

In the event of a demerger, accumulated loss and unabsorbed depreciation [Section 72 A (4)]

If the accumulated loss or unabsorbed depreciation of the demerged firm is closely related to the resulting company, it will be permitted to be carried forward and set off in the hands of the new company. It can be carried forward and set off in the hands of the demerged company or the resulting company, as the case may be, if the loss or unabsorbed depreciation is not directly related to the undertakings transferred to the resulting company. It will be divided between the two companies in the same proportion as the assets of the undertakings have been retained by the demerged company and transferred to the resulting company. Further, the Central Government may through publication in the Official Gazette, establish such restrictions as it believes essential to guarantee that the demerger is for real business purposes.

Treatment of Accumulated Loss and Unabsorbed Depreciation in Business Succession – Section 72A(6)

When a business undergoes **reorganization**, where a **firm** or a **proprietary concern** is succeeded by a **company**, the accumulated losses and unabsorbed depreciation of the predecessor entity are considered as the losses and depreciation of the successor company. This applies for the financial year in which the

reorganization occurs, provided that the conditions outlined in **Section 47(xiii) and (xiv)** are met. The standard rules for setting off and carrying forward these losses and depreciation will then apply.

However, if any of the conditions under **Section 47(xiii) and (xiv)** are violated, the losses or depreciation that were previously set off in the hands of the successor company will be treated as **taxable income** for the year in which the non-compliance occurs.

Succession of a Private or Unlisted Public Company by an LLP – Section 72A(6A)

In cases where a **private company** or an **unlisted public company** is succeeded by a **limited liability partnership (LLP)** in accordance with the conditions specified in **Section 47(xiiib)**, the accumulated losses and unabsorbed depreciation of the predecessor company are transferred to the LLP. These losses and depreciation will be treated as those of the LLP for the financial year in which the reorganization takes place, and the usual provisions for their set-off and carry-forward will apply.

Explanation for Sections 72A, 72AA, and 72AB

For the purpose of **Sections 72A, 72AA, and 72AB**, the following terms are defined:

1. **Accumulated Loss**:
   - Refers to the losses incurred by a **predecessor firm, proprietary concern, private company, unlisted public company, amalgamating company, or demerged company** under the head **"Profits and Gains of Business or Profession"** (excluding speculative losses).
   - These losses would have been eligible for **carry forward and set-off** under **Section 72** if the business reorganization, conversion, amalgamation, or demerger had not taken place.
2. **Definition of Industrial Undertaking**:
   - An industrial undertaking includes any business engaged in:
     - **Manufacturing or processing goods**
     - **Developing computer software**
     - **Generating or distributing electricity or other forms of power**
     - **Providing telecommunication services**, including basic and cellular services, radio paging, domestic satellite services, trunking networks, broadband, and internet services

        - **Mining activities**
        - **Constructing ships, aircraft, or rail systems**

3. **Unabsorbed Depreciation**:
    - Refers to the **depreciation allowance** that remains unutilized for a **predecessor firm, proprietary concern, private company, unlisted public company before conversion into an LLP, amalgamating company, or demerged company**.
    - This depreciation would have been **allowed as per the provisions of the Income Tax Act** if the business restructuring had not taken place.
4. **Specified Bank**:
    - Includes:
        - **State Bank of India (SBI)** as per the **State Bank of India Act, 1955**
        - **Subsidiary banks** under the **State Bank of India (Subsidiary Banks) Act, 1959**
        - **Corresponding new banks** constituted under:
            - **Section 3 of the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970**
            - **Section 3 of the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1980**

<u>Carry Forward and Set-Off of Accumulated Loss & Unabsorbed Depreciation in Amalgamation of Banking Companies – Section 72AA</u>

When a **banking company** undergoes **amalgamation** with another **banking institution** under a scheme approved and implemented by the **Central Government** as per **Section 45(7) of the Banking Regulation Act, 1949**, the **accumulated losses** and **unabsorbed depreciation** of the amalgamating banking company are transferred to the successor banking institution. These losses and depreciation are treated as those of the successor for the financial year in which the amalgamation takes effect. The relevant provisions of the Income Tax Act regarding **set-off and carry forward** of such losses and depreciation continue to apply.

Carry Forward and Set-Off of Accumulated Loss & Unabsorbed Depreciation in Business Reorganization of Co-operative Banks

In the case of a **business reorganization of co-operative banks**, the **successor co-operative bank** is allowed to set off the **accumulated loss** and **unabsorbed depreciation** of the **predecessor co-operative bank**, as though the amalgamation had not occurred. The standard provisions for **carry forward and set-off** of such losses and depreciation remain applicable.

However, these benefits apply only if certain conditions are met:

1. The **predecessor co-operative bank** must have been engaged in banking operations for at least **three years** before the reorganization.
2. It must have continuously held at least **75% of the book value of its fixed assets** for **two years** prior to the business reorganization.
3. The **successor co-operative bank** must retain at least **75% of the book value of fixed assets** acquired from the predecessor for at least **five years** post-reorganization.
4. The successor co-operative bank must **continue the business operations** of the predecessor for a minimum of **five years** after the reorganization.
5. The successor must fulfill **any additional conditions** prescribed to ensure the **revival of the business** and confirm that the reorganization is for a **genuine business purpose**.

C) Losses in Speculation Business [Section 73]

Section 73 deals with the provisions for Loss from Speculative Business. Under this section, any loss, computed in respect of a speculation business carried on by the assessee, shall not be set off except against profits and gains, if any, of another speculation business. If for any assessment year any loss computed in respect of a speculation business has not been wholly set off then the remaining amount of loss or the whole loss where the assessee had no income from any other speculation business, shall be carried forward to the following assessment year, and it shall be set off against the profits and gains, if any, of any speculation business carried on by him assessable for that assessment year. Further, if the loss cannot be wholly so set off, the amount of loss not so set off shall be carried forward to the following assessment year and so on. **Moreover,** in respect of allowance on account of depreciation or capital expenditure on scientific research, the provisions of sub-section (2) of section 72 shall apply in

relation to speculation business as they apply in relation to any other business. **Further,** no loss shall be carried forward under this section for more than four assessment years immediately succeeding the assessment year for which the loss was first computed.

D) Carry Forward and Set-Off of Capital Losses – Section 74

When the net result of the computation under the head **"Capital Gains"** results in a loss, the entire loss can be carried forward to the next assessment year. However, the provisions governing **carry forward and set-off** must also be considered. The following key points should be noted before carrying forward and setting off capital losses:

1. **Set-Off of Short-Term Capital Loss**:
   - Losses from a **short-term capital asset** can be set off against any income under the head **"Capital Gains"** for that assessment year, whether from a short-term or long-term capital asset.
2. **Set-Off of Long-Term Capital Loss**:
   - Losses from a **long-term capital asset** can **only** be set off against **long-term capital gains** and **not** against short-term capital gains.
3. **Carry Forward of Unadjusted Losses**:
   - If the loss cannot be fully set off in the same assessment year, the remaining amount is carried forward to the next assessment year and so on.
4. **Time Limit for Carry Forward**:
   - Both **short-term and long-term capital losses** can be carried forward for up to **eight assessment years** following the year in which the loss was first computed.
   - The loss can only be carried forward if the income tax return is **filed within the due date** specified under **Section 139(1)**.
   - However, in certain cases, a delayed loss return may be accepted if specific conditions are met.

E) Set-Off and Carry Forward of Losses in Different Scenarios

1. Losses of a Firm [Section 75]

For losses incurred by a firm before April 1, 1992, which were allocated to a partner but could not be set off before April 1, 1993, such losses can be adjusted against the firm's income. This is subject to the condition that the concerned partner remains in the firm. The losses can be carried forward and set off as per the provisions of **Sections 70, 71, 72, 73, 74, and 74A**.

2. Set-Off of Losses from a Discontinued Business [Section 41]

If a business or profession ceases operations and there is taxable income, any loss (excluding speculation losses) from that business in the year it ceased, which could not be adjusted against other income, can be set off against taxable income under **Section 41**.

3. Carry Forward and Set-Off of Losses Due to Change in Firm's Constitution [Section 78(1)]

If a firm undergoes a change due to a **partner's retirement or death**, the firm can carry forward and set off the portion of the loss that **exceeds the retired or deceased partner's share of profits**, if any, from the previous year.

4. Carry Forward and Set-Off of Losses Due to Succession [Section 78(1)]

- If a business or profession is **succeeded by another person other than through inheritance**, the successor **cannot** carry forward and set off the losses incurred before succession.
- However, if the succession occurs **through inheritance**, the successor **is allowed** to carry forward and set off the losses incurred before the transition.

5. Carry Forward and Set-Off of Losses in Certain Companies [Section 79]

In the case of **a company where the public does not have a significant interest**, if there is a change in shareholding during a previous year, losses from earlier years **cannot** be carried forward and set off unless:

- On the last day of the previous year, at least **51% of the voting power** is held by the same shareholders who held at least **51% of the voting power** in the year(s) when the loss was incurred.

Exceptions:

1. **Change in voting power due to inheritance or a gift to a relative** does not impact the ability to carry forward losses.
2. **In the case of an Indian company that is a subsidiary of a foreign company**, if the change in shareholding occurs due to **amalgamation or demerger of the foreign company**, losses can still be carried forward—provided that at least **51% of the shareholders** of the original foreign company remain shareholders in the amalgamated or resulting company.

F) Carry Forward and Set-Off of Losses in Specific Cases

1. Losses from House Property [Section 71B]

If the computation under **"Income from House Property"** results in a loss and it cannot be entirely set off against income from other heads as per **Section 71**, the unadjusted portion of the loss can be carried forward. However, such a loss can only be carried forward for a **maximum of eight assessment years** following the year in which it was first computed.

2. Set-Off of Losses from Owning and Maintaining Race Horses [Section 74A(3)]

For an assessee who owns and maintains horses for **racing purposes**, any loss incurred from this activity in a particular assessment year **cannot** be set off against income from other sources. Instead, it can **only** be adjusted against income derived from the **same activity** in that year.

However, if the loss remains unadjusted, it can be **carried forward** to the next assessment year and set off against any future income from owning and maintaining race horses. This is subject to the condition that the **activity continues** in the relevant previous year.

A race horse-related loss **cannot** be carried forward for more than **four consecutive assessment years** after the year in which it was first incurred.

Carry forward and set-off losses in a nutshell

LOSS	Same head Set-off	Inter-head Set-off	Carry forward	Against which Income to be set-off
House Property loss	Allowed	Allowed	8 AYs	House property income
Business loss	Allowed	Allowed *except salaries*	8 AYs	Business Income (speculative and Non-speculative Profits)
Speculation loss	Not-allowed	Not-allowed	4 AYs	Speculative income only
STCL	Allowed	Not-allowed	8 AYs	Capital gains (LTCG & STCG)
LTCL	Not-allowed	Not-allowed	8 AYs	LTCG only
Loss on Maintenance of race-horses	Not-allowed	Not-allowed	4 AYs	Same income – i.e., income from such activity.
Unabsorbed depreciation,	Allowed	Allowed	No time limit	Any Income

4.5 Basic Rules for Set-off and Carry Forward of Losses

Rule 1: Set-off Against Same Head of Income: Losses carried forward can only be set off against income from the same head in subsequent years. For example, a loss from house property can only be set off against income from house property in future years.

Rule 2: Declaration of Loss in Income Tax Return: To carry forward a loss, it must be declared in the income tax return filed for that year. Additionally, losses under certain heads (capital

gains, speculation business, business or profession, and race horse ownership) require filing a loss return as per Section 139(3).

Rule 3: Filing Income Tax Return by Due Date: A loss for a particular year can be carried forward only if the income tax return for that year is filed by the due date. However, loss from house property can be carried forward even if the return is not filed on time.

Rule 4: No Set-off Against Exempt Income: A loss from a source of income exempt from income tax (e.g., agricultural loss) cannot be set off against income from a taxable source.

Rule 5: No Set-off Against Winnings from Lotteries, Horse Races, etc: Losses from lotteries, horse races, gambling, etc. cannot be set off against income from these sources or any other source.

4.6 Advance Tax Payment and Relief

Advance tax: Advance tax, also known as pay-as-you-earn tax, is a payment made by individuals and companies towards their tax liability before the end of the financial year. In India, advance tax is payable in four installments:

1. 15% of tax liability by 15th June
2. 45% of tax liability by 15th September
3. 75% of tax liability by 15th December
4. 100% of tax liability by 15th March

4.7 Who is Required to Pay Advance Tax?

Advance tax is mandatory for:

4.7.1 Salaried individuals, freelancers, and businesses with a total tax liability of ₹10,000 or more in a financial year.

4.7.2 Senior citizens (60 years or older) with business income. Exemptions:

4.7.3 Senior citizens (60 years or older) without business income are exempt from paying advance tax.

Presumptive Taxation Scheme:

4.7.4 Businesses opting for the presumptive taxation scheme under Section 44AD must pay their entire advance tax in one installment by 15th March. They can also pay by 31st March.

4.7.5 Independent professionals (e.g., doctors, lawyers, architects) under Section 44ADA must pay their entire advance tax liability in one installment by 15th March. They can also pay by 31st March.

Tax Relief: Tax relief refers to the reduction or exemption from tax liability. In India, tax relief is available in various forms, including:

4.7.5.1 Tax deductions: Allowable expenses that reduce taxable income.

4.7.5.2 Tax exemptions: Income that is not subject to tax.

4.7.5.3 Tax credits: Direct reduction in tax liability.

4.7.5.4 Tax rebates: Refund of excess tax paid.

Tax relief is available for various purposes, such as:

1. Charitable donations
2. Education expenses
3. Healthcare expenses
4. Home loan interest
5. Retirement savings

4.8To Sum Up

Set off and carry forward of losses are essential concepts in taxation that enable businesses to adjust their losses against profits or income in the same year or subsequent years. Intra-head set off involves adjusting losses from one source of income against income from another source under the same head of income, while inter-head set off involves adjusting remaining losses against income from other heads.

There are various types of losses, including speculative business loss, specified business loss

under 35AD, capital losses, and losses from owning and maintaining race-horses. Each type of loss has its own set of rules and regulations for set off and carry forward. For instance, speculative business losses can only be set off against speculative business profits, while capital losses can be set off against capital gains.

The rules for set off and carry forward of losses also require businesses to declare their losses in their income tax returns and file their returns by the due date. Additionally, advance tax payment is mandatory for businesses with a total tax liability of ₹10,000 or more in a financial year. Tax relief is also available in various forms, such as tax deductions, exemptions, credits, and rebates.

4.9 Some Key Words

Set Off: Adjusting losses against profits or income in the same year.

Carry Forward: Unadjusted losses can be carried forward to subsequent years for set off against income.

Intra-Head Set Off: Adjusting losses from one source of income against income from another source under the same head of income.

Inter-Head Set Off: Adjusting remaining losses after intra-head adjustments against income from other heads.

Speculative Business Loss: Losses from speculative business transactions, such as trading in shares or commodities.

Specified Business Loss under 35AD: Losses from specified businesses, such as infrastructure development or scientific research.

Capital Losses: Losses from the sale of capital assets, such as shares, property, or investments.

Losses from Owning and Maintaining Race-Horses: Losses from the business of owning and maintaining race-horses.

Set-off Against Same Head of Income: Losses carried forward can only be set off against income from the same head in subsequent years.

Declaration of Loss in Income Tax Return: To carry forward a loss, it must be declared in the income tax return filed for that year.

Filing Income Tax Return by Due Date: A loss for a particular year can be carried forward only

if the income tax return for that year is filed by the due date.

Advance Tax: A payment made by individuals and companies towards their tax liability before the end of the financial year.

Presumptive Taxation Scheme: A scheme that allows businesses to pay tax based on a presumed profit margin, rather than actual profits.

Tax Relief: Reduction or exemption from tax liability, available in various forms such as tax deductions, exemptions, credits and rebates.

4.10 Assignment Question

1. Discuss the basic rules for setting and carry forward of losses.

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2. Who is required to pay the advance tax?

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3. Write in detail about Setting and Carry Forward of Losses.

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4. Write in detail about Setting and Carry Forward of Losses of unabsorbed depreciation.

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5. Write in detail about Setting and Carry Forward of Losses capital loss and loss on house property.

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3.11 Objective Type Question

1. Loss from house property can be set off against income under _____.
   a) any head of income
2. Business loss (non-speculative) can be carried forward for _____ assessment years.
   a) 8
3. Loss under the head "Capital Gains" can be set off only against _____.
   a) capital gains
4. Speculative business loss can be carried forward and set off only against _____ income.
   a) speculative business
5. Unabsorbed depreciation can be carried forward for _____ years.
   a) unlimited
6. Loss from owning and maintaining race horses can be carried forward for a maximum of _____ years.
   a) 4
7. Intra-head adjustment means setting off loss against income under the _____ head.
   a) same
8. Inter-head adjustment is allowed only when the loss cannot be adjusted under _____.
   a) the same head
9. Carry forward of losses is allowed only if the return of income is filed within _____.
   a) due date
10. Loss under the head “House Property” can be carried forward for _____ years.
    a) 8
11. Capital losses can be carried forward only if the return is filed under _____.
    a) section 139(1)
12. Losses under _____ cannot be set off against income under any other head.
    a) capital gains
13. _____ losses can be adjusted against income from any business or profession.
    a) Non-speculative business

14. The set-off and carry forward provisions are covered under Chapter _____ of the Income Tax Act.

a) VI

15. If losses are carried forward, they must be set off in the _____ available assessment year.

a) earliest

4.12 Bibliography

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Unit – 5
Residential Status of a Company

Structure

5.0 Learning Outcomes
5.1 Bloom's Level of Learning
5.2 Introduction
5.3 Residential Status
5.4 Importance of Residential status
5.5 Classification of Residential Status under Income Tax
5.6 Case studies on Residential Status
5.7 Double Taxation
5.8 Tax Applicability for Different Residential Statuses
5.9 To sum up
5.10 Some key words
5.11 Assignment Question
5.12 Objective Type Question
5.13 Bibliography

5.0 Learning Outcomes

After completion of this unit, a student can able to understand the following concepts.

- Residential Status
- Classification of Residential Status under Income Tax
- Residential Status of a Company in India
- Double Taxation
- Tax Applicability for Different Residential Statuses

5.1 Bloom's Level of Learning

1.Remembering

- Objective**:** Recall facts about residential status.
- Examples**:**
    - Define residential status.
    - List the conditions under Section 6 of the Income Tax Act.
    - Name the types of residential statuses (Resident, Resident but Not Ordinarily Resident, Non-Resident).

2. **Understanding**

- Objective**:** Explain ideas and concepts.
- Examples**:**
    - Explain the basic conditions for determining residential status.
    - Interpret what "stay in India for 182 days or more" means.
    - Differentiate between Resident and RNOR.

3. **Applying**

- Objective**:** Use information in new situations.
- Examples**:**
    - Determine the residential status of an individual based on a given set of travel dates.
    - Apply Section 6 conditions to compute someone's residential status.

4. **Analyzing**

- Objective**:** Break down information and understand relationships.
- Examples**:**
    - Analyze how the residential status affects taxability in India.
    - Compare residential status rules for Indian citizens and foreign nationals.
    - Identify which conditions are applicable for different types of income.

5. **Evaluating**

- Objective**:** Justify decisions or opinions.
- Examples**:**
    - Justify the classification of a person as NR or RNOR based on their past stay history.
    - Critique a case study where residential status has been wrongly computed.

6. **Creating**

- Objective**:** Produce new or original work.
- Examples**:**
    - Create a decision tree or flowchart for determining residential status.
    - Design a quiz or case study to test others' understanding of residential status.

5.2 Introduction

Determining the residential status of a company is a crucial aspect of taxation, as it plays a significant role in ascertaining the tax liability of the company. The residential status of a company determines whether it is liable to pay tax in India on its global income or only on the income earned in India. In India, the residential status of a company is determined based on the provisions of the Income-tax Act, 1961, which takes into account factors such as the company's place of incorporation, its place of effective management, and the duration of its stay in India. Understanding the residential status of a company is essential for businesses to navigate the complexities of Indian taxation and ensure compliance with the relevant tax laws and regulations.

5.3 Residential Status

An individual is considered a resident of India for tax purposes if they meet specific conditions related to their physical presence in the country. As per Section 6, an individual is deemed a resident if he has stayed in India for 182 days or more during the financial year. Alternatively, they are considered a resident if they have stayed in India for 60 days or more in the financial year and 365 days or more in the preceding four years.

Once classified as a resident, an individual's global income is subject to taxation in India. This means they are liable to pay tax not just on their earnings in our country but also on income

generated from foreign investments, property, or businesses. As a result, residents are taxed on their global income, making it essential to consider tax implications on their worldwide earnings.

5.4 Importance of Residential Status

- Total Income of an assessee cannot be determined without knowing his residential Status.
- Residential Status shall be determined for every person for each previous year.
- The onus of responsibility to prove the Residential Status is on the Assessee.
- The income tax department provides for a different tax treatment for its taxpayers based on their residential status.
- By accurately ascertaining one's residential status, individuals can navigate the tax landscape effectively, ensuring they meet their obligations while maximizing their financial benefits.
- The entire taxability under the Income Tax Act, 1961 revolves around the fact whether a person is a resident or a non-resident.

5.5 Classification of Residential Status under Income Tax

For determination of Residential status, all the taxable entities have been categorized as follows

1. **Individual**
2. **Hindu undivided family**
3. **Firms, association of person or body of individual**
4. **Joint stock company**
5. **Any other person**

1.Individual

The Income Tax Law classifies individuals into three residential status categories based on their duration of stay in India. This classification affects their tax liabilities for the current and previous years. The three categories are:

Resident and Ordinarily Resident (ROR): A person is considered an ROR if he meets either of the following conditions:

- Physically present in India for at least 182 days in a financial year.
- Physically present in India for at least 60 days in the current financial year and 365 days or more in the preceding four financial years.

Resident but Not Ordinarily Resident (RNOR): A person is considered an RNOR if he has strong ties to India, such as citizenship, birthplace, or permanent residence. To qualify as an RNOR, a person must meet one of the following conditions:

- Lived in India for at least two of the ten preceding financial years.
- Physically present in India for at least 730 days in the seven years preceding the current year.

Non-Resident (NR): A person is considered a non-resident if he does not meet the conditions for ROR or RNOR status. This means he was not been physically present in India for:

- 182 days or more in the current financial year.
- 60 days or more in the current financial year and 365 days or more in the preceding four financial years.

2. Hindu undivided family

Under Hindu Law, a Hindu Undivided Family (HUF) is a family unit composed of all individuals who are direct descendants of a common ancestor, along with their wives and unmarried daughters. An HUF cannot be formed through an agreement; it naturally exists in a Hindu family. Although Jain and Sikh families are not subject to Hindu Law, they are recognized as HUFs under this legislation. According to Section 2(31) of the Income Tax Act, 1961, an HUF is classified as a ‘person’ and is treated as a distinct entity for taxation purposes. Additionally, Section 6(2) of the Act stipulates that an HUF is considered a resident of India only if its control and management are either fully or partially based in India. The residential status of the Karta in prior years is taken into account when determining if the family qualifies as ordinarily resident.

The concept of "control and management" holds significant importance and has been defined by various courts. In the case of CIT vs Nandlal Gandalal, the court explained that "control and management" refers to de facto control, not just the right to control or manage. Additionally, in San Paulo (Brazilian) Railway Co. v. Carter, the court stated that control and management are located where the leadership,

seat, and decision-making powers are based. It is at this location where crucial business decisions are made, such as financing, allocation of funds, hiring or firing of staff, and decisions on business expansion or diversification. Furthermore, in the case of Annamalai Chettiar v. ITO, the court ruled that the mere presence of the family in India, or the Karta residing in India during the previous year, does not automatically mean that India is the seat of control and management of the family's affairs unless decisions about those affairs are actually made there. The absence of the Karta from India does not automatically render the family non-resident.

1. Generally, HUF shall be taken to be resident in India unless control and management of its affairs is situated wholly outside India.

2. HUF may be residing in one place and doing a great deal of business in another place.

Occasional visit of a non-resident Karta to the place of HUF's business in India would be insufficient to make HUF ordinarily resident in India. A Hindu Undivided Family (HUF) is considered an ordinarily resident in India if the Karta or the family manager meets two specific conditions:

1) The Karta must have been a resident of India for at least 2 out of the 10 years immediately preceding the relevant previous year.

2) The Karta must have spent a minimum of 730 days in India during the 7 years immediately prior to the relevant previous year.

If the Karta or manager fails to meet these conditions, the family will be classified as a resident but not ordinarily resident in India.

3.Firms, Association of person or body of individual

The residential status of a firm or an association of persons (AOP) is determined based on its place of control and management. The rules for determining residential status vary depending on the tax laws of a specific country. However, in general:

i. Residential Status of a Firm (Partnership Firm)

A firm is considered resident in a country if:

- The control and management of its affairs are wholly or partly situated within the country during the relevant financial year.

A firm is considered non-resident if:

- Its control and management are wholly outside the country during the financial year.

ii.Residential Status of an Association of Persons (AOP)

An AOP or a Body of Individuals (BOI) is considered resident if:

- The control and management of its affairs are wholly or partly situated within the country during the financial year.

An AOP is considered non-resident if:

- The control and management are wholly outside the country during the year.

4. Residential Status of a Company in India

A company is considered a resident in India if:

- It is an Indian company.
- Its control and management are situated wholly in India.

Resident companies are taxed on their global income, including:

- Income received or deemed to be received in India.
- Income that accrues or arises in India.
- Income that accrues or arises outside India.

On the other hand, a company is considered a non-resident in India if:

- It is not an Indian company.
- Its control and management are situated wholly or partially outside India.

Non-resident companies are taxed only on their Indian-sourced income, including:

- Income received or deemed to be received in India.
- Income that accrues or arises in India.

5.Any other person

Every other person (trust, club, local authority etc.) is **resident** in india in a previous year if the control and management of its affairs is wholly or partially situated in india during relevant previous year. I t is said to be **non-resident** india if control and management of its affairs is wholly situated outside india during the relevant previous year.

5.6 Case Studies on Residential Status

Question 1

In the financial year 2019-20, X, a foreign national, stayed in India for only 69 days. Determine his residential status for the assessment year 2020-21 based on the following details:

1. X was present in India for 366 days during the financial year 2016-17.
2. In 2013-14 and 2012-13, he was in Japan for 359 and 348 days, respectively, spending the remaining days in India.
3. X's spouse is a resident of India for the assessment year 2020-21.

Solution

- Determining Residential Status: X is considered a resident for the financial year 2019-20 as he meets the second condition—having spent 69 days in India during that year and 366 days in the preceding four years.
- Ordinary Resident Status: To qualify as an ordinarily resident, both additional conditions must be satisfied.

Financial Year	Days in India	Status
2018-19	0	Non-resident
2017-18	0	Non-resident
2016-17	366	Resident
2015-16	0	Non-resident

Financial Year	Days in India	Status
2014-15	0	Non-resident
2013-14	7	Non-resident
2012-13	17	Non-resident
2011-12 & earlier	0	Non-resident

Since X was in India for fewer than 730 days in the seven years prior and was a non-resident in nine out of the last ten years, he is classified as a "resident but not ordinarily resident."

Question 2

Mr. Kohli, an Indian citizen, has been working as an export manager for Arjun Overseas Ltd., an Indian company, since May 1, 2015. His work requires frequent travel to the U.S. for export promotion. He has spent the following days in the U.S. over the past five years:

Financial Year Ending	Days Spent in the U.S.
31.03.2016	317
31.03.2017	150
31.03.2018	271
31.03.2019	311
31.03.2020	294

Determine his residential status for the assessment year 2020-21, assuming he had never traveled abroad before May 1, 2015.

Solution

Total stay in India:

Financial Year	Days in India	Status
2015-16	48	Non-resident

Financial Year	Days in India	Status
2016-17	216	Resident
2017-18	94	Resident
2018-19	54	Non-resident
2019-20	71	Resident

- In the financial year 2019-20, Kohli stayed in India for 71 days. In the four preceding years, his total stay was 412 days (48 + 216 + 94 + 54).
- He meets the residency condition since the 182-day rule does not apply to Indian citizens who travel abroad for employment purposes.
- Over the past ten years, he was a resident for at least two years and stayed in India for more than 730 days in the past seven years.

Thus, he qualifies as a "resident and ordinarily resident" in India.

Question 3

(a) R was born in Lahore in 1949 and has been living in the U.S. since 1971. He visited India on October 2, 2019, and stayed until March 31, 2020. Determine his residential status for the assessment year 2020-21.

(b) Shane Warne, an Australian cricketer, has been coming to India annually since 1995-96, staying for approximately four months each year. Determine his residential status for the assessment year 2020-21.

Solution

(a) R’s Residential Status:

- He was in India for 181 days during the financial year 2019-20.
- However, he does not qualify as a resident since he did not stay in India for at least 365 days in the preceding four years.
- Conclusion: Non-resident

(b) Shane Warne's Residential Status:

- He stayed in India for more than 60 days in the financial year and over 365 days in the preceding four years.
- He meets both conditions under category B, meaning he was a resident for at least two out of the last ten years and stayed for more than 730 days in the previous seven years.
- Conclusion: Resident and ordinarily resident

Question 4

Determine the residential status for assessment year 2020-21 in the following cases:

1. An HUF is managed from India, but its Karta traveled to England with his spouse from August 14, 2019, to June 30, 2020. Before this, he always resided in India.
2. A company, registered in the U.S., had its place of effective management in India during the financial year.
3. A partnership firm has three partners: A and B (both residing in India) and C (residing in Germany). The firm is fully controlled by C, who stayed in India for six months in the financial year.
4. A VIP Club in India is fully controlled by its director, Mr. X, a Chinese citizen, who did not visit India during the financial year.

Solution

1. HUF: Since the HUF is partially managed from India and the Karta meets both category B conditions (resident for at least two of the last ten years and stayed for over 730 days in the past seven years), it is "resident and ordinarily resident."
2. Company: Since its effective management was in India during the financial year, it is a resident in India.
3. Partnership Firm: If the firm's control is even partially in India, it is considered a resident in India.
4. VIP Club: Since no part of its management was in India, it is classified as a non-resident.

Question 5

Sam arrived in India for the first time in the financial year 2019-20. His stay in India during the year was:
(i) 50 days
(ii) 183 days
(iii) 153 days

Determine his residential status for the assessment year 2020-21.

Solution

(i) 50 days: Sam does not meet any conditions under Section 6(1), making him a non-resident.
(ii) 183 days: Since he stayed in India for over 182 days in the financial year, he qualifies as a resident.
(iii) 153 days: Although he was in India for more than 60 days in 2019-20, he had not resided in India in the four years prior. Hence, he does not meet any residency conditions and remains a non-resident.

5.7 Double Taxation

Double taxation occurs when the same income is taxed in multiple countries. This can happen when a company:

1. Is a resident of one country but earns income in another country.
2. Has its control and management situated in one country but earns income in another country.

To avoid double taxation, countries enter into tax treaties and agreements.

A company or individual may face taxation on their global income in two or more countries, resulting in concurrent full liability to tax. This occurs when:

1. One country taxes based on nationality, while another taxes based on residence within its borders.

2. A person is domiciled in one country and resides in another, making them liable to tax in both countries on their global income.
3. A non-resident company or individual is taxed in each country on income derived from one of them, such as through a permanent establishment.

5.8 Tax Applicability for Different Residential Statuses

The tax implications for individuals in India are based on their residential status:

1. Residents: Their global income, including earnings within and outside India, is subject to taxation.

2. Resident but Not Ordinarily Resident (RNOR): Only their Indian income is taxable. Foreign earnings are exempt from taxation in India.

3. Non-Residents: Only income received in India or sourced from India is taxable. Income received outside India, unrelated to India, is not subject to taxation.

Key Concepts:

- Indian-sourced income: Includes interest on fixed deposits with Indian banks.

- Income received from India: Refers to payments made to a foreign bank account for services rendered by an Indian individual or business.

5.9To Sum Up

Determining the residential status of a company is crucial for taxation purposes. A company is considered a resident in India if it is incorporated in India or has its control and management situated wholly in India. Resident companies are taxed on their global income, including income received or deemed to be received in India, income that accrues or arises in India, and income that accrues or arises outside India.

On the other hand, a company is considered a non-resident in India if it is not incorporated in India and does not have its control and management situated wholly in India. Non-resident companies are taxed only on their Indian-sourced income, including income received or deemed

to be received in India and income that accrues or arises in India.

The tax implications for individuals and companies in India vary based on their residential status. Residents are taxed on their global income, while non-residents are taxed only on their Indian-sourced income. Understanding the residential status of a company or individual is essential to navigate the complexities of Indian taxation and ensure compliance with the relevant tax laws and regulations.

5.10 Some Key Words

Resident and Ordinarily Resident (ROR): A person who meets the conditions of physical presence in India and has strong ties to the country.

Resident but Not Ordinarily Resident (RNOR): A person who has strong ties to India but does not meet the conditions of physical presence.

Non-Resident (NR): A person who does not meet the conditions of physical presence in India.

Resident Company: A company that is incorporated in India or has its control and management situated wholly in India.

Non-Resident Company: A company that is not incorporated in India and does not have its control and management situated wholly in India.

Global Income: Income earned by a resident individual or company from sources both within and outside India.

Indian-Sourced Income: Income earned by a non-resident individual or company from sources within India.

Double Taxation: Taxation of the same income in multiple countries.

Resident: Taxed on global income.

RNOR: Taxed only on Indian income.

Non-Resident: Taxed only on Indian-sourced income.

5.11 Assignment Question

1.Explain in detail the residential status of an individual

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2.Explain in detail the residential status of HUF

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3.Explain in detail the residential status of a Firm and association of person

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4.Explain in detail the residential status of a joint stock company

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5.Explain in detail the residential status of other persons

……

……

5.12 Objective Type Question

1. An individual is said to be a resident in India if he stays in India for 182 days or more during the previous year.
   ➤ Answer: 182

2. An individual is also a resident if he stays in India for 60 days in the previous year and 365 days in the 4 preceding years.

   ➤ Answer: 60, 365

3. A Resident individual is classified as either Ordinarily Resident (ROR) or Not Ordinarily Resident (RNOR).

   ➤ Answer: Ordinarily Resident (ROR)

4. An Individual who is a citizen of India leaving India for employment is considered a resident only if he stays in India for 182 days or more.

   ➤ Answer: 182

5. A Hindu Undivided Family (HUF) is considered resident if its control and management is wholly or partly situated in India.

   ➤ Answer: control and management

6. A resident HUF is considered not ordinarily resident if the Karta has been a non-resident in 9 out of 10 preceding years.

   ➤ Answer: 9 out of 10

7. A Company is said to be resident in India if it is incorporated in India or its place of effective management (POEM) is in India.

   ➤ Answer: place of effective management (POEM)

8. A foreign company is resident in India if its POEM lies in India during the relevant previous year.

   ➤ Answer: POEM

9. A firm, AOP, or BOI is resident in India if control and management of its affairs is wholly or partly in India.

   ➤ Answer: control and management

10. A non-resident is taxable only on income that is received or deemed to be received in India.

    ➤ Answer: received or deemed to be received

11. Residential status is determined for each previous year independently.

    ➤ Answer: each previous year

12. In the case of a resident and ordinarily resident, global income is taxable in India.

    ➤ Answer: global income

13. RNOR and non-resident are taxable only on income that is accruing or arising in India.
    - ➤ Answer: accruing or arising in India
14. Residential status affects the scope of total income under the Income Tax Act.
    - ➤ Answer: scope of total income
15. The provisions for determining residential status are given under Section 6 of the Income Tax Act, 1961.
    - ➤ Answer: Section 6

5.13 Bibliography

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Unit – 6
Taxable Income of Company

Structure

6.0 Learning Outcomes
6.1 Bloom's level of learning
6.2 Introduction
6.3 Taxable Income of Companies
6.4 Deductibility of Expenses
6.5 Steps to Compute Taxable Income of Companies
6.6 Assessment of Firm
6.7 Case studies
6.8 Calculating a Company's Taxable Income
6.9 To Sum Up
6.10 Some Key Words
6.11 Assignment question
6.12 Objective types Question
6.13 Bibliography

6.0 Learning Outcomes

After completion of this unit a student is expected to have a clear understanding of the following concepts.

- Taxable Income of Companies
- Deductibility of Expenses
- Steps to Compute Taxable Income of Companies
- Calculating a Company's Taxable Income

6.1 Bloom's level of learning

1. Remembering

Objective**:** Recall basic facts about taxable income.

Example**:**

- Define taxable income for a company.
- List the types of incomes included under the head "Profits and Gains of Business or Profession".

2. Understanding

Objective**:** Explain the concept and components of taxable income.

Example**:**

- Describe how gross total income is calculated for a company.
- Explain the treatment of depreciation under the Income Tax Act.

3. Applying

Objective**:** Use the concept in practical situations.

Example**:**

- Calculate the taxable income of a company given its profit and eligible deductions.
- Apply the current corporate tax rate to compute tax liability.

4. Analyzing

Objective**:** Examine and break down the structure of taxable income.

Example**:**

- Analyze the impact of disallowed expenses on the final taxable income.
- Compare the tax liabilities under the old and new corporate tax regimes (Section 115BAA vs. 115BAB).

5. Evaluating

Objective**:** Make judgments about tax strategies or decisions.

Example**:**

- Evaluate whether opting for the concessional tax regime under Section 115BAA is beneficial for a company.
- Judge the tax impact of claiming additional depreciation under Section 32(1)(iia).

6. Creating

Objective**:** Formulate new tax-saving strategies or financial plans.

Example**:**

- Design a tax-efficient plan for a company to reduce its taxable income legally.
- Develop a compliance checklist to ensure accurate corporate tax reporting.

6.2 Introduction

The taxable income of a company is the net profit earned by the company during a financial year, after deducting allowable expenses, exemptions, and deductions from its gross income. The computation of taxable income is a critical step in determining a company's tax liability, as it forms the basis for calculating the tax payable to the government. In India, the taxable income of a company is governed by the provisions of the Income-tax Act, 1961, which prescribes the rules and regulations for computing taxable income, including the allowances, deductions, and exemptions available to companies. Understanding the concepts and principles of taxable income is essential for companies to ensure compliance with tax laws and optimize their tax planning strategies.

6.3 Taxable Income of Companies

Companies typically generate income from various sources, which are categorized into four main heads:

a) Business Income: The primary source of income for companies, encompassing revenue from operations, sales, and services.
b) Income from House Property: Rental income or gains from the sale of company-owned properties.
c) Income from Capital Gains: Profits from the sale of company assets, such as shares, securities, or investments.
d) Income from Other Sources: Miscellaneous income, including interest, dividends, and royalties.

To determine the total taxable income, companies must calculate the taxable income for each category according to the relevant rules and regulations, and then aggregate these amounts.

6.4 Deductibility of Expenses

When calculating business income, expenses incurred solely for business purposes are generally deductible. These include:

- Depreciation on fixed assets
- Interest paid on borrowings during the financial year

However, certain expenses are not allowed or have restricted deductions:

a) Entertainment expenses: Not fully deductible
b) Interest or payments to non-residents: Not deductible if tax is not withheld
c) Corporate taxes paid: Not deductible
d) Indirect general and administrative costs of a foreign head office: Restricted deductions apply

6.5 Steps to Compute Taxable Income of Companies

Step 1: Calculate Total Income and Adjust for Losses

Aggregate incomes from four heads:

1. Income from House Property: Rental income from residential or commercial properties, excluding properties used for business.

2. Profits and Gains of Business or Profession: Income from business operations.

3. Capital Gains: Profits from the sale of assets.

4. Income from Other Sources: Interest, lottery winnings, and other miscellaneous income.

Then, adjust the total income by setting off current and brought-forward losses, applying the set-off rules (Section 79), to arrive at the Gross Total Income.

Step 2: Calculate Net Income

From the Gross Total Income, deduct the prescribed allowances under Chapter VI A to arrive at the Net Income. To qualify for deductions, expenses must be wholly and exclusively incurred for business purposes, incurred or paid during the previous year, and supported by relevant papers and records.

Deductible expenses include business expenses, depreciation of tangible and intangible assets (as per Section 32), and depreciation calculated on the written-down value of assets (as per Section 43). However, personal or capital expenditures are not deductible. Capital expenditures are deductible only through depreciation or as part of property valuation for capital gains/losses. Additionally, depreciation for assets used for less than 180 days in the previous year is restricted to 50% of the normal value.

Step 3: Compute Tax Liability

Tax liability is calculated on the 'net income' that is chargeable to tax. This is done on either an accrual basis or receipt basis, whichever is earlier. However, if income is taxed on an accrual basis, it cannot be taxed again on a receipt basis. Finally, any tax rebates or tax credits are deducted from the computed tax liability.

Some important points

Carry Forward and Set Off of Losses for Certain Companies (Section 79)

For closely held companies, if there is a change in shareholding during a previous year, losses incurred in earlier years cannot be carried forward and set off unless, on both the last day of the year in which the loss was originally incurred and the last day of the year in which the set-off is claimed, at least 51% of the company's voting power is held by the same individuals.

This means that if there is a shift in ownership of more than 49% of voting power between these two reference dates, the company cannot claim the benefit of carrying forward such losses.

However, this restriction does not apply in cases where the change in shareholding occurs due to:
a) The demise of a shareholder, or
b) The transfer of shares as a gift to a relative of the transferring shareholder.

Additionally, Section 79 does not apply when an Indian subsidiary of a foreign company undergoes a change in shareholding due to the amalgamation or demerger of the foreign parent company, provided that at least 51% of the shareholders of the original foreign company continue as shareholders of the merged or resultant foreign company.

Deemed Dividend (Section 2(22)(e))

If a company, not being one in which the public has a substantial interest, provides any loan or advance to a shareholder holding at least 10% voting power, or to any entity in which such a shareholder has a significant stake (as a partner or member), such payment is treated as a deemed dividend. Similarly, if the company makes payments on behalf of or for the benefit of such a shareholder, it will be considered a deemed dividend, but only to the extent that the company has accumulated profits.

Liability of Directors of a Private Company in Liquidation (Section 179)

If a private company is unable to pay its tax liabilities for any previous year, then all individuals who served as directors during that period are jointly and individually responsible for settling the outstanding tax. However, a director can be exempted from this liability if they can demonstrate that the inability to recover the tax was not due to any gross negligence, misconduct, or failure in their duties concerning the company’s affairs.

Assessment of companies

The principal officer of a company must submit the company's total income tax return by October 31 of the assessment year. While a company is assessed in the same manner as other taxpayers, its tax liability differs in two key aspects:

- **No Exemption Limit:** Unlike individual taxpayers, companies are not entitled to any basic exemption limit.
- **Flat Tax Rate:** Companies are taxed at a fixed rate rather than following a progressive slab system.

6.6 Assessment of firms

- A firm can be assessed as such if:

  - There is a documented agreement that establishes the partnership. This document may be a partnership deed or any other formal record.
  - The share of each partner in the profits is explicitly stated in the agreement. In other words, the document must clearly outline how profits are distributed among partners.

 When a firm seeks assessment as a firm for the first time, its income tax return for the relevant assessment year must be accompanied by a certified copy of the partnership agreement.

 Once a firm is assessed as a firm for any given assessment year, it will continue to be assessed in the same manner in subsequent years unless there is a change in its structure.

 If there is any modification in the firm's structure or profit-sharing arrangement during a given year, a certified copy of the updated partnership agreement must be submitted with the income return for that assessment year.

 If a firm does not comply with the provisions of Section 184, it will still be assessed as a firm, but certain deductions will be disallowed:

- Payments made to partners in the form of interest, salary, bonus, commission, or any similar remuneration will not be deductible when computing taxable business income.

- These payments will also not be considered taxable income in the hands of the partners under the 'Profits and Gains of Business or Profession' category as per Section 28(v).

The provisions outlined in Section 40(b) restrict the following expenses:

1. Any salary, bonus, commission, or other remuneration paid or payable to a non-working partner is not permitted as a deductible expense.
2. Remuneration paid to a working partner that is either not authorized by the partnership deed or not in accordance with its terms is disallowed.
3. Payments to working partners must be made only for the period after the date of the partnership deed. If remuneration is provided for a period before the deed's date, it will not be deductible unless the previous deed allows such payments.
4. Salary, bonus, commission, or other remuneration paid to working partners, as authorized by the partnership deed, may be deductible if it pertains to a period after the deed's date. However, from the assessment year 2010-11 onward, the total amount paid to all partners in a financial year must not exceed the prescribed limit; any excess amount will be disallowed.
5. Interest payments to a partner are not deductible if they are not authorized or do not comply with the terms of the partnership deed.
6. Interest payments must correspond to a period after the partnership deed's execution; otherwise, they will be disallowed. However, if interest is paid for a later period as per the terms of a prior partnership deed, it may be deductible, provided it is payable after the date of the deed.
7. Interest payments to partners are deductible only if they are authorized by the partnership deed, adhere to its terms, and pertain to a period after its execution. Additionally, the interest rate must not exceed 12% per annum. Any amount exceeding this limit will not be allowed as a deduction.
8. If a firm charges interest on drawings, it implies that the firm both pays and receives interest from the same partner. In such cases, the interest received by the firm is taxable, while the interest paid will be deductible as per the provisions of Section 40(b).

Clarifications on Section 40(b):

1. **Classification of Partners**: Partners in a firm can be categorized as either **working partners** or **non-working partners**. A working partner is actively involved in managing the business or

professional affairs of the firm. In contrast, a non-working partner, also referred to as a **sleeping partner**, primarily contributes financially but does not participate in business operations.

2. **Partner in a Representative Capacity**: An individual who is a partner on behalf of or for the benefit of another person is considered a **partner in a representative capacity**. Any interest paid by the firm to such an individual, unless it is in their representative role, is not considered for deductions under Section 40(b).
3. **Interest Considerations**: Interest payments made to a partner in a representative capacity, as well as interest paid to the person being represented, are taken into account when applying the provisions of Section 40(b).
4. **Definition of Book Profit**: Book profit refers to the net profit calculated from the profit and loss account for the relevant financial year. This is adjusted according to Sections 28 to 44D, with the addition of any partner remuneration if it has been recorded as an expense in the profit and loss account.
5. **Remuneration Clause in Partnership Deed**: Simply mentioning in the partnership deed that remuneration will be paid to working partners does not automatically qualify the firm for a deduction under Section 40(b). Proper authorization and adherence to legal provisions are necessary for the deduction to be allowed.

Computation of Book Profit

Book profit refers to the firm's profit before deducting remuneration paid to partners. It is determined based on the **profit and loss account**, which is calculated as per the provisions of **Sections 28 to 44** of the Income Tax Act, 1961. If remuneration to partners has already been deducted while arriving at the net profit, it must be added back to determine the final book profit.

Steps to Compute Book Profit:

1. **Determine the Profit/Loss**: The firm's profit or loss is first calculated through the **profit and loss account**. If the net profit or loss is already provided, it is used as the base figure.
2. **Make Adjustments as per Sections 28 to 44D**: Any necessary adjustments prescribed under these sections must be incorporated into the profit and loss account.
3. **Add Partner Remuneration**: If remuneration paid to partners has been deducted while computing net profit, it must be added back.

The final amount obtained after these steps represents the firm's **book profit**.

Exclusions and Non-Deductible Items:

Items Excluded from Book Profit:

- **Capital gains** earned by the firm.
- **Income from other sources** such as dividends or interest.
- **Income from house property** owned by the firm.

Items Not Deducted from Book Profit:

- **Deductions under Sections 80C to 80U** (these are considered while computing total income but not for book profit calculations).
- **Brought-forward business losses** (these can be deducted while computing business income but not while determining book profit).

Book Profit Computation Format

Proforma for Book Profit Calculation:

Particulars	**Amount (Rs.)**
Net profit as per P&L account	-
Add:	
Disallowed expenses debited to P&L (not covered under Sections 28 to 44D)	-
Taxable income not credited to P&L account	-
Partner remuneration (if debited to P&L account)	-
Disallowed interest exceeding 12% per annum	-
Less:	
Non-business income credited to P&L account	-
Expenses or losses allowed but not debited to P&L account	-
Final Book Profit	-

Key Notes on Book Profit Calculation:

1. **Brought-forward unabsorbed business losses** are **not deductible** in book profit computation.

2. **Non-business incomes and related expenses** are **not included** in book profit.
3. In case of a **loss**, the process is reversed—items of **addition are deducted**, and items of **deduction are added** to the loss.
4. **Income from house property, capital gains, and other sources** is not considered part of book profit.
5. **Deductions under Section 80C to 80U** are **ignored** while computing book profit.

Treatment of Firm's Losses

If the firm cannot **set off its losses** in the same financial year against profits from other businesses, the unadjusted losses can be **carried forward** and set off in future years, subject to specific **Income Tax Act rules**:

- **Speculative Business Losses**: Can be **set off only against speculative income** within the **next 4 years** from the year of loss.
- **Non-Speculative Business Losses**: Can be **set off against any business income** within the **next 8 years** from the year of loss.
- **Short-Term Capital Losses**: Can be **adjusted against both short-term and long-term capital gains** within **8 years** from the loss year.
- **Long-Term Capital Losses**: Can only be **set off against long-term capital gains** within **8 years** from the loss year.
- **Unabsorbed Depreciation**: Can be **set off against any income of the firm**, including business income or other sources.

Computation of Total Income of a Firm

When a **profit and loss account** is provided for computing the **total income of a firm**, the **profit or loss** shown in the account is adjusted in the same manner as income computed under the head **Profits and Gains of Business or Profession**. After calculating profit under this head, income from other sources such as **Income from House Property, Capital Gains, and Income from Other Sources** is added. The resulting amount is known as the **Gross Total Income (GTI)** of the firm.

While calculating income under various heads, **exempt incomes** under **Sections 10 to 13A** are ignored.

From **Gross Total Income (GTI)**, deductions under **Sections 80C to 80U** are subtracted, resulting in the **Total Income of the firm**. However, only specific deductions, such as those under **Sections 80G, 80GGA, 80GGC, 80IA, 80IAB, 80IB, 80IC, 80ID, 80IE, 80JJA, and 80JJAA**, are applicable to firms.

Deductions under these sections **are not allowed** against **short-term capital gains** (as per **Section 111A**) and **long-term capital gains** (under **Section 112**).

Proforma for Computing Total Income of a Firm

Particulars	**Amount (Rs.)**
Book Profit of the Firm	-
Less: Remuneration Paid to Working Partners	
(a) Actual Remuneration Paid	-
(b) Statutory Limit (as per Section 40(b))	-
Whichever is lower is deducted	-
Profits and Gains of Business or Profession	-
Add: Income from Other Heads (House Property, Capital Gains, etc.)	-
Gross Total Income (GTI)	-
Less: Deductions under Sections 80C to 80U (As applicable to firms)	-
Total Income	-

Computation of Tax Liability of a Firm

The following steps are followed to determine a firm's **tax liability**:

1. **Calculate income tax on net income** as per applicable tax rates.
2. **If total income exceeds ₹1 crore**, add a **surcharge of 12%** on the income tax amount.
3. **Add Health and Education Cess at 4%** on the sum of income tax and surcharge.
4. The final **tax payable** is the sum of **income tax, surcharge (if applicable), and cess**.

Format for Computing Tax Liability of a Firm

Particulars	**Amount (Rs.)**
Tax on the following incomes:	
- Winnings from lotteries, card games, horse races, etc. **@ 30%**	-
- Long-term capital gains **@ 20%**	-
- Short-term capital gains under **Section 111A @ 15%**	-
- Other taxable income **@ 30%**	-
Add: Surcharge **(If applicable @ 12%)**	-
Add: Health & Education Cess **@ 4%**	-
Total Tax Payable	-

Important Notes on Tax Calculation:

1. **Surcharge Applicability**:
   - If the firm's **total taxable income exceeds ₹1 crore**, a **12% surcharge** is levied.
   - However, the **total tax and surcharge payable** on income exceeding ₹1 crore **should not exceed** the tax payable on ₹1 crore **by more than the amount of income exceeding ₹1 crore** (marginal relief applies).

Format for Computing Tax Liability When Surcharge is Applicable

Particulars	**Amount (Rs.)**
Tax on Total Income	-
Add: Surcharge **(a)**	-
Or	
Tax on ₹1 crore	-
Add: Excess Income Over ₹1 Crore **(b)**	-
Amount Payable: (Lower of a or b)	-
Add: Health & Education Cess **@ 4%**	-
Final Tax Payable	-

This structured approach ensures accurate computation of **total income and tax liability** for a firm while considering **applicable deductions, exclusions, and surcharge rules**.

6.7 Case Studies

Illustration 1

Scenario:

X and Y are shareholders of **Z Ltd., a closely held company**. X owns **55% of the share capital**. On **January 30, 2018**, X transfers his shares to A. The company, **Z Ltd.**, intends to **set off a carried-forward loss of ₹4,00,000** (comprising **business loss of ₹1,00,000** and **unadjusted depreciation of ₹3,00,000**) from **the financial year 2016-17** against its **income of ₹9,00,000 for the financial year 2017-18**.

Analysis & Answer:

Since **Z Ltd.** is a **closely held company**, Section **79 of the Income Tax Act** applies. According to this provision, **brought forward business losses** can be set off only if the same shareholders who held at least **51% voting rights** on **March 31, 2017**, continue to hold them on **March 31, 2018**.

However, in this case, X, who previously held a **55% stake**, transferred his shares to A, resulting in a change in shareholding. Consequently, the **brought forward business loss of ₹1,00,000 cannot be set off**, but the **unadjusted depreciation of ₹3,00,000 is eligible for adjustment**.

Thus, the **taxable income for the financial year 2017-18** will be:

₹9,00,000 – ₹3,00,000 = ₹6,00,000.

Illustration 2

Scenario:

C Ltd. recorded a **net profit of ₹3,35,000** for the **financial year 2017-18**. Upon reviewing the accounts, the following adjustments were identified:

Expenses Debited to the Profit & Loss Account:

a) **Donation** to an approved charitable trust via cheque – ₹20,000

b) **Provision for Income Tax** – ₹1,00,000

c) **Family Planning Expenses** – ₹25,000

d) **Capital Expenditure on Family Planning** – ₹1,00,000 (Only **20% is allowable**, i.e., ₹20,000)

Income Credited to the Profit & Loss Account:

a) **Recovery of previously written-off bad debts** – ₹10,000

b) **Interest on Bank Deposits** – ₹30,000

c) **Long-Term Capital Gains (LTCG)** – ₹1,00,000

d) **Dividend from an Indian company** – ₹20,000 (gross)

Additionally, there were **brought forward losses** from previous years:

- **Unabsorbed Depreciation** – ₹35,000
- **Unabsorbed Capital Loss** – ₹40,000

Computation of Total Income for the Assessment Year 2018-19

Step 1: Adjusting Net Profit

Net Profit as per P&L Account = ₹3,35,000

Add: Disallowed Expenses

- **Donation to charity** = ₹20,000
- **Provision for Income Tax** = ₹1,00,000
- **Capital Expenditure on Family Planning** (Only **₹80,000 is disallowed**) = ₹80,000

  Total Additions = ₹2,00,000

Revised Profit = ₹3,35,000 + ₹2,00,000 = ₹5,35,000

Step 2: Excluding Non-Business Incomes

- **Interest on Bank Deposits** = ₹30,000
- **Long-Term Capital Gains (LTCG)** = ₹1,00,000
- **Dividend from an Indian Company** = ₹20,000

Total Deductions = ₹1,50,000

Adjusted Business Income = ₹5,35,000 – ₹1,50,000 = ₹3,85,000

Step 3: Adjusting Brought Forward Losses

- **Less: Unabsorbed Depreciation** = ₹35,000
  Final Business Income = ₹3,85,000 – ₹35,000 = ₹3,50,000
- **Long-Term Capital Gains (LTCG)** = ₹1,00,000
- **Less: Brought Forward Capital Loss** = ₹40,000
  Net Capital Gains = ₹60,000
- **Income from Other Sources** (Interest on Bank Deposits) = ₹30,000
- **Dividend Income** is **exempt**

Step 4: Compute Gross Total Income (GTI)

Business Income = ₹3,50,000
Capital Gains = ₹60,000
Income from Other Sources = ₹30,000

Gross Total Income (GTI) = ₹4,40,000

Step 5: Deduction under Section 80G

- **50% of ₹20,000 donation** = ₹10,000

Total Income = ₹4,40,000 – ₹10,000 = ₹4,30,000

Question 3: Minimum Alternate Tax (MAT) Liability

Scenario:

A company's **book profit** for the **financial year 2017-18**, as computed under **Section 115JB of the Income Tax Act**, is **₹12,00,000**. However, its **total taxable income** under the regular provisions of the Act is **₹3,50,000**. The question is whether the company is liable to pay **Minimum Alternate Tax (MAT)**, and if so, how much.

Computation of Tax Liability

1. Tax Calculation under Normal Provisions

- **Total Taxable Income** = ₹3,50,000
- **Tax @ 25%** (assuming turnover is below ₹50 crores) = ₹87,500
- **Surcharge** = Not applicable (since income does not exceed ₹1 crore)
- **Education Cess @ 3%** = ₹2,625
- **Total Tax Liability (A) = ₹90,125**

2. Tax Calculation under MAT (Section 115JB)

- **Book Profit** = ₹12,00,000
- **MAT @ 18.5%** = ₹2,22,000
- **Surcharge** = Not applicable (since income does not exceed ₹1 crore)
- **Education Cess @ 3%** = ₹6,660
- **Total MAT Liability (B) = ₹2,28,660**

Final Tax Payable

As per the Income Tax Act, a company is required to pay **the higher of the two tax amounts** computed under **normal provisions and MAT**.

Since **MAT liability (₹2,28,660) is higher than the regular tax liability (₹90,125)**, the company is required to **pay ₹2,28,660** as tax under **Minimum Alternate Tax (MAT)**.

Note: It is assumed that the company's **turnover does not exceed ₹50 crores**, so the **normal tax rate applied is 25%**. Additionally, since **taxable income is below ₹1 crore**, no **surcharge** is applicable.

6.8 Calculating a Company's Taxable Income

A tax accountant's main job is to calculate a company's taxable income. Here's a simple formula:

Taxable Income = Total Income - Allowable Deductions

To break it down further:

a) Start with the company's Operating Profit (Revenue - Expenses).
b) Add or subtract Permanent Differences (items that are treated differently for accounting and tax purposes).
c) Add Timing Additions (expenses that aren't yet tax-deductible).
d) Subtract Timing Subtractions (revenue that isn't yet taxable).
e) Finally, add or subtract Future Timing Differences (expenses that must be deducted over time).

Some examples to keep in mind:

- Permanent Differences: entertainment expenses, non-taxable dividends
- Timing Additions: provisions for doubtful debts, annual leave
- Timing Subtractions: revenue received in advance
- Future Timing Differences: borrowing costs that must be deducted over time

6.9 To Sum Up

Taxable income of a company refers to the net profit earned during a financial year, after deducting allowable expenses, exemptions, and deductions from its gross income. The computation of taxable income involves aggregating incomes from four heads: business income, income from house property, capital gains, and income from other sources. Allowable deductions, such as depreciation and business expenses, are then deducted from the gross total income to arrive at the net income.

The computation of taxable income involves three steps: calculating total income and adjusting for losses, calculating net income by deducting allowable expenses and exemptions, and computing tax liability on the net income. Tax accounting principles, such as permanent differences, timing additions, and future timing differences, are also applied to ensure accurate computation of taxable income. Understanding these concepts is essential for companies to ensure compliance with tax laws and optimize their tax planning strategies.

6.10 Some Key Words

Taxable Income: The net profit earned by a company during a financial year, after deducting allowable expenses, exemptions, and deductions from its gross income.

Gross Total Income: The total income of a company from all sources, including business income, income from house property, capital gains, and income from other sources.

Net Income: The income of a company after deducting allowable expenses and exemptions from its gross total income.

Business Income: Income earned by a company from its business operations.

Income from House Property: Rental income earned by a company from its properties.

Income from Capital Gains: Profits earned by a company from the sale of its assets.

Income from Other Sources: Miscellaneous income earned by a company, including interest, dividends, and royalties.

Allowable Deductions: Expenses incurred by a company that are deductible from its taxable income.

Depreciation: A deduction allowed for the wear and tear of a company's assets.

Non-Allowable Expenses: Expenses incurred by a company that are not deductible from its taxable income.

Permanent Differences: Items that are treated differently for accounting and tax purposes.

Timing Additions: Expenses that are not yet tax-deductible.

Timing Subtractions: Revenue that is not yet taxable.

Future Timing Differences: Expenses that must be deducted over time

6.11 Assignment Question

1. Discuss the steps for computation of Taxable Income of a Company

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2. Discuss various provision for assessment of firm

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……

3. Discuss the Taxable Income of a Company.

……

……

4. Write on the Deductibility of Expenses.

……

……

6.12 Objective Types Question

1. **Taxable income** is calculated by subtracting _____ from the gross total income.

   Answer: deductions

2. The income of a company is taxed under the head _____.

   Answer: Profits and Gains of Business or Profession

3. The _____ Act, 1961 governs the taxation of corporate income in India.

   Answer: Income Tax

4. Depreciation on assets reduces the _____ income of a company.

   Answer: taxable

5. Companies must file their income tax returns annually using Form _____.

   Answer: ITR-6

6. Disallowed expenses are _____ while computing taxable income.

   Answer: added back

7. If a company has ₹10,00,000 profit and claims ₹2,00,000 in deductions, its taxable income is ₹_____.

   Answer: 8,00,000

8. A domestic company opting for Section 115BAA pays tax at _____% plus surcharge and cess.

   Answer: 22

9. Applying MAT (Minimum Alternate Tax) ensures a company pays at least _____% tax on book profit (plus applicable surcharge and cess).

   Answer: 15

10. Adding back disallowed expenses leads to a(n) _____ in taxable income.

    Answer: increase

11. The choice between old and new tax regimes can _____ a company's total tax liability.

    Answer: affect

12. Expenses like penalties and fines are _____ under the Income Tax Act.

    Answer: not allowable

13. A company with high exemptions and deductions might benefit _____ from the old tax regime.

    Answer: more

14. Evaluating effective tax planning helps in _____ the overall tax burden.

    Answer: reducing

15. A tax planning strategy must comply with the _____ of the Income Tax Act.

    Answer: provisions

6.13 Bibliography

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Unit – 7
Minimum Alternate Tax (MAT) Provisions

Structure

7.0 Learning Outcomes
7.1 Bloom's level of Learning
7.2 Introduction
7.3 Meaning of Minimum Alternate Tax (MATS)
7.4 Payment of the Taxes
7.5 Determining Book Profit Under Section 115JB
7.6 Tax Credit for Minimum Alternate Tax (MAT) Payments
7.7 Certification Requirements:
7.8 Summary of Minimum Alternative Tax (MAT) provisions
7.9 Exceptions to Minimum Alternative Tax (MAT)
7.10 To Sum Up
7.11 Some Key Words
7.12 Assignment Question
7.13 Objective Types of Question
7.14 Bibliography

7.0 Learning Outcomes

- Meaning of Minimum Alternate Tax (MATS)
- Payment of the Taxes
- Certification Requirements:
- Summary of Minimum Alternative Tax (MAT) provisions
- Exceptions to Minimum Alternative Tax (MAT)

7.1 Bloom's level of Learning

1. Remembering

Objective**:** Recall basic facts about MAT.
Examples**:**

- Define Minimum Alternate Tax.
- State the current MAT rate applicable to companies.
- List the sections under which MAT is governed (e.g., Section 115JB)

.**2. Understanding**

Objective**:** Explain the concept and need for MAT.
Examples**:**

- Describe why MAT was introduced in the Indian tax system.
- Explain how book profit is different from taxable profit.
- Summarize the steps to calculate MAT.

3. **Applying**

Objective**:** Use the concept in real calculations.

Examples**:**

- Compute MAT liability given the book profit of a company.
- Apply Section 115JB to a practical tax computation scenario.
- Determine whether MAT is applicable based on a company's profit and exemptions.

4. **Analyzing**

Objective**:** Break down and examine the structure of MAT.

Examples**:**

- Analyze the impact of deferred tax assets and liabilities on MAT computation.
- Compare MAT liability with normal income tax liability.
- Identify adjustments made to net profit to arrive at book profit for MAT purposes.

5. Evaluating

Objective**:** Judge the effectiveness and implications of MAT.

Examples**:**

- Evaluate the fairness of MAT in ensuring companies pay a minimum tax.
- Critically assess whether MAT affects foreign investment decisions.
- Judge whether MAT credit provision effectively supports companies over the long term.

6. **Creating**

Objective**:** Propose new strategies or frameworks around MAT.

Examples**:**

- Develop a tax planning strategy to manage MAT liability efficiently.
- Design a financial model that factors in MAT while forecasting tax outflows.
- Suggest policy changes to make MAT more equitable or simpler to compute.

7.2 Introduction

The Minimum Alternate Tax (MAT) is a tax provision introduced by the Indian government to ensure that companies with substantial economic presence in India pay a minimum amount of tax, regardless of their taxable income. MAT is applicable to companies that have exploited tax exemptions and deductions to reduce their taxable income, thereby avoiding payment of significant taxes. The MAT provisions aim to bring such companies within the tax net, ensuring that they contribute to the country's revenue. By levying MAT, the government seeks to prevent companies from using aggressive tax planning strategies to avoid paying taxes, thereby promoting fairness and equity in the tax system.

7.3 Meaning of Minimum Alternate Tax (MATS)

MAT is a provision in the Indian tax system that ensures that companies pay a minimum amount of tax irrespective of their taxable income. The concept of Minimum Alternate Tax (MAT) was introduced to ensure that profitable companies that pay dividends to shareholders pay their fair share of tax. This aims at companies availing various deductions and exemptions under the Income Tax Act to avoid paying large amounts of tax under the normal provisions. MAT is applicable to all companies including:

- Domestic Companies
- Foreign companies with a permanent establishment in India
- Companies claiming deductions under various tax incentives

The introduction of MAT ensures that companies pay a minimum percentage of their profits as tax. MAT is applicable to all companies, including foreign companies, and is calculated as per Section 115JB of the Income Tax Act.

7.4 Payment of the Taxes

Companies have to pay the higher of the two taxes calculated as per the following formula:

a) **Normal Provisions**: 30% rate for all companies (plus 4% education cess and applicable surcharge). For domestic companies with turnover/total profits up to Rs 400 crore, the tax rate is 25% (+ 4% tax and applicable surcharge).
b) **MAT Provisions (Section 115JB):** 15% of book profits (+ 4% education allowance and applicable surcharge) will come into effect from the financial year 2019-20 (assessment year 2020-21).

Computation of book profits accounting profits are calculated on the basis of net profits shown in the profit and loss statement prepared under Section 3 of the Companies Act, 2013 (Section 115JB). Certain adjustments are made to the profit and loss statement to determine accounting profits.

Additions to book profits:

1. Income tax paid/payable and provisions
2. Amounts set aside in reserves (other than amounts mentioned in section 33AC)
3. Provisions for undetermined liabilities
4. Provision for subsidiary losses
5. Dividends paid/proposed dividends
6. Expenses relating to non-taxable income (sections 10, 11, 12)
7. Income from non-taxable entities (AOPs) or entities of individuals (BOIs)

Deductions from book profits:

1. Amounts withdrawn from reserves or provisions
2. Non-taxable income (sections 10, 11, 12)
3. Depreciation expense taken to profit and loss account (other than revaluation of assets)
4. Amounts deducted from profit and loss account revaluation reserves
5. Income from non-taxable AOPs or BOIs

7.5 Determining Book Profit Under Section 115JB

Definition and Calculation of Book Profit:

Under Section 115JB of the Income Tax Act, book profit is calculated to determine the tax liability under the Minimum Alternate Tax (MAT) regime. This involves making specific adjustments to the net profit as stated in the profit and loss account.

To ensure accuracy, the profit and loss account must be prepared following the guidelines outlined in **Schedule VI of the Companies Act, 1956**. However, this requirement does not apply to insurance, banking, and electricity companies. Various tribunal rulings initially held that MAT provisions were inapplicable to these sectors.

Amendment by Finance Act, 2012:

To override these tribunal decisions, **Section 115JB was amended** through the Finance Act of 2012, effective from the assessment year 2013-14. This amendment aligned the Income Tax Act with the Companies Act, 1956, clarifying how book profit should be determined for different types of companies:

1. **For Insurance, Banking, and Electricity Companies:**
   - Book profit is calculated based on the profit and loss account prepared in compliance with their respective regulatory laws.
2. **For All Other Companies:**
   - Book profit is determined using the profit and loss account prepared under **Schedule VI of the Companies Act, 1956**.

This amendment ensures consistency in tax computation across different industries while recognizing sector-specific accounting standards.

Conversion of Net Profit into Book Profit

To determine **book profit**, the net profit shown in the profit and loss account must be adjusted by adding or deducting specific amounts. These adjustments are categorized as **positive** (amounts added back) and **negative** (amounts deducted).

Positive Adjustments (Additions to Net Profit)

The following amounts are **added back** to net profit if they were debited to the profit and loss account:

1. **Taxes and related charges** – This includes income tax, interest under the Income Tax Act, dividend distribution tax under **Section 115-O**, and tax on distributed income under **Section 115R** (including surcharge, education cess, and secondary and higher education cess). However, penalties and fines under the Income Tax Act are not adjusted.
2. **Reserves** – Any amounts transferred to reserves under any name.
3. **Provisions for liabilities** – Except for ascertained liabilities.
4. **Provision for subsidiary losses** – Any amounts set aside for subsidiary company losses.
5. **Dividends** – Whether paid or proposed.
6. **Expenses related to exempt income** – If the corresponding income is not subject to MAT.
7. **Depreciation** – Any depreciation charged in the accounts.
8. **Deferred tax provisions** – Any provisions for deferred tax or asset value reduction.
    - **Revaluation reserve adjustment (8A)** – Any amount from a revaluation reserve when an asset is retired or disposed of.
    - **Income/loss from certain units (8B)** – As per **Section 47(xvii)**.

Negative Adjustments (Deductions from Net Profit)

The following amounts are **deducted** from net profit when determining book profit:

9. **Withdrawn reserves/provisions** – If credited to the profit and loss account.
10. **Exempt income** – Income that is not subject to taxation, including:

- Long-term capital gains exempt under **Section 10(38)** (for assessment years 2005-06 and 2006-07).
- Income exempt under **Section 10(23G)** (up to assessment year 2004-05).

- Other incomes exempt under **Section 10**.
- Income exempts under **Sections 10A and 10B** (up to assessment year 2007-08).
- Exempt income under **Sections 11 and 12** (relating to charitable/religious trusts).
- **Share of profit from an AOP** (if not subject to income tax under **Section 86**, applicable from assessment year 2016-17).
- **For foreign companies:** Interest, royalty, technical fees taxable under **Sections 115A to 115BBE**, or capital gains from securities transactions (if taxed under normal provisions rather than MAT, applicable from assessment year 2016-17).
- **Patent royalty** taxable under **Section 115BBF**.

11. **Depreciation (excluding revaluation depreciation)** – If it was debited to the profit and loss account.
12. **Revaluation reserve withdrawals** – To the extent that it does not exceed depreciation due to revaluation.
13. **Lower of unabsorbed depreciation or brought-forward losses** – As per the books of account.
14. **Profits eligible for deductions** – Under **Sections 80HHC, 80HHE, and 80HHF**.
15. **Profits of sick industrial units** – Exempt as per regulations.
16. **Deferred tax credit** – If credited to the profit and loss account.

- **Income/loss from specified units (16A)** – As per **Section 47(xvii)**.

By applying these adjustments, the net profit is converted into **book profit**, which is then used for **Minimum Alternate Tax (MAT) calculation**.

<u>Other Important Provisions</u>

1. If the profit and loss account has been prepared in compliance with **Part II and III of Schedule VI** of the Companies Act and has been audited and certified by statutory auditors and relevant authorities, the **Assessing Officer** does not have the authority to scrutinize the net profit, except as specified in **Explanation to Section 115J** [(Apollo Tyres Ltd. v. CIT (2002) ITR 273 (SC))].
2. **Gratuity provisions** calculated using actuarial methods are considered **ascertained liabilities** [(CIT v. Inox Leisure Ltd. [2013] 213 Taxmann 160 (Guj.))].
3. **Bonus provisions** determined under the **Payment of Bonus Act, 1965**, qualify as **ascertained liabilities**.

4. **Provisions for employee leave encashment** are also classified as **ascertained liabilities**.
5. Provisions made for **ship repair cost reductions, material obsolescence, future losses, liquidated damages for delayed ship handovers, and leave encashment** are regarded as **ascertained liabilities** and therefore **do not fall under Explanation to Section 115JA**.
6. **Depreciation** recorded in the **profit and loss account** must be **added back**, but depreciation (excluding that arising from asset revaluation) **shall be deducted**.
7. If **current year depreciation** is disclosed in the notes to financial statements but **not charged to the profit and loss account**, it must be **deducted from net profit** when computing book profit under **Section 115JB**.
8. Any **amount transferred to a reserve account** by debiting the profit and loss account must be **added back** to convert net profit into book profit, even if the reserve is created due to statutory requirements.
9. **Capital profit** from the transfer of a **capital asset** forms part of **book profit**. If such profit is not recorded in the profit and loss account, it violates **Accounting Standard AS-13** and the requirements of **Schedule VI of the Companies Act**.
10. **Capital profit credited to the profit and loss account** is considered part of book profit, even if exempt under **Section 54EC**.
11. While computing **book profit**, no adjustment can be made for **interest on borrowed capital** if it has not been debited to the **profit and loss account**.
12. The share of **loss from a partnership firm**, if debited to the profit and loss account, **cannot be added back** when computing total income under **Section 115JB**.
13. **Loss incurred from the sale of a car or truck**, if debited to the profit and loss account, **cannot be added back**.
14. Any **disallowable expenses under Section 14A**, if debited to the profit and loss account, must be **added back** while computing book profit.
15. Section **115JB** does not impose any restriction on the number of years considered when allowing deductions for **brought forward losses or unabsorbed depreciation** (whichever is lower).

7.6 Tax Credit for Minimum Alternate Tax (MAT) Payments

When a company pays **Minimum Alternate Tax (MAT)** under **Section 115JB** for the assessment year **2006-07 or later**, it is eligible for a **tax credit** in subsequent years, as outlined below:

- **Amount of Tax Credit**:
  The tax credit is calculated as the **difference between the MAT paid** and the **tax payable under normal provisions** of the Income Tax Act.
  - Example: If the tax payable on total income is **₹20,000**, but the company has paid **₹50,000** under MAT, the **tax credit available** will be **₹30,000 (₹50,000 - ₹20,000)**.
- **Carry Forward Period**:
  - Initially, the tax credit could be **carried forward for up to 10 assessment years**.
  - However, from **assessment year 2018-19**, the carry forward period was **extended to 15 years**.
  - Example: If tax credit is earned in **A.Y. 2009-10**, it can be used up to **A.Y. 2019-20** (earlier rule) or **A.Y. 2024-25** (new rule from A.Y. 2018-19).
- **Utilization of Tax Credit**:
  - The tax credit can be **utilized in a year where the tax payable under normal provisions** exceeds the tax payable under **MAT**.
  - The **set-off amount** will be the difference between the **tax payable under normal provisions** and the **MAT liability**.
  - Example: If a company has **₹40,000** of MAT credit carried forward, and in a given year:
    - Tax payable under normal provisions = **₹1,00,000**
    - Tax payable under MAT = **₹80,000**
    - The company can **set off ₹20,000** from the credit and will need to pay **₹80,000**.
- **No Interest on Tax Credit**:
  The company **will not receive any interest** on the tax credit balance.
- **Adjustments in Case of Tax Reassessment**:
  If the company's **tax liability changes** due to **assessment, reassessment, rectification, appeal, or revision**, the available **MAT credit will also be adjusted accordingly**.
- **Exclusion for LLP Conversion**:
  If a **private company or an unlisted public company** converts into a **Limited Liability Partnership (LLP)**, the **MAT credit cannot be transferred** to the successor LLP.

7.7 Certification Requirements:

Accounting profit calculations must be certified by the auditor on Form 29B. To avoid penalties, obtain the certified report before the ITR filing deadline.

The minimum alternative provisions are briefly given below:

SECTION	APPLICABILITY FOR WHICH ASSESSMENT YEAR	WHEN THESE PROVISIONS ARE APPLICABLE	RESULT
115JA	1997-98 to 2000-01	If income of a company under normal provisions is lower than 30% of Book Profit	30% of Book Profit shall be deemed as total income of the company
115JB	2001-02 onwards	If tax liability of the company under normal provisions is lower than 18.5 %(+SC+EC+SHEC) of Book Profit	Book Profit shall be deemed as total income and 18.5% of Book profit should be deemed as tax liability

7.8 Summary of Minimum Alternative Tax (MAT) provisions:

a) Calculates regular tax liability and ignores MAT provisions.

b) Calculates accounting profit as per prescribed guidelines.

c) Calculates MAT by applying prescribed rates on accounting profit.

d) Compare the normal tax payable with the MAT.

- If the normal tax payable is equal to or greater than the MAT, the MAT provisions do not apply.
- If the normal tax payable is less than the MAT, the MAT provisions apply.

e) When MAT is established:

- Book profits are considered as taxable income.
- Tax liability is 18.5% of book profits (+ levy, education cess, secondary education cess

and university cess).

- Overpayment of tax due to MAT is eligible for tax deduction under Article 115 JAA.

7.9 Exceptions to Minimum Alternative Tax (MAT)

The following are excluded from MAT:

a) Income from business or services in a Special Economic Zone (SEZ) from 1 April 2005 to 31 March 2011.
b) Shipping companies covered under the Tonnage Revenue Provisions (Chapter XII-G) with effect from 1 April 2004 (assessment year 2005-06).
c) Income from life insurance business under Section 115B with effect from 1 April 2000 (assessment year 2001-02).
d) Foreign companies with effect from 2001-02, subject to the following conditions:
    - Resident of a country with which India has a tax treaty (Section 90/90A) and no permanent establishment in India.

- Resident of a country without a tax treaty with India and not required to register in India under any law.

7.10 To Sum up

The Minimum Alternate Tax (MAT) is a tax provision that ensures companies pay a minimum amount of tax, regardless of their taxable income. MAT is applicable to companies that have exploited tax exemptions and deductions to reduce their taxable income. The MAT provisions aim to bring such companies within the tax net, ensuring they contribute to the country's revenue. The MAT rate is currently 15% of book profits.

The computation of MAT involves calculating the book profits of a company, making adjustments to arrive at the MAT liability, and comparing it with the normal tax provisions. If the normal tax liability is lower than the MAT liability, the company must pay the higher MAT amount. Certain companies, such as those operating in Special Economic Zones (SEZs),

shipping companies, and life insurance businesses, are exempt from MAT. The MAT provisions

promote fairness and equity in the tax system, preventing companies from using aggressive tax planning strategies to avoid paying taxes.

7.11 Some Key Words

MAT: A tax provision that ensures companies pay a minimum amount of tax, regardless of their taxable income.

Book Profits: The net profit of a company as shown in its profit and loss account, before deducting taxes.

Normal Provisions: The regular tax provisions applicable to companies, which may result in a lower tax liability than MAT.

Accounting Profits: The profit of a company calculated as per the Companies Act, 2013.

Adjustments to Book Profits: Additions and deductions made to book profits to arrive at the MAT liability.

MAT Rate: The rate at which MAT is applicable, currently 15% of book profits.

Special Economic Zone (SEZ): A designated area where business and services are exempt from MAT.

Tonnage Revenue Provisions: Provisions applicable to shipping companies, exempting them from MAT.

Life Insurance Business: Income from life insurance business is exempt from MAT.

Form 29B: A form used to certify the accounting profits of a company.

Certification Requirements: The requirement for auditors to certify the accounting profits of a company.

Tax Liability: The amount of tax payable by a company, which may be higher of the normal provisions or MAT.

7.12 Assignment Question

1. What is Minimum Alternate Tax? Discuss the payment of taxes.

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2. Discuss about the computation of book profit under section 115JB ?

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3. What is Minimum Alternate Tax credit ?

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4. Write the summary of Minimum Alternate Tax and the Exceptions.

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7.13 Objective Types of Question

1. MAT stands for _____.

   Answer: Minimum Alternate Tax

2. MAT ensures that companies pay a minimum percentage of their _____ even after claiming various exemptions.

   Answer: profits

3. MAT is calculated under Section _____ of the Income Tax Act.

   Answer: 115JB

4. MAT is applicable to both domestic and _____ companies having a permanent establishment in India.

   Answer: foreign

5. Under MAT provisions, companies must pay at least _____% of their book profits as tax (excluding cess and surcharge).

   Answer: 15

6. Book profit is derived by making specific adjustments to the net profit as shown in the _____ account.

   Answer: profit and loss

7. One of the **positive adjustments** in computing book profit is adding back the provision for _____ company losses.

   Answer: subsidiary

8. The MAT credit can be carried forward for up to _____ years as per current provisions.

   Answer: 15

9. MAT is not applicable to companies operating under the _____ Revenue Scheme.

   Answer: Tonnage

10. For MAT calculation, depreciation must be added back to net profit, except for depreciation on _____ of assets.

    Answer: revaluation

11. MAT is not applicable to _____ companies under Section 115B.

    Answer: life insurance

12. Companies must pay tax based on the higher of normal provisions or _____ provisions.

    Answer: MAT

13. MAT is not applicable to foreign companies that do not have a _____ in India.

    Answer: permanent establishment

14. Companies must obtain Form _____ certified by an auditor to report MAT compliance.

    Answer: 29B

15. Tax credit under Section 115JAA is available when MAT paid exceeds the tax liability under _____ provisions.

    Answer: normal

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Unit – 8
Taxation on distributed profits of domestic companies

Structure

8.0 Learning Outcomes
8.1 Bloom's Level of Learning
8.2 Introduction
8.3 Meaning of Dividend Distribution Tax (DDT)
8.4 Section 115-O: Tax on distributed profits
8.5 Section 115Q: Deemed default of company
8.6 Dividend Distribution Tax Rates (DDT) as on 1 April 2010:
8.7 Tax on Income Distributed To Shareholders
8.8 To Sum Up
8.9 Some Key Words
8.10 Assignment question
8.11 Objective Type of Question
8.12 Bibliography

8.0 Learning Outcomes

After completion of this unit a student can able to understand the following concepts.

- Meaning of Dividend Distribution Tax (DDT)
- Section 115-O: Tax on distributed profits
- Section 115Q: Deemed default of company
- Dividend Distribution Tax Rates (DDT) as on 1 April 2010:
- Tax on Income Distributed to Shareholders

8.1 Bloom's Level of Learning

1. Remembering (Knowledge)

- Objective**:** Recall basic facts about DDT.
- Examples**:**
  - Define Dividend Distribution Tax.
  - List the rate at which DDT was levied.
  - State the year DDT was abolished in India.

2. Understanding (Comprehension)

- Objective**:** Explain the concept and implications of DDT.
- Examples**:**
  - Describe how DDT was applied to dividends paid by Indian companies.
  - Explain the rationale behind levying DDT on companies instead of shareholders.

3. Applying (Application)

- Objective**:** Use knowledge of DDT in practical situations.
- Examples**:**
  - Calculate the amount of DDT payable by a company on a declared dividend.
  - Apply DDT rules to a company's dividend payout scenario before abolition.

4. Analyzing (Analysis)

- Objective**:** Examine DDT's structure and implications.
- Examples**:**
  - Compare DDT with the post-abolition regime (i.e., dividend taxed in hands of shareholders).
  - Analyze the pros and cons of DDT from the governments and investor's perspective.

5. Evaluating (Evaluation)

- Objective**:** Make judgments based on criteria and standards.

- Examples**:**
    - Assess the fairness of taxing dividends at the company level.
    - Justify the government's decision to abolish DDT in Budget 2020.

6. Creating (Synthesis)

- Objective**:** Develop new ideas or propose alternatives.
- Examples**:**
    - Design an alternative tax regime for dividend income that balances government revenue and investor fairness.
    - Propose reforms in dividend taxation that improve transparency and equity.

8.2 Introduction

Dividend Distribution Tax (DDT) is a tax levied on companies that distribute dividends to their shareholders. In India, companies are required to pay DDT on the dividends declared, distributed, or paid to their shareholders. The tax is payable by the company distributing the dividend, and it is not a tax on the shareholder receiving the dividend. The purpose of DDT is to ensure that companies distribute their profits to shareholders after paying the requisite taxes, thereby preventing tax evasion and ensuring a fair share of revenue for the government.

8.3 Meaning of Dividend Distribution Tax (DDT)

Dividend Distribution Tax (DDT) is an additional tax levied on domestic companies in addition to normal income tax. The most important aspects of DDT are:

a) **Scope:** DDT is applicable only to domestic companies.
b) **Taxable Amount:** DDT is levied on amounts declared, distributed or paid by domestic companies as dividends.
c) **Type of Dividend:** DDT is applicable on both interim and final dividends.
d) **Source of Dividend:** DDT is applicable irrespective of whether dividends are paid out of current profits or accumulated profits.

e) **Exemption:** Dividends paid out of profits from Special Economic Zones (SEZs) are

exempt from DDT.

In India, taxation on distributed profits of domestic companies is governed by Chapter XIID. This chapter comprises three major sections:

a) **Section 115O:** This section is a commission provision which sets the rate of additional tax payable by domestic companies on dividends. It also outlines the duration, timing and mode of payment.
b) **Section 115P:** This section deals with interest payable by domestic companies for non-payment or delay in payment of additional tax.
c) **Section 115Q:** This section deals with the failure of a company to pay additional tax on dividends.

8.4 Section 115-O: Tax on distributed profits

(1) In addition to the income tax payable by a domestic company, a supplementary income tax of 15% is payable on any dividend (whether interim or otherwise) declared, distributed or paid on or after 1 April 2003.

(2) (1A) The amount of taxable dividend is reduced as follows:

(i) Dividends received from a subsidiary, if and only if:

a) The subsidiary is a domestic company that has paid tax on such dividends in accordance with this section.
b) The subsidiary is a foreign company and the domestic company has paid tax on the dividend under section 115BBD.

Note: The same dividend amount cannot be reduced more than once.

(ii) Dividend paid to a New Pension Scheme Trust (see section 10(44)).

Explanation: For the purposes of this section, an entity is deemed to be a subsidiary if more than half of its share capital is held by another entity.

(1B) For the purpose of computing tax on distributed profits, net profits (dividends less deductions) are increased to an amount equal to net profits after deduction of tax at the specified

rate. (2) Even if a domestic company is not liable to income tax, it must pay tax on distributed profits.

(3) The managing director and the domestic company must pay tax on distributed profits within 14 days of:

a. the declaration of dividend
b. the distribution of dividend
c. the payment of dividend (whichever is earlier).

(4) Tax paid on distributed prize money is considered to be a final payment and cannot be claimed.

(5) No deduction under any other provision of the law can be claimed by a firm or a partner against any amount of tax levied or payable.

(6) Exemption: No tax is payable on winnings distributed in the following cases:

- Companies/undertakings developing Special Economic Zones
- Dividends declared/distributed/paid on or after 1st April, 2005 out of current income

Section 115P: Interest on arrears of tax by domestic companies

If a domestic company or its directors fails to pay tax on profits distributed (under Section 115-O) within the specified period (Section 115-O, Clause 3), they will be liable to pay:

- Simple interest at 1% (or any part thereof) per month on the amount of tax due
- Interest period: from the day following the date of the last payment to the date of actual payment

8.5 Section 115Q: Deemed default of company

If a domestic company or its officers fail to pay tax on profits distributed under section 115-O, they will be deemed to be taxpayers in default in payment of the outstanding tax. Therefore, all the provisions of the Income Tax Act relating to the levy and collection of income tax will apply.

Treatment of deemed dividend under section 2(22)(e)

Dividends received by a taxpayer from a subsidiary company are deductible if the subsidiary has paid an equal amount of dividend tax. However, this deduction cannot be claimed more than once and a taxable company cannot be a subsidiary of another company. Section 2(22) of the Income Tax Act defines dividends including notional dividends. Generally, companies distribute profits to shareholders in proportion to their shareholding or paid-up capital.

However, payments qualifying as dividends under Section 2(22)(e) are different as they are not distributed proportionately.

These deemed dividends arise from certain transactions, such as advances or loans to shareholders, which may bear interest and are refundable. Although the company does not declare these payments as dividends, they are treated as dividends in the hands of the recipient shareholder to prevent tax evasion. Given the distinct nature of deemed dividends under Section 2(22)(e), it appears that they are excluded from the scope of Section 115-O. Consequently, companies are not liable to pay additional tax on such payments.

Example: Excess Dividends Company P. Ltd.

The company has the following features:

Paid-up capital: 5,00,000 (5,00,000 shares per share, fully paid up)

Shareholders: A, B, C, D holding 25% shares each (1,25,000 shares)

Distribution of dividends: ₹10 per share, totaling ₹50,00,000

Dividends are distributed to the shareholders proportionately. In this case, each shareholder would receive ₹12,50,000.

However, the company loans Mr. A 1 billion yen with 14% interest, to be repaid in one year. Since Mr. A holds 25% of the shares, Article 2(22)(e) applies and the loan is considered a dividend.

Key point: This loan is not distributed proportionally to capital held, unlike the dividend. Implication:

- For Chapter XII-D purposes, the ₹1 crore loan is excluded from the definition of dividend.
- The company is not liable to pay additional tax on this amount under Section 115-O.
- Mr. A may be liable to tax on this deemed dividend, unless exempt under Section 2(22) or eligible for a fixed rate of dividend

8.6 Dividend Distribution Tax Rates (DDT) as on 1 April 2010:

Dividend Tax: 15%

Surcharge: 1.125% (in addition to 15% tax)

Education Cess: 0.3225% (above 15% tax)

Secondary and Higher Education Cess (SHEC): 0.16125% (based on 15% tax)

Total Dividend Tax: 16.60875%

Payment Schedule:

Companies must pay DDT within 14 days of:

Dividend declaration

Dividend distribution

Dividend payment (whichever is earlier)

Tax Impact:

- Dividend income is exempt from tax in the hands of the recipient under Section 10(34).
- However, the dividend tax paid by the company is not a deductible expense in the company's hands

8.7 Tax on Income Distributed To Shareholders

Section 115R (1): Tax on Income Distributed by Unit Trust Of India

Not with standing any other provision, income distributed by a Unit Trust of India to its

shareholders before 31 March 2002 is liable to tax. The unit trust of India has to pay an additional income tax of 10% on such distributed income.

Exception: This provision does not apply to distributed income from open-ended equity oriented funds for a period of three years from 1 April 1999.

Section 115R (2): Tax on income distributed by certain companies or investment funds

Notwithstanding other provisions, any income distributed by a specified company or a Mutual Fund to its unit holders on or before March 31, 2020, is subject to tax. The specified company or Mutual Fund must pay additional income tax on the distributed income at the following rates:

a) 25% of income distributed by money market fund/liquid fund to an individual/HUF

b) 30% of income distributed by money market fund/liquid fund to any other person

c) 10% of income distributed by equity oriented fund

d) 25% of income distributed by other fund to an individual/HUF

e) 30% of income distributed by other fund to any other person

Exception: On income distributed by infrastructure debt fund to non-resident individual/foreign company, mutual fund pays additional income tax at 5%.

8.8 To Sum Up

Dividend Distribution Tax (DDT) is a tax levied on companies that distribute dividends to their shareholders. The tax is payable by the company distributing the dividend, and it is not a tax on the shareholder receiving the dividend. The purpose of DDT is to ensure that companies distribute their profits to shareholders after paying the requisite taxes, thereby preventing tax evasion and ensuring a fair share of revenue for the government. The tax rate for DDT is currently 15%, plus surcharge and cess.

The Income Tax Act has specific sections dealing with DDT, including Section 115-O, which

deals with the tax on distributed profits of domestic companies. Section 115P deals with interest on arrears of tax by domestic companies, while Section 115Q deals with deemed default of company. Additionally, Section 2(22)(e) defines deemed dividends, which are payments made by a company to its shareholders that are treated as dividends, even if they are not declared as such.

8.9 Some Key Words

DDT: A tax levied on companies that distribute dividends to their shareholders.

Dividend: A distribution of profit by a company to its shareholders.

Taxable Amount: The amount of dividend declared, distributed, or paid by a domestic company.

Section 115-O: The section of the Income Tax Act that deals with the tax on distributed profits of domestic companies.

Additional Tax: A supplementary income tax of 15% payable by domestic companies on dividends.

Section 115P: The section of the Income Tax Act that deals with interest on arrears of tax by domestic companies.

Simple Interest: Interest payable by domestic companies on unpaid tax at 1% per month.

Section 115Q: The section of the Income Tax Act that deals with deemed default of company.

Deemed Default: A company is deemed to be in default if it fails to pay tax on profits distributed.

Deemed Dividend: A payment made by a company to its shareholders that is treated as a dividend, even if it is not declared as such.

Notional Dividends: Dividends that are not actually distributed but are treated as dividends for tax purposes.

Dividend Tax Rate: The rate at which dividend distribution tax is payable, currently 15%.

Surcharge: An additional tax payable on dividend distribution tax, currently 1.125%.

Education Cess: A cess payable on dividend distribution tax, currently 0.3225%.

Secondary and Higher Education Cess (SHEC): A cess payable on dividend distribution tax, currently 0.16125%.

8.10 Assignment Question

1. Discuss Treatment of Deemed Dividend.

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2. Discuss Dividend Distribution Tax.

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3. Discuss Section 115O

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4. Discuss section 115P

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5. Discuss section 115Q

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8.11 Objective types of Question

1. DDT is applicable only to **_____ companies**.

   Answer: domestic

2. The rate of Dividend Distribution Tax as per Section 115-O is **_____%**.

   Answer: 15

3. DDT is levied on dividends that are **declared, distributed or _____** by domestic companies.

   Answer: paid

4. DDT applies to both **_____ and final dividends**.

   Answer: interim

5. Dividends paid out of profits from **_____ Economic Zones** are exempt from DDT.

   Answer: Special

6. Section **_____** of the Income Tax Act prescribes the rate and method of payment of DDT.

   Answer: 115-O

7. Tax on distributed profits must be paid within **_____ days** of declaration, distribution or payment, whichever is earlier.

   Answer: 14

8. If a domestic company delays payment of DDT, it must pay **_____% simple interest per month** on the tax due.

   Answer: 1

9. Section 115Q treats failure to pay DDT as a **_____ in payment of tax**.

   Answer: default

10. Dividends paid to a **_____ Pension Scheme Trust** are not included in taxable dividends under Section 115-O.

    Answer: New

11. A domestic company receiving dividend from a **_____ company** that has already paid DDT can reduce that amount from its taxable dividend.

    Answer: subsidiary

12. A loan given by a company to a significant shareholder may be treated as a **_____ dividend** under Section 2(22)(e).

    Answer: deemed

13. Deemed dividends under Section 2(22)(e) are **_____ from** the scope of Section 115-O.

    Answer: excluded

14. Under Section 115R, a Mutual Fund must pay additional tax on income distributed to **_____ holders**.

    Answer: unit

15. Dividend income is **_____ from tax** in the hands of shareholders under Section 10(34).

    Answer: exempt

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Unit – 09

Tax Consideration in Specific Managerial Decisions: Tax Planning Regarding Employees Remuneration

Structure

9.0 Learning Outcome
9.1 Bloom's Level of Learning
9.2 Introduction
9.3 Tax Planning Regarding Employees Remuneration
9.4 Key Elements
9.5 Salary
9.6 Allowances
9.7 Perquisites
9.8 To Sum Up
9.9 Some Key Words
9.10 Assignment Question
9.11 Objective Types Question
9.12 Bibliography

9.0 Learning Outcomes

After completing this unit a student can able understand tax planning regarding employees remuneration like:

- Salary
- Allowances
- Perquisites

9.1 Bloom's Level of Learning

1. Remembering (Knowledge)

Learning Outcome:

- Recall the components of employees' remuneration.
- List various tax-saving allowances and perquisites under the Income Tax Act.

Example:

- Define terms like salary, perquisites, and allowances.
- What is the exemption limit under Section 10(14)?

2. Understanding (Comprehension)

Learning Outcome:

- Explain how different components of remuneration are taxed.
- Describe the purpose of tax planning in salary structuring.

Example:

- Explain the tax treatment of House Rent Allowance (HRA).
- Why is tax planning important in employee remuneration?

3. Applying (Application)

Learning Outcome:

- Compute tax liability on a given salary structure.
- Apply provisions of income tax law to restructure salary for optimal tax benefit.

Example:

- Calculate the taxable salary after considering allowances and deductions.
- Restructure an employee's salary to minimize tax liability legally.

4. Analyzing (Analysis)

Learning Outcome:

- Distinguish between taxable and exempt components of salary.
- Analyze the impact of including certain perquisites in the remuneration package.

Example:

- Compare two salary structures and determine which one is more tax efficient.
- Identify the tax implications of offering ESOPs to employees.

5. Evaluating (Evaluation)

Learning Outcome:

- Justify the selection of a particular remuneration structure.
- Evaluate the effectiveness of different tax planning strategies.

Example:

- Assess the pros and cons of offering performance bonuses vs. tax-free reimbursements.
- Which strategy offers better tax benefits: salary restructuring or investment-based deductions?

6. Creating (Synthesis)

Learning Outcome:

- Design a tax-efficient salary structure for an employee.
- Formulate a comprehensive tax planning strategy for an organization's HR policy.

Example:

- Create a salary package that balances employee satisfaction and tax efficiency.
- Develop a policy framework that aligns with tax compliance and employee welfare.

9.2 Introduction

Tax planning is an essential aspect of employee compensation, as it can significantly impact an employee's take-home salary and an employer's overall tax liability. Effective tax planning involves optimizing the structure of an employee's salary, perquisites, and allowances to minimize tax outgo and maximize post-tax benefits. By understanding the tax implications of various components of employee compensation, employers can design tax-efficient salary structures that benefit both the employee and the organization. This requires careful consideration of the Income-tax Act, 1961, and the Rules framed thereunder, as well as ongoing changes in tax laws and regulations.

9.3 Tax Planning Regarding Employees Remuneration

Employee remuneration is a crucial aspect of human resource management, directly impacting employee motivation, productivity, and job satisfaction. A well-structured remuneration package attracts top talent and retains existing employees. The method and amount of remuneration are vital considerations for both employees and management.

Beyond salaries, employee benefits may include lifestyle perks like company-provided accommodation, club memberships, and health insurance policies. While these benefits are valuable, their tax implications can be unclear. It's vital for employees to know the tax efficiency of various perks to maximize their remuneration package.

Income earned through an employee-employer relationship is taxed under the head of "Salaries". If the income surpasses the minimum exemption limit, the employers has to deduct tax at source (TDS) and provide employees with a statement showing tax deductions and net income.

To maximize tax benefits, employees can structure their Cost to Company (CTC) salary components, such as DA, HRA, conveyance allowance, and variable incentives, to take advantage of beneficial income tax provisions. Tax planning helps employers and employees to evaluate their financial planning and minimize taxes on personal income or business profits through strategies like salary structuring, timing of income and purchases, investment planning, and tax filing.

9.4 Key Elements

Tax planning in employee remuneration focuses on optimizing three key elements:

1. **Salary**: This refers to the periodic remuneration paid by an employer to an employee, as specified in the employment contract.

2. **Allowances**: Allowances are another significant component of the compensation package, subject to income tax. However, if these payments are made to cover expenses incurred while performing official duties, they may be eligible for tax deductions.

3. **Perquisites**: Perquisites, or ‘perks’ are voluntary benefits attached to an office or employment, forming the third component of an employer's remuneration package.

When calculating business income, employers can deduct remuneration paid to employees, reducing their tax liability. Conversely, if these deductions are disallowed, the employer's tax bill increases. From the employee's perspective, received remuneration is taxable, but often at concessional rates. To minimize tax liability and maximize take-home pay, employees should consider the tax implications of their compensation.

9.5 Salary

The following income shall be chargeable to income-tax under the head "Salaries"-

(a)Any salary received by employee from an employer or a former employer in the previous year, whether paid or not;

(b)Any salary paid or allowed to him in the previous year by or on behalf of an employer or a former employer though not due or before it became due to him;

(c)any arrears of salary paid or allowed to him in the previous year by or on behalf of an employer or a former employer, if not charged to income-tax for any earlier previous year.

Important points

I. There must be employer and employee relationship to create salary income.

II. Any amount received from more than one employer, then it will come under salary head.

III. salary of present past and prospective employer taxable under this salary head.

IV. There is no difference between salary and wages

V. If an employee received any amount from foreign government or foreign enterprises then it is taxable under the head of salary

VI. if an employee work profession, then this income will not be coming under salary it goes to profit and gain of business or profession

VII. Generally, employee received the tax-free salary because all the tax have already paid by the employer

VIII. according to section 15 of income tax act 1961 salary is taxable on due or receipt basis whichever is earlier

IX. salary must real and not fictitious it means there are should be an intension to pay and receive salary

X. salary grade or pay scale determine the starting or basic salary amount and annual incremental amount of a salary

XI. dearness allowance which payable to an employee to compensate for the rise in price lavel.

XII. salary is deemed to acquire or arise at a place where services are render

Salary U/S 17(1)

Understanding "Salary" Under Section 17(1) of the Income Tax Act

Section 17(1) of the Income Tax Act defines the term "salary" in an inclusive manner, making it broader than the general understanding of the term. For income tax purposes, any payments received by an employee from an employer during a financial year under the categories mentioned below are considered as salary:

- **Wages:** These refer to payments made by an employer to an employee for services rendered. It may include basic salary, pay, or remuneration and can be paid for actual work, paid leaves, or simply as amounts due during the financial year.
- **Annuity or Pension:** These are periodic payments received after retirement from employment. If the annuity is received from the current employer, it is taxed as salary. However, annuity payments from a former employer are treated as *profits in lieu of salary*.
- **Profits in Lieu of Salary:** This includes payments such as:
    - Compensation for termination or changes in employment terms.

- Employer's contributions and interest from unrecognised provident or superannuation funds.
- Proceeds from a keyman insurance policy, including any bonuses.
- Amounts received before joining or after leaving a job.

- **Gratuity:** A one-time payment made by an employer as a token of appreciation for services rendered. This benefit is governed under the Payment of Gratuity Act, 1972.
- **Fees:** Any fee paid by the employer to the employee for services rendered falls under salary.
- **Commission:** Commissions received by employees, especially when based on a fixed percentage of sales or profits, are considered part of the salary.
- **Perquisites:** These are additional benefits given by the employer in cash or kind, such as club memberships, interest-free loans, tuition fees, rent-free housing, or insurance premiums paid on behalf of the employee.
- **Advance Salary:** Payments received before they are due are considered advance salary. However, loans from an employer do not fall under this category.
- **Leave Encashment:** Employers may compensate employees for unused leave, either during employment or upon retirement/resignation. Such payments are treated as salary.
- **Employee Provident Fund (EPF):** Employer contributions exceeding 12% of the salary or interest earned beyond the rate notified by the Central Government (8.25% for FY 2023-24) are taxable as salary.
- **Transferred PF Balances:** When balances are transferred from an unrecognised to a recognised provident fund, any taxable portion is considered salary.
- **National Pension Scheme (NPS):** Contributions made by the Central Government or any employer to an employee's NPS account during a financial year are included under salary.

Provident Fund

A **Provident Fund (PF)** is a retirement savings scheme designed to provide financial security to employees after they retire. It is a long-term investment plan where both the employer and the employee contribute a certain percentage of the employee's salary each month. The accumulated amount, along with interest, is paid out to the employee at the time of retirement or under specific circumstances such as resignation, unemployment, or certain emergencies.

Types of Provident Funds

1. **Recognised Provident Fund (RPF):**
   - Commonly used by private sector employees.
   - Both employer and employee contribute, generally 12% of basic salary and dearness allowance.
   - Contributions and interest up to a notified limit are exempt from tax.
2. **Unrecognised Provident Fund (URPF):**
   - Not approved by the Commissioner of Income Tax.
   - Employer's contribution and interest are taxable when withdrawn.
3. **Statutory Provident Fund (SPF):**
   - Applicable to government employees, railways, universities, and certain public sector institutions.
   - Contributions, interest, and withdrawal amounts are fully tax-free.
4. **Public Provident Fund (PPF):**
   - Open to all individuals (not necessarily employees).
   - Managed by the government with a fixed rate of return.
   - Long lock-in period (15 years), and all contributions and returns are tax-exempt.

Tax Treatment of Provident Fund

- **Employer Contribution:**
  - If the employer contributes more than 12% of the employee's salary to a **Recognised Provident Fund**, the excess amount is taxable as part of the salary.
- **Interest on Contribution:**
  - Interest earned above the rate notified by the government (e.g., 8.25% for FY 2023-24) is also taxable.
- **Withdrawals:**
  - Withdrawals from a Recognised Provident Fund are tax-free if the employee has rendered continuous service for at least five years.
  - Premature withdrawals may attract tax, unless under specific exempted circumstances.

Key Benefits

- Encourages disciplined savings for retirement.
- Offers tax benefits under Section 80C of the Income Tax Act.
- Provides financial backup during emergencies like medical treatment, higher education, or home purchase.

Pension

A **pension** is a regular payment made to individuals after they retire from active employment. It acts as a source of income in the post-retirement phase, helping individuals maintain financial stability even when they are no longer working. Pension plans are typically set up by employers, governments, or insurance companies.

Types of Pension

1. **Government Pension:** Usually offered to employees in the public sector after retirement.

2. **Employer-Sponsored Pension:** Provided by companies to their employees as part of retirement benefits.
3. **Self-Contributed Pension Plans:** Individuals can also invest in private pension plans offered by insurance or investment firms.

Pension can be paid out as:

- **Monthly pension** (a steady income for life), or
- **Lump sum amount** (partial withdrawal at the time of retirement, followed by regular payments).

National Pension Scheme (NPS)

The **National Pension Scheme (NPS)** is a government-backed retirement savings program designed to encourage long-term financial planning among Indian citizens. It is open to both salaried individuals and self-employed persons.

Key Features of NPS:

- **Voluntary:** Anyone aged between 18 and 70 can join.
- **Contributory:** Both the subscriber and their employer (if applicable) can contribute regularly.
- **Portable:** The account can be maintained across jobs and locations.
- **Regulated:** Managed by the Pension Fund Regulatory and Development Authority (PFRDA).

Types of NPS Accounts:

1. **Tier I Account:**
   - Mandatory and designed primarily for retirement.
   - Withdrawals are restricted until retirement age.
   - Offers tax benefits under Sections 80C and 80CCD(1B).
2. **Tier II Account:**
   - Optional and more flexible.
   - Funds can be withdrawn at any time.

- No additional tax benefits for this account.

Tax Benefits:

- Employees can claim deductions up to ₹1.5 lakh under **Section 80C** and an extra ₹50,000 under **Section 80CCD(1B)**.
- Employer contributions (up to 10% of salary) are also tax-deductible under **Section 80CCD (2)**.

Exit and Withdrawal:

- At retirement (usually 60 years), up to 60% of the corpus can be withdrawn tax-free.
- The remaining 40% must be used to buy an annuity, which provides regular pension income.

Why Choose NPS?

- Long-term wealth creation through market-linked returns.
- Low management charges compared to mutual funds.
- A reliable source of income post-retirement.

At last we conclude that Salary refers to the periodic payment made by an employer to an employee for their work or services, typically including basic pay, allowances, and other benefits, which are usually taxable and form a part of an individual's total remuneration. TDS (Tax Deducted at Source) is a mechanism where an employer deducts a portion of an employee's salary and pays it to the government as advance tax, reducing the employee's tax liability. As proof of this, the employer issues Form 16, a certificate stating the amount of salary paid, TDS, and other relevant details, serving as proof of income and tax deduction for the employee.

9.6 Allowances

The term **allowance** refers to a fixed amount of money provided regularly by an employer to an employee to cover specific expenses related to their job or personal needs. It is typically added to the base salary and may be given for purposes such as housing, travel, meals, or other work-related costs. Depending on its type and purpose, an allowance may be fully taxable, partially exempt, or completely tax-free under income tax regulations. Categories of Allowances in a Salary Slip

Salary slips often include different types of allowances, which are broadly categorized into:

1. **Fully Taxable Allowances**
2. **Partially Taxable Allowances**
3. **Tax-Free Allowances**

1. **Fully Taxable Allowances**

These allowances are subject to full taxation, regardless of their purpose:

- **Entertainment Allowance**: Taxable for all employees. However, government employees can claim a deduction under Section 16(ii) based on the lowest of these three: 20% of basic salary, ₹5,000, or the actual amount received.
- **Dearness Allowance (DA)**: A cost-of-living adjustment, fully taxable and calculated as a percentage of the basic pay.
- **Overtime Pay**: Additional pay for extra hours worked is entirely taxable.
- **City Compensatory Allowance**: Offered to employees working in cities with a high cost of living; fully taxable.
- **Interim Allowance**: Temporary allowance pending final settlement; fully taxed.
- **Project Allowance**: Provided for expenses related to specific projects; fully taxable.
- **Meal/Tiffin Allowance**: Intended to cover food costs but is subject to full taxation.
- **Cash Allowance**: Given on occasions such as holidays, marriages, or funerals; fully taxable.
- **Non-Practising Allowance**: A special allowance for medical professionals who don't engage in private practice; fully taxed.
- **Warden/Hostel Allowance**: Paid to those managing school or college hostels; fully taxable.
- **Servant Allowance**: Meant to cover domestic help expenses; fully taxable.

2. **Partially Taxable Allowances**

These allowances come with partial tax exemptions depending on conditions:

- **House Rent Allowance (HRA)**: Helps cover rent expenses. Tax-exempt portion is the least of:
  - Actual HRA received
  - Rent paid minus 10% of basic salary
  - 50% of salary (basic + DA) for metros; 40% for non-metros
- **Medical Reimbursement**: Tax-free up to ₹15,000 annually for medical expenses.
- **Special Allowance**: Granted for personal expenses; taxable unless specifically exempted.
- **Conveyance Allowance**: Exempt up to ₹1,600 per month for commuting expenses.
- **Children's Education Allowance**: Tax exemption up to ₹100 per month per child (maximum two children).
- **Leave Travel Allowance (LTA)**: Covers travel fare for vacations, excluding accommodation and sightseeing. Tax exemption is available under certain conditions and limits.

Tip: Use an HRA calculator to easily compute your eligible exemption.

3. **Fully Exempt Allowances (Tax-Free)**

Some allowances are completely tax-exempt under specific conditions:

- **Foreign Service Allowances**: Provided to government employees serving abroad; not taxable.
- **Sumptuary Allowance for Judges**: Supreme Court and High Court judges receive this tax-free benefit.
- **Compensatory Allowance for Judges**: Exempt from tax as per Article 222(2) of the Indian Constitution.
- **UNO Employees' Allowances**: Employees of the United Nations in India are exempt from taxes under the UN Privileges and Immunities Act.

Other Fully Tax-Free Allowances Include:

- Academic Allowance
- Daily Allowance
- Helper Allowance

- Uniform Allowance

9.7 Perquisites

Perquisites, often called "perks," are additional benefits or advantages provided by an employer to an employee on top of the regular salary or wages. These benefits can be in the form of cash, kind, or services and are often provided to improve employee satisfaction and motivation.For taxation purposes, perquisites are considered part of salary and are taxed accordingly, depending on their nature.

Types of Perquisites

Perquisites are generally classified into three categories for tax purposes:

1. Taxable Perquisites

These are fully taxable in the hands of the employee, regardless of their value or usage. Common examples include:

- **Rent-Free Accommodation**: If an employee is provided with a house by the employer without paying rent, its value is added to taxable income.
- **Use of Employer's Car for Personal Use**: If the company car is used for private purposes, it becomes a taxable benefit.
- **Free or Discounted Club Memberships**: These benefits are treated as perks and taxed.
- **Interest-Free or Concessional Loans**: If an employee receives a loan at a rate lower than the market rate, the difference is treated as a taxable perquisite.

2. Tax-Free (Exempt) Perquisites

These are not added to the employee’s taxable income under certain conditions:

- **Medical Facilities**: Medical treatment provided in employer-approved hospitals or clinics is usually tax-free.
- **Refreshments and Beverages at the Workplace**: Tea, coffee, or snacks provided during office hours are not taxed.

- **Recreational Facilities**: If the employer provides recreational facilities like gyms or clubs within the premises, they are generally exempt.
- **Company Transport**: If the employer provides transport for commuting between home and office, it is usually exempt.

3. Partially Taxable Perquisites

Some perquisites are taxed partially depending on usage or limits defined under income tax laws. For example:

- **Leave Travel Concession (LTC)**: It is exempt only for travel expenses within India, subject to conditions.
- **Accommodation**: If the employer provides accommodation at concessional rent, the difference between fair rental value and rent paid by the employee is taxed.

Valuation of Perquisites

The Income Tax Rules prescribe how to calculate the value of various perquisites. The valuation depends on factors such as:

- Salary level of the employee
- City of residence (metro vs. non-metro)
- Usage (personal vs. official)
- Type and cost of benefit provided

For example, rent-free accommodation in a metro city is valued at 15% of the employee's salary, while in non-metro areas, it may be 10%.

Perquisites Taxable for Specified Employees

Some perquisites are taxable only for "specified employees." A **specified employee** is one who:

- Is a director in the company, or
- Holds 20% or more equity voting power, or
- Has a salary above ₹50,000 (excluding non-monetary benefits)

Examples of perquisites taxable only for specified employees include:

- Personal attendants (drivers, cooks, etc.)
- Use of employer's movable assets
- Transfer of assets to employee below market value

Reporting and Compliance

Perquisites are reported in **Form 16**, and employers must value and deduct TDS accordingly. Accurate reporting ensures proper tax calculation and avoids legal issues.

COMPUTATION OF SALARY INCOME

PARTICULAR	AMOUNT
Salary [17(1)]	****
Allowances {17[3](b)}	****
Perquisites [17(2]	****
Profit in lieu of salary	****
GROSS SALARY	*****
Deduction (16)	****
INCOME UNDER THE HEAD SALARY	*****

9.8 To Sum Up

Tax planning is essential for optimizing employee remuneration, including salary, allowances, and perquisites. Effective tax planning helps minimize tax liability and maximize post-tax benefits for both employees and employers. Employee remuneration is taxed under the head of Salaries,' and employers must deduct tax at source (TDS) if the income exceeds the minimum exemption limit.

Key elements of tax planning in employee remuneration include salary, allowances, and perquisites.

Salary includes basic pay and other benefits, while allowances cover specific expenses like travel or housing. Perquisites are voluntary benefits attached to an office or employment, and may be taxable or non-taxable. Understanding the tax implications of these components is crucial for designing tax-efficient salary structures that benefit both employees and employer.

9.9 Some Key Words

Tax Planning: The process of optimizing an employee's salary, perquisites, and allowances to minimize tax liability and maximize post-tax benefits.

Employee Remuneration: The compensation package offered to employees, including salary, allowances, and perquisites.

Cost to Company (CTC): The total cost incurred by an employer to hire and maintain an employee.

Salary: The periodic payment made by an employer to an employee for their work or services.

Basic Pay: The core component of an employee's salary, excluding allowances and benefits.

Tax Deducted at Source (TDS): A mechanism where an employer deducts a portion of an employee's salary and pays it to the government as advance tax.

Allowances: Payments made by an employer to an employee to cover specific expenses, such as travel or housing.

Travelling Allowance: An allowance granted to employees to cover expenses incurred during business trips.

House Rent Allowance (HRA): An allowance granted to employees to cover rent expenses.

Conveyance Allowance: An allowance granted to employees to cover transportation expense

Perquisites: Voluntary benefits attached to an office or employment, such as rent-free accommodation or company-owned cars.

Taxable Perquisites: Perquisites that are subject to income tax, such as rent-free accommodation or company-owned cars.

Non-Taxable Perquisites: Perquisites that are exempt from income tax, such as medical facilities or subsidized lunch.

9.10 Assignment Question

1. Discuss the Tax Planning regarding Employees Remuneration.

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2. Write notes on Salary

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3. Write notes on provident fund and pension.

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4. Write notes Perquisites.

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5. Write notes on Allowances

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……

9.11 Objective types Question

1. **Basic salary, bonus, and commission** are part of _____.

   ➤ **Answer:** salary income

2. **HRA stands for _____.**

   ➤ **Answer:** House Rent Allowance

3. Allowances are generally _____ in the hands of the employee unless specifically exempt.

   ➤ **Answer:** taxable

4. _____ allowance is exempt to the extent of least of actual HRA received, rent paid minus 10% of salary, or 50%/40% of salary.

   ➤ **Answer:** House Rent

5. Perquisites are _____ provided by the employer to the employee.

   ➤ **Answer:** benefits or amenities

6. _____ perquisites are always taxable in the hands of all employees.

   ➤ **Answer:** Monetary

7. Transport allowance for differently-abled employees is exempt up to ₹_____ per month.

   ➤ **Answer:** 3,200

8. _____ is the section under which standard deduction is allowed from salary income.

   ➤ **Answer:** Section 16(ia)

9. The standard deduction from salary income is ₹_____ (as of FY 2023–24).

   ➤ **Answer:** 50,000

10. Gratuity received by a government employee is _____.

    ➤ **Answer:** fully exempt

11. Leave encashment during service is _____.

    ➤ **Answer:** fully taxable

12. Rent-free accommodation is a _____ perquisite.

    ➤ **Answer:** taxable

13. The value of perquisites is calculated as per _____ Rules.

    ➤ **Answer:** Rule 3

14. _____ perquisites are taxable only for specified employees.

    ➤ **Answer:** Non-monetary

15. Entertainment allowance is deductible only for _____ employees.

    ➤ **Answer:** government

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Unit – 10
Fringe Benefit Planning

Structure

10.0 Learning Outcomes
10.1 Bloom's Level of Learning
10.2 Introduction
10.3 Meaning of Fringe Benefit
10.4 Treatment of Fringe Benefit
10.5 Payment of Fringe Benefit Tax
10.6 Brief summary of Fringe Benefits
10.7 To Sum Up
10.8 Some Key Words
10.9 Assignment Question
10.10 Objective Types Question
10.11 Bibliography

10.0 Learning Outcomes

After completion of this unit a student is expected to have a knowledge of the following concepts:

- Meaning of Fringe Benefit
- Treatment of Fringe Benefit
- Payment of Fringe Benefit Tax
- Brief summary of Fringe Benefits

10.1 Bloom's Level of Learning

1. Remembering

- Define **fringe benefits**.
- List examples of fringe benefits (e.g., car provided by employer, rent-free accommodation, ESOPs).
- Identify the sections of the Income Tax Act that govern fringe benefits (e.g., **Section 17(2)**, **Rule 3**).

2. Understanding

- Explain how fringe benefits are different from allowances and perquisites.
- Describe the tax treatment of common fringe benefits such as **concessional loans** or **free meals**.
- Interpret the meaning of **specified employees** in relation to fringe benefit taxation.

3. Applying

- Compute the value of a car perquisite provided by an employer.
- Apply Rule 3 to calculate the taxable value of rent-free accommodation.
- Use salary details to determine if a fringe benefit is taxable or exempt.

4. Analyzing

- Differentiate between **taxable** and **non-taxable** fringe benefits.
- Analyze the impact of providing fringe benefits on an employee's **net taxable income**.
- Compare how different fringe benefit structures affect total tax liability for employees.

5. Evaluating

- Judge whether offering fringe benefits is a more tax-efficient compensation strategy than direct salary.
- Critically evaluate the fairness of taxing certain fringe benefits only for specified employees.
- Assess the advantages and disadvantages of fringe benefits from an employer's point of view.

6. Creating

- Design a **tax-efficient compensation package** using fringe benefits for a senior-level employee.
- Develop a case study on how a company uses fringe benefits to attract and retain talent.
- Create a policy document explaining the valuation and taxation of fringe benefits for the HR department.

10.2 Introduction

Fringe benefits refer to the non-monetary benefits provided by employers to their employees, in addition to their regular salaries or wages. These benefits, also known as perquisites or perks, can take many forms, such as free or subsidized meals, housing, transportation, education, or recreational facilities. Fringe benefits are considered taxable income in the hands of the employee, unless specifically exempt under the Income-tax Act. As a result, employers are required to value these benefits and include them in the employee's taxable income, thereby increasing the employer's tax liability. Effective management of fringe benefits is essential for both employers and employees, as it can impact their tax obligations, employee morale, and overall compensation packages.

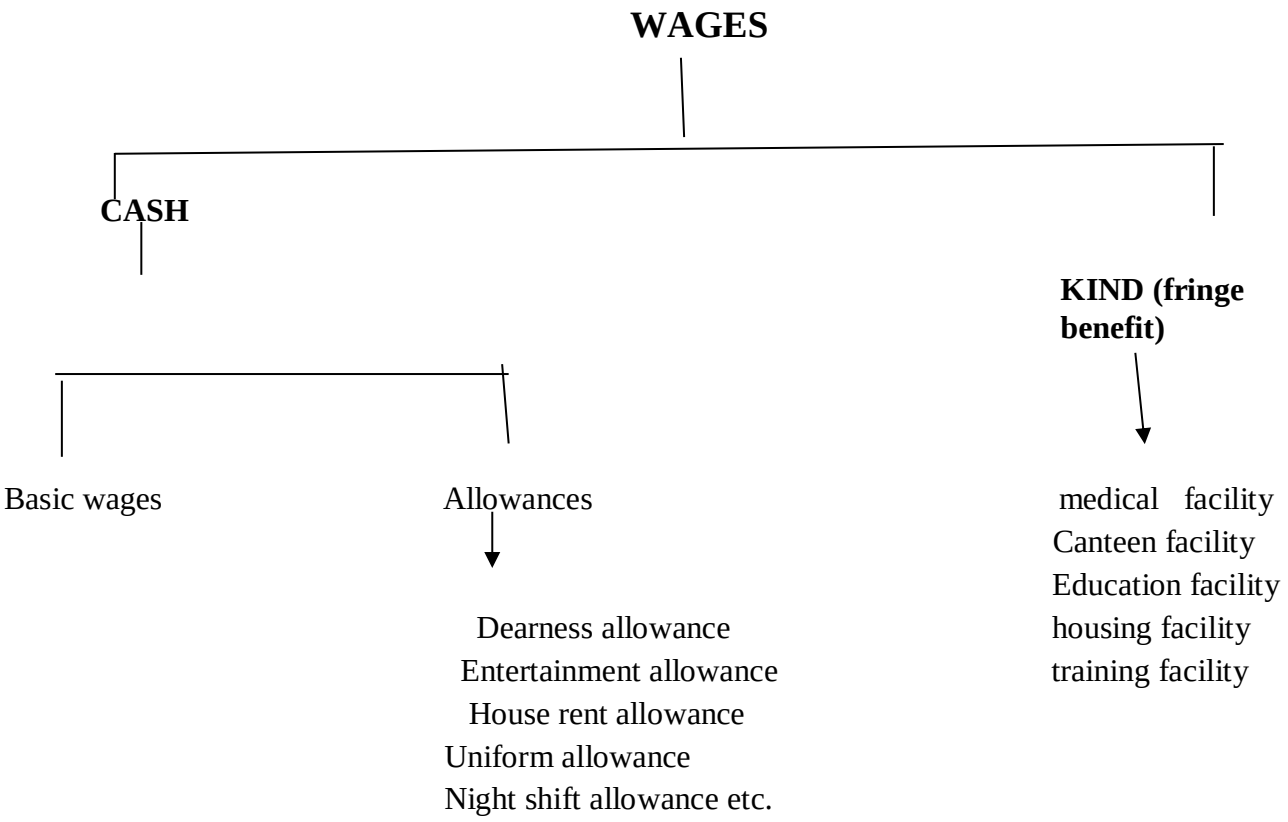
10.3 Meaning of Fringe Benefit

A fringe benefit is a type of additional compensation provided to employees for their services, beyond their regular pay. This can include a wide range of benefits, such as property, services, cash, or cash equivalents. Fringe benefits may be specifically designated as such in the Internal

Revenue Code, or they may be subject to special tax treatment under separate statutory provisions. These benefits can be provided directly by the employer or through third-party arrangements.

Fringe Benefit Tax (FBT) is a tax levied on benefits received by employees as a result of their service, including those provided by third parties. The FBT is an important consideration for employers, as it can impact their tax liability and the overall cost of providing benefits to their

employees. In this unit, we will delve into a detailed discussion of the fringe benefits given to employees by their employers, exploring the various types of benefits, their tax implications, and the rules governing their provision.



10.4 Treatment of Fringe Benefit

Fringe Benefit Tax (FBT) is a type of tax imposed on employers for providing non-cash benefits, such as perquisites, to their employees in addition to their regular salary. Introduced in India in 2005-2006, FBT is treated differently across countries. In some cases, these benefits are taxed directly in the hands of employees, while in others, employers are liable for FBT on the value of such benefits. The rationale for levying FBT on employers lies in the challenge of isolating the personal element of collectively enjoyed benefits and attributing it to individual employees. Furthermore, when employers reimburse employees for expenses, it becomes difficult to accurately calculate the true amount of the perquisite provided due to cash flow complexities.

Fringe Benefit Tax (FBT) refers to the taxation of non-monetary benefits, known as

perquisites/fringe benefits, provided by employers to their employees in addition to their regular salary. These benefits, which include privileges, services, facilities, or amenities, are taxed in the hands of the employer, rather than the employee. FBT encompasses various forms of employee compensation beyond wages, tips, health insurance, life insurance, and pension plans, as outlined in Section 115WB of the Finance Bill.

Fringe benefit planning can yield significant tax savings. By offering qualified benefits, businesses can deduct the costs, reducing their tax liability, while recipients avoid paying present

taxes on the benefits given to them. This creates a 'two-for-one savings' opportunity, particularly for business owners who are also eligible employees. To maximize tax benefits, business owners should be aware of various fringe benefit options, as well as potential limitations. Thus we can define; a fringe benefit is a non-cash form of compensation provided to qualified recipients, typically employees or business owners who are also qualified employees.

Fringe benefits are considered to be provided if an employer incurs expenses or makes payments for:

i. Entertainment purposes

ii. Festival celebrations

iii. Gifts

iv. Club facility usage

v. Hospitality services, excluding in-office or factory food/beverages

vi. Guest house maintenance

vii. Conferences

viii. Employee welfare initiatives

ix. Health club, sports, and similar facility usage

x. Sales promotion and publicity

xi. Conveyance, tours, and travel (including foreign travel)

xii. Hotel accommodations

xiii. Motor car maintenance and expenses

xiv. Aircraft maintenance and expenses

xv. Non-industrial fuel consumption

xvi. Telephone usage

xvii. Employee children's scholarships

10.5 Payment of Fringe Benefit Tax

Fringe Benefit Tax (FBT) is a tax liability that falls on employers, encompassing a broad range of entities including individuals, Hindu Undivided Families (HUFs), companies, firms, associations, local authorities, sole traders, and artificial juridical persons. This tax is levied on the value of fringe benefits provided to employees during the previous year, and the calculated value is subject to an additional 30% income tax.

Employers are obligated to pay FBT, regardless of whether they are required to pay income tax on their total income. Moreover, FBT applies even if benefits are provided indirectly through third-party arrangements or associates of the employer. This means that employers must carefully consider all benefits provided to employees, including those facilitated through external parties, to ensure compliance with FBT regulations and avoid any potential tax liabilities.

10.6 Advantages of Fringe Benefits for Employees

Fringe benefits offer multiple advantages to employees, including:

1. **Better Financial Protection and Stability**
   Perks such as health and life insurance, along with retirement savings plans, provide employees with a safety net and encourage long-term financial planning.
2. **Improved Work-Life Integration**
   Features like paid leave, flexible schedules, and wellness initiatives help employees balance personal and professional life, reducing stress and enhancing overall well-being.
3. **Higher Job Satisfaction and Employee Loyalty**
   When companies offer valuable benefits, employees feel appreciated, leading to greater satisfaction, motivation, and commitment to the organization.
4. **Lower Personal Expenses**
   Fringe benefits such as food vouchers, gym access, or travel subsidies reduce employees' daily expenditures, offering financial relief and convenience.
5. **Career Development Opportunities**
   Programs like tuition reimbursement, skill development training, and stock options enable employees to upskill and grow their careers, while also fostering a sense of ownership in the company.

Fringe Benefits: Employer's Perspective

For employers, offering fringe benefits can be strategically beneficial in several ways:

1. **Talent Acquisition and Retention**
   Providing comprehensive benefits helps companies attract skilled professionals and keep valuable employees onboard.
2. **Boosted Morale and Productivity**
   Offering benefits reflects an employer's care for employee well-being, leading to happier teams and increased efficiency.
3. **Cost-Effective Remuneration**
   Instead of raising taxable salaries, offering non-cash perks can be a more tax-efficient way to enhance compensation packages.

4. **Tax Efficiency**
   Certain fringe benefits qualify for tax deductions for employers and are tax-exempt for employees, making them a smart component of compensation planning.
5. **Health and Well-being Support**
   Coverage like health insurance, fitness benefits, and wellness programs helps maintain a healthier workforce, reducing absenteeism and boosting productivity.
6. **Legal and Regulatory Compliance**
   In some cases, employers are required to offer specific benefits due to labor laws or industry standards, such as retirement contributions or insurance coverage.

10.7 How to Build an Effective Fringe Benefits Program

Creating a successful fringe benefits plan involves the following steps:

1. **Understand Employee Needs**
   Survey employees to identify which benefits they value most.
2. **Set Clear Goals**
   Align the benefits program with the company's strategic goals, such as enhancing retention or drawing top talent.
3. **Explore Benefit Options**
   Consider a variety of offerings—health plans, retirement savings, wellness initiatives—and assess their feasibility.
4. **Budget Planning**
   Work within financial limits to prioritize the most impactful benefits.
5. **Tailor Benefits for Different Groups**
   Address the diverse needs of your workforce by offering flexible and varied options.
6. **Communicate Transparently**
   Ensure that employees understand what's available, how to qualify, and how to make use of the benefits.
7. **Review and Improve**
   Continuously refine the program based on employee feedback and evolving trends.

10.8 Key Challenges and Considerations in India

Implementing fringe benefits in India involves navigating various unique challenges:

1. **Legal Compliance**
   Employers must follow complex tax and legal frameworks, including rules under the Income Tax Act regarding the taxation and valuation of benefits.
2. **Budget Limitations**
   For smaller companies, providing extensive benefits may be financially challenging. It's important to strike a balance between offering value and maintaining sustainability.
3. **Workforce Diversity**
   India's diverse workforce requires customized benefits catering to different age groups, lifestyles, and family needs.
4. **Focus on Retirement Planning**
   With increasing life expectancy, employers must support employees in preparing for retirement through provident funds, pension schemes, and advisory services.
5. **Need for Employee Awareness**
   Many employees may not fully understand the fringe benefits available. Companies should prioritize communication and education to improve awareness and utilization.
6. **Evolving Work Trends**
   Post-pandemic shifts like remote work and flexible hours mean employers must rethink their benefit offerings to include things like WFH stipends or internet reimbursements.

10.9 Brief summary of Fringe Benefits

Fringe benefits can provide tax-free or tax-deferred advantages to employees. Here are 17 major fringe benefits:

1. Health & Accident Insurance: Tax-free benefit for employees, their spouses, their dependents are deductible by the business.
2. Life Insurance: Certain arrangements offer limited tax-free or tax-deferred benefits.
3. Disability Insurance: Disability Insurance Premiums paid by the business are tax-free to

employees.

4. Conditional food & lodging: Tax-free to employees if provided on business premises for the employer's convenience.
5. Qualified Retirement Plan: Contributions by employers and/or employees are deductible, with limitations.
6. Working Condition Fringes: Tax-free to employees if primarily for employment conditions.
7. Vehicle Expenses: Business use of vehicles can be tax-free to employees and deductible by businesses.
8. Transportation Benefits: Qualified commuter expenses, transit passes, and parking costs can be tax-free.
9. On-premises Facilities Provided: Eating, day-care, and sports and fitness facilities provided to all employees can be tax-free.
10. Outplacement Assistance: Costs associated with finding new employment can be tax-free.
11. Moving Expense Reimbursements: Certain costs associated with job-related moves can be tax-free.
12. Spousal Travel Costs: Business-required spousal travel costs can be paid by the business and are not taxable to employees.
13. Interest Rate Beneficial Loans: Employees can receive lower-interest loans without paying taxes on the differential costs.
14. Stock Options: Depending on the type, value can be tax-free or tax-deferred.
15. Stock Grants: Business-granted stock can provide tax-deferred benefits.
16. Deferred Compensation Plans: Allows businesses to defer paying employees until a future date, potentially reducing taxes.
17. Cafeteria Plans: Employees can choose between cash and qualified benefits, such as insurance premiums, medical costs, and pension plans

10.10 To Sum Up

Fringe benefits refer to non-monetary benefits provided by employers to their employees, in addition to their regular salaries or wages. These benefits, also known as perquisites or perks, can

take many forms, such as free or subsidized meals, housing, transportation, education, or recreational facilities. Fringe Benefit Tax (FBT) is a tax levied on employers for providing these non-cash benefits to their employees. The tax is levied on the value of fringe benefits provided to employees during the previous year, and the calculated value is subject to an additional 30% income tax.

Employers, including individuals, Hindu Undivided Families (HUFs), companies, firms, associations, local authorities, sole traders, and artificial juridical persons, are obligated to pay FBT, regardless of whether they are required to pay income tax on their total income. FBT applies even if benefits are provided indirectly through third-party arrangements or associates of the employer. Various types of fringe benefits are available, including health and accident insurance, life insurance, disability insurance, conditional food and lodging, qualified retirement plans, and working condition fringes. These benefits can provide tax-free or tax-deferred advantages to employees, and employers can deduct the costs of providing these benefits from their taxable income.

10.11 Some Key Words

I. Fringe Benefit: A non-monetary benefit provided by an employer to an employee, in addition to their regular salary or wages.

II. Fringe Benefit Tax (FBT): A tax levied on employers for providing non-cash benefits to their employees.

III. Perquisites: Privileges, services, facilities, or amenities provided by an employer to an employee. Allowances: Payments made by an employer to an employee to cover specific expenses.

IV. Benefits in Kind: Benefits provided by an employer to an employee in the form of goods or services.

V. Taxable Fringe Benefits: Fringe benefits that are subject to income tax in the hands of the employee.

VI. Non-Taxable Fringe Benefits: Fringe benefits that are exempt from income tax in the hands of the employee.

VII. Employer: The person or entity responsible for paying Fringe Benefit Tax (FBT).
Previous Year: The financial year preceding the assessment year, during which the fringe benefits were provided.

VIII. Internal Revenue Code: The laws governing taxation in a country.

IX. Artificial Juridical Person: A legal entity created by law, such as a company or trust. Hindu Undivided Family (HUF): A family unit that is taxed as a single entity.

10.12 Assignment Question

1. What is a Fringe Benefit?

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2. Give a brief summary of Fringe Benefits.

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3. Explain advantages of fringe Benefits.

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4. Explain challenges of Fringe Benefits.

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5. Discuss the Treatment of Fringe Benefits.

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10.12 Objective Types Question

1. Fringe benefits are also known as _____.
   ➤ **Answer:** perquisites

2. Fringe benefits are covered under Section _____ of the Income Tax Act.
   ➤ **Answer:** 17(2)
3. The valuation of fringe benefits is done as per _____ of the Income Tax Rules.
   ➤ **Answer:** Rule 3
4. _____ employees are taxed on certain non-monetary fringe benefits.
   ➤ **Answer:** Specified
5. Rent-free accommodation is a taxable _____.
   ➤ **Answer:** perquisite
6. If a car is provided by the employer for both official and personal use, it is treated as a _____ benefit.
   ➤ **Answer:** fringe
7. The value of fringe benefits is added to the employee's _____ income.
   ➤ **Answer:** salary
8. The use of a movable asset (like a laptop or television) given by an employer is a _____ perquisite.
   ➤ **Answer:** non-monetary
9. Concessional loans provided by an employer are treated as a _____ benefit.
   ➤ **Answer:** taxable
10. If meals are provided during working hours, it is taxable if the value exceeds ₹_____ per meal.
    ➤ **Answer:** 50
11. _____ of a motor car provided by the employer depends on the cubic capacity and usage.
    ➤ **Answer:** Valuation
12. Fringe benefits given to government employees are also subject to _____ under income tax.
    ➤ **Answer:** taxation
13. **Education facility** provided to employee's children in the employer's institution is a taxable perquisite if the value exceeds ₹_____ per child per month.
    ➤ **Answer:** 1,000
14. ESOPs (Employee Stock Option Plans) are taxed as _____ in the hands of the employee.
    ➤ **Answer:** perquisites
15. The benefit of a _____ phone provided by the employer is fully exempt from tax.
    ➤ **Answer:** mobile

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Unit – 11
Tax Consideration Financial Management Decisions: Capital Structure Decisions - Need, Factors and Guidelines

Structure

11.0 Learning Outcomes
11.1 Bloom's Level of Learning
11.2 Introduction
11.3 Capital Structure
11.4 Importance of capital structure
11.5 Factors Influencing Capital Structure
11.6 Theories of capital structure
11.7 Guidelines for Capital Structuring
11.8 Tax Planning and Capital Structure Decision
11.9 To Sum Up
11.10 Some Key Words
11.11 Assignment Question
11.12 Objective Types of Question
11.13 Bibliography

11.0 Learning Outcomes

After completion of this unit a student is expected to understand the following concepts:

- Capital Structure
- Factors Influencing Capital Structure
- Guidelines for Capital Structuring
- Tax Planning and Capital Structure Decision

11.1 Bloom's Level of Learning

Remembering (Knowledge)

Objective: Recall basic concepts and terms related to capital structure.
Example:

Define capital structure.

List the components of capital structure (equity, debt, preference shares, etc.).

2. Understanding (Comprehension)

Objective: Explain ideas or concepts in one's own words.
Example:

Explain the significance of an optimal capital structure.

Describe how capital structure affects the cost of capital.

3. Applying (Application)

Objective: Use learned material in new situations.
Example:

Calculate the weighted average cost of capital (WACC) using given capital structure data.

Apply capital structure theories (e.g., Modigliani-Miller, Trade-off Theory) to solve practical problems.

4. Analyzing (Analysis)

Objective: Break down information into parts and explore relationships.
Example:

Compare the impact of different financing options (debt vs. equity) on a firm's capital structure.

Analyze a firm's current capital structure and identify areas for improvement.

5. Evaluating (Evaluation)

Objective: Justify decisions and assess value based on criteria.
Example:

Assess the risks and benefits of leveraging debt in capital structure.

Critically evaluate the capital structure of a company and suggest whether it aligns with industry standards.

6. Creating (Synthesis)

Objective: Put elements together to form a coherent whole or build something new.
Example:

Design an optimal capital structure for a startup or existing business.

Formulate a financing strategy based on firm-specific goals and market conditions.

11.2 Introduction

A company's capital structure refers to the combination of debt and equity financing used to fund its operations, growth, and expansion. It is a critical aspect of corporate finance that involves making strategic decisions about the mix of financing sources to optimize a company's cost of capital, minimize risk, and maximize shareholder value. An optimal capital structure can help a company achieve its business objectives, while a suboptimal structure can lead to increased costs, reduced profitability, and decreased competitiveness. Therefore, understanding the concepts, principles, and strategies of capital structure is essential for financial managers, investors, and other stakeholders to make informed decisions about a company's financing and investment activities.

11.3 Capital Structure

A company's capital structure can be defined as the combination of financing sources used to fund its performance and growth. It mainly consists of long-term debt, preferred stock and net worth of the company. Capital structure can be measured by calculating the percentage of each financing type in the concern's overall financing.

Companies typically raise funds through equity or debt. Equity financing involves sharing ownership and control with shareholders, who take on risk for potential growth. Debt financing, on the other hand, allows founders to maintain ownership and control, but requires repayment of principal and interest to debt holders.

While debt financing can be easier and minimum expensive for small organizations, the interest payments thereof can burden earnings. Equity financing, however, offers no obligation to repay the investment, but shareholders become integral to the company. Understanding the benefits and demerits of each financing option is crucial for companies to make informed decisions about their capital structure.

A company's capital structure consists of a mix of long-term debt, specified short-term debt, common equity, and preferred equity. Sometimes debt can take the form of bond issues or long-term notes payable, whereas equity includes common stock, preferred stock and retained earnings. The short-term debt, such as working capital requirements also considered part of the capital structure.

Capital structure can be defined as the ratio of different types of securities used by a firm for long-term financing. It involves two key decisions:

1. Types of securities to be issued, including equity shares, preference shares and long-term borrowings like debentures.
2. The relative ratio of securities, measured through the process of capital gearing.

Companies can be classified into two categories based on their capital gearing:

1. High-geared companies: Those with a small proportion of equity capitalization.
2. Low-geared companies: Those with dominant equity capitalization.

11.4 Importance of Capital Structure

Capital structure refers to the way a company finances its operations and growth through a combination of debt and equity. The importance of having an appropriate capital structure lies in its direct impact on the company’s financial stability, risk profile, and profitability.

1. **Cost of Capital Optimization**: A well-planned capital structure helps minimize the overall cost of capital. Since debt is generally cheaper than equity due to tax benefits on interest payments, the right mix can reduce financing costs.

2. **Financial Flexibility**: Companies with a sound capital structure can respond better to changing market conditions. A balanced approach ensures they don't become over-reliant on debt or dilute ownership unnecessarily through excess equity.
3. **Risk Management**: An optimal structure helps manage financial risk. Excessive debt increases the risk of insolvency during downturns, whereas too little debt may signal inefficient use of capital and affect returns to shareholders.
4. **Improved Return on Equity (ROE)**: A judicious use of debt can enhance ROE, as long as the return on investment exceeds the cost of debt. This can attract more investors and boost market confidence.
5. **Creditworthiness and Investor Confidence**: Lenders and investors often assess capital structure to evaluate a company's financial health. A stable structure can enhance the firm's reputation and make it easier to raise funds in the future.
6. **Control and Ownership Considerations**: Choosing debt over equity helps retain control within the original ownership since issuing more equity could dilute voting power.

In summary, capital structure plays a key role in determining a firm's financial performance, risk exposure, and strategic capabilities. Making informed decisions in this area is vital for long-term success.

11.5 Factors Influencing Capital Structure

When determining their capital structure, companies consider several key factors:

1. Cost of Financing: Companies consider the cost of financing when raising capital. Debentures can be a cheaper option during profitable periods, as they offer a fixed interest rate, whereas equity shareholders demand a share of profits.

2. Period of Financing: Short-term financing needs are met through bank loans, while long-term financing is achieved through share and debenture issuance.

3. Choice of Investors: Companies cater to different investor types by offering a range of securities. Bold investors prefer equity shares, while conservative investors opt for debentures and loans.

4. Capital Market Conditions: Market conditions influence capital structure decisions. During

depressions, companies rely on debentures and loans, while during boom periods, they favor share capital.

5. Degree of Control: To maintain control, companies may opt for debentures and loans instead of equity shares, as these offer fewer voting rights.

6. Flexibility of Financial Plan: A flexible capital structure allows for adjustments as needed. Debentures and loans can be repaid, while equity capital is more rigid.

7. Trading on Equity: This involves leveraging equity share capital to borrow funds at a reasonable cost, increasing profits for equity shareholders. A balanced mix of preference shares, equity shares, and debentures can achieve this.

8. Tax Exposure: Tax laws and regulations significantly influence capital structure decisions. Since debt payments are tax-deductible, companies with high tax rates may benefit from using debt financing. The tax deductibility of debt payments shields some income from taxation, making debt financing a more attractive option.

9. Stability of Sales: A company's sales stability significantly impacts its capital structure. Businesses with growing markets, high sales turnover, and established operations can meet fixed commitments, such as interest on debentures and dividends on preference shares. In contrast, companies with unstable sales may struggle to meet these obligations, making equity capital a safer choice.

10. Company Size: A company's size plays a crucial role in determining its capital structure. Small businesses typically rely on bank loans and retained profits, while larger companies with established goodwill and profitability can explore various financing options, including share issuance, debentures, loans, and borrowings from financial institutions. Generally, the larger the company, the broader is its capitalization.

11.6 Theories of Capital Structure

Several theories have been developed to explain how firms choose the right mix of debt and equity. These theories provide insights into the impact of financing decisions on a company’s value and cost of capital.

1. Net Income (NI) Approach

This theory suggests that increasing the proportion of debt in the capital structure can lower the overall cost of capital and increase the value of the firm. Since debt is cheaper than equity, more debt means lower financing costs and higher profitability.

Key idea: More debt = lower cost of capital = higher firm value.

2. Net Operating Income (NOI) Approach

Contrary to the NI approach, this theory argues that changes in capital structure do not affect the overall cost of capital or the value of the firm. It assumes that as debt increases, the cost of equity also rises to offset the benefit of cheaper debt.

Key idea: Capital structure is irrelevant to firm value.

3. Traditional Approach

This theory is a middle ground between NI and NOI approaches. It suggests that there is an optimal capital structure where the firm's cost of capital is minimized and value is maximized. Beyond this point, too much debt increases financial risk and raises the cost of capital.

Key idea: There is a best possible mix of debt and equity.

4. Modigliani and Miller (M&M) Theorem

According to this theory (without taxes), capital structure has no impact on a firm's value. However, when taxes are considered, using more debt can increase the firm's value because interest is tax-deductible, providing a "tax shield."

Key idea: In a world with taxes, more debt can increase firm value due to tax benefits.

5. Pecking Order Theory

This theory suggests that firms prefer internal financing first (retained earnings), then debt, and issue equity only as a last resort. This preference is based on the costs associated with raising funds and

information asymmetry.

Key idea: Firms follow a financing hierarchy—internal funds > debt > equity.

6. **Trade-Off Theory**

According to this view, firms balance the benefits of debt (like tax savings) against the drawbacks (like financial distress). The ideal capital structure is the point where these benefits and costs are perfectly balanced.

Key idea: Firms aim for a balance between tax advantages and the risk of debt.

11.7 Guidelines for Capital Structuring

The guidelines related to capital structuring of company are discussed below:

Preserving Financial Flexibility: Preserving Financial Flexibility is crucial for companies. While debt offers tax advantages, maximizing debt capacity can limit a company's flexibility. This loss of flexibility can ultimately erode shareholder value. Maintaining reserve borrowing power allows a company to respond to unexpected events, such as changes in government policies, market downturns, or emerging investment opportunities. Financial flexibility serves as a powerful safeguard against financial distress, bankruptcy, and other adverse consequences.

Tax advantage of debt: One of the key benefits of debt financing is the tax advantage it offers. Since interest payments on debt are tax-deductible, they provide a tax shelter that can increase the value of the firm. This is a widely accepted principle among finance scholars and practitioners

Minimizing Agency Costs: The separation of ownership and control in modern corporations can lead to agency problems. As shareholders are dispersed and often unable to organize effectively, they may incur agency costs. To mitigate these costs, companies can employ external monitoring agents, such as commercial banks or term-lending institutions, which specialize in cost-effective oversight. This external monitoring can help reduce agency costs and align management's interests with those of shareholders.

Aligning Financial Policy with Corporate Strategy: Most often the financial policy and corporate strategy are often disconnected, which can be attributed to their different origins: financial policy is

shaped by the capital market, while corporate strategy is driven by the product market. Ideally, financial policy should be subordinate to and aligned with the company's overall corporate strategy.

11.8 Tax Planning and Capital Structure Decision

Capital structure decisions have significant tax implications, as corporate taxation differentiates between various sources of finance. The interest payments on debt can be deducted from taxable profits, providing a tax benefit that is not available with equity financing. This differentiation in tax treatment can influence financing decisions, as companies may prefer debt financing to reduce their tax liability. Furthermore, taxation of capital income at the shareholder level often differentiates between kinds of capital, adding another layer of complexity to capital structure decisions.

Research has shown that both corporate profit tax and personal capital income taxes should be considered when analyzing the tax benefits of capital structure choice. The tax incentives for using debt versus equity financing vary significantly across countries, and studies have found that a high tax benefit of debt has a positive influence on companies' financial leverage. Additionally, debt levels are influenced by dividend taxes and corporate profit taxes, highlighting the importance of considering the broader tax environment when making capital structure decisions. By understanding the tax implications of different financing options, companies can make more informed decisions and optimize their capital structure.

11.9 To Sum Up

Capital structure refers to the combination of financing sources used to fund a company's performance and growth. It consists of long-term debt, preferred stock, and net worth of the company. Companies can raise funds through equity or debt financing, each with its own benefits and drawbacks. Equity financing involves sharing ownership and control with shareholders, while debt financing allows founders to maintain ownership and control but requires repayment of principal and interest. Factors influencing capital structure decisions include cost of financing, period of financing, choice of investors, capital market conditions, degree of control, flexibility of financial plan, trading on equity, tax exposure, stability of sales,

and company size.

Guidelines for capital structuring include preserving financial flexibility, considering the tax advantage of debt, minimizing agency costs, and aligning financial policy with corporate strategy. Tax planning and capital structure decisions are also closely linked, with companies considering the tax implications of different financing options, including corporate profit tax and personal capital income taxes. By understanding the factors influencing capital structure and following guidelines for capital structuring, companies can make informed decisions and optimize their capital structure to achieve their goals.

11.10 Some Key Words

Capital Structure: The combination of financing sources used to fund a company's performance and growth.

Financing Sources: Long-term debt, preferred stock, and net worth of the company.

Equity Financing: Sharing ownership and control with shareholders, who take on risk for potential growth.

Debt Financing: Borrowing funds from lenders, allowing founders to maintain ownership and control, but requiring repayment of principal and interest.

Cost of Financing: The cost of raising capital, including interest rates and dividends.

Period of Financing: The length of time for which funds are required, influencing the choice between short-term and long-term financing.

Choice of Investors: Catering to different investor types by offering a range of securities.

Capital Market Conditions: Market conditions influencing capital structure decisions, such as interest rates and investor sentiment.

Degree of Control: Maintaining control by opting for debt financing instead of equity financing.

Flexibility of Financial Plan: Allowing for adjustments to the capital structure as needed.

Trading on Equity: Leveraging equity share capital to borrow funds at a reasonable cost, increasing profits for equity shareholders.

Tax Exposure: Considering the tax implications of different financing options, including the tax deductibility of debt payments.

Stability of Sales: Considering the stability of sales when determining the capital structure.

Company Size: Considering the size of the company when determining the capital structure.

Preserving Financial Flexibility: Maintaining the ability to respond to unexpected events and changes in the market.

Tax Advantage of Debt: Considering the tax benefits of debt financing, including the tax deductibility of interest payments.

Minimizing Agency Costs: Reducing the costs associated with the separation of ownership and control.

Aligning Financial Policy with Corporate Strategy: Ensuring that financial policy supports the company's overall corporate strategy.

Tax Implications: Considering the tax implications of different financing options, including the tax deductibility of debt payments.

Corporate Profit Tax: Considering the impact of corporate profit tax on capital structure decisions.

Personal Capital Income Taxes: Considering the impact of personal capital income taxes on capital structure decisions.

11.11 Assignment Question

1. Discuss the Guidelines of Capital Structure.

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2. Explain Capital Structure.

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3. Discuss the factors influencing Capital Structure.

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4. Explain various theories of capital structure .

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5. Explain importance of capital structure .

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11.12 Objective Types Question

1. Capital structure refers to the mix of _____ and _____ used by a firm to finance its operations.
   Answer: equity, debt
2. The cost of capital is minimized when the capital structure is _____.
   Answer: optimal
3. The formula for WACC stands for _____ _____ _____ of _____.
   Answer: Weighted Average Cost of Capital
4. In the Modigliani-Miller theory (without taxes), the capital structure is _____ to the value of the firm.
   Answer: irrelevant
5. Excessive use of debt in capital structure increases _____ risk.
   Answer: financial
6. The proportion of equity and debt in capital structure affects a firm's overall _____ of capital.
   Answer: cost

7. The trade-off theory of capital structure suggests a balance between the tax shield benefits of debt and the _____ costs of financial distress.

   Answer: bankruptcy

8. A firm with more debt than equity is said to be _____ leveraged.

   Answer: highly

9. Preference shares are a part of the _____ capital in the capital structure.

   Answer: hybrid

10. Debt financing is generally _____ than equity financing due to tax benefits.

    Answer: cheaper

11. The pecking order theory states that firms prefer to finance using _____, then debt, and finally equity.

    Answer: internal funds

12. A company's capital structure affects its _____ per share (EPS).

    Answer: earnings

13. A change in capital structure can impact the firm's _____ rating.

    Answer: credit

14. Capital structure decisions are a part of _____ management.

    Answer: financial

15. The amount of debt a firm can use without increasing its cost of capital is called its _____ capacity.

    Answer: debt

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2. Corporate Tax Assessment Year 2024-25 by Dr. H.C. Mehrotra and Dr. S.P. Goyal, Sahitya Bhavan Publications
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Unit – 12
Dividend Policy – Meaning, types and its Distribution, Dividend Distribution Tax (DDT), Issue of Bonus Share

Structure

12.0 Learning Outcomes
12.1 Bloom's Level of Learning
12.2 Introduction
12.3 Meaning of Dividend
12.4 Types of Dividends
12.5 Dividend Policy
12.6 Determinant Factors of Dividends
12.7 Tax Implications of Dividend Policy
12.8 Issue of Bonus Shares
12.9 Advantages of Issuing Bonus Shares
12.10 To Sum Up
12.11 Some Key Words
12.12 Assignment question
12.13 objective Types Question
12.14 Bibliography

12.0 Learning Outcomes

A learner will able to understand the following concepts after completion of this unit.

- Meaning of Dividend
- Types of Dividends
- Dividend Policy
- Determinant Factors of Dividends
- Tax Implications of Dividend Policy
- Issue of Bonus Shares
- Advantages of Issuing Bonus Shares

12.1 Bloom's Level of Learning

1. Remembering (Knowledge)

Objective**:** Recall basic facts and definitions related to DDT.
Examples:

- Define Dividend Distribution Tax.
- State the rate at which DDT was levied in India.
- Identify the sections of the Income Tax Act related to DDT.

2. Understanding (Comprehension)

Objective: Explain the concept and purpose of DDT.
Examples:

- Describe how DDT affected company and shareholder taxation.
- Explain why DDT was considered a form of double taxation.
- Summarize the changes in dividend taxation post-DDT abolition.

3. Applying (Application)

Objective: Use knowledge of DDT in practical scenarios.
Examples:

- Calculate DDT liability on a given dividend payout.
- Apply the concept to assess tax implications for a company in the pre-2020 regime.
- Identify the tax impact on shareholders before and after DDT was abolished.

4. Analyzing (Analysis)

Objective: Break down and interpret the structure and impact of DDT.
Examples:

- Compare DDT with the current system of taxing dividends in the hands of shareholders.
- Analyze the tax burden on companies vs. individuals under DDT.
- Identify pros and cons of the DDT system.

5. Evaluating (Evaluation)

Objective: Critically assess policies and outcomes related to DDT.
Examples:

- Evaluate the effectiveness of DDT in improving tax compliance.
- Judge whether abolishing DDT was beneficial for the Indian economy.
- Debate whether DDT was a fair approach to dividend taxation.

6. Creating (Synthesis)

Objective: Develop new ideas or alternatives to DDT.
Examples:

- Propose a new model for taxing dividends that avoids double taxation.
- Design a tax policy that balances corporate and shareholder interests.
- Create a comparative framework for dividend taxation across countries.

12.2 Introduction

A company's dividend policy refers to the guidelines and practices it follows in distributing a portion of its profits to shareholders in the form of dividends. Dividend policy is a critical aspect of corporate finance, as it directly affects the wealth of shareholders and the company's ability to retain earnings for future growth and expansion. A well-designed dividend policy can help a company balance the competing demands of shareholders, who seek regular income and returns on their investment, and the company's need to retain earnings to fund its business operations and strategic initiatives. By understanding the key concepts, principles, and strategies of dividend policy, companies can develop a dividend policy that aligns with their overall business objectives and maximizes shareholder value.

12.3 Meaning of Dividend

A dividend refers to the distribution of a company's net profits among its shareholders, and can be categorized into two types: preference dividends and equity dividends. Preference dividends are fixed payments made annually to preference shareholders as a percentage of their investment, provided the company generates a profit. After paying preference dividends, the remaining net profits are distributed to equity shareholders or retained by the company, as decided by management.

12.4 Types of Dividends

Cash Dividend: A cash dividend is the most widely used type of dividend payment, where the board of directors declares a specific dividend amount in cash to be paid to shareholders. The process involves three key dates: the date of declaration, when the dividend is announced; the date of record, when shareholders are identified as eligible to receive the dividend; and the date of payment, when the dividend is actually distributed to shareholders.

Stock Dividend: In case of stock dividend, a company issues new common stock to its current shareholders without receiving any payment. If the new shares issued are less than 25% of the previously outstanding shares, it's considered a stock dividend. Otherwise, it's treated as a stock split. To record a stock dividend, an amount equal to the fair value of the new shares is transferred from retained earnings to the capital stock and additional paid-in capital accounts, based on the shares' fair market value at the time of declaration.

Liquidating Dividend: A liquidating dividend occurs when a company's board of directors decides to return a portion of the original capital invested by shareholders, often as a precursor to dissolving the business. The accounting process for a liquidating dividend is similar to that of a cash dividend, but with one key difference: the funds are drawn from the additional paid-in capital account rather than retained earnings.

Property Dividend; A property dividend occurs when a company distributes non-monetary assets, such as inventory, equipment, or real estate, to its shareholders instead of paying cash or issuing stock. The distribution is recorded at the fair market value of the assets, which may differ from their book value. Any difference between the two values is recognized as a gain or loss by the company.

Scrip Dividend: A scrip dividend is a type of dividend where a company, facing insufficient funds, issues a promissory note to its shareholders, promising to pay them at a later date. This note may or may not accrue interest. Essentially, a scrip dividend creates a note payable, allowing the company to defer payment while still providing shareholders with a commitment to future payment.

12.5 Dividend Policy

A dividend policy outlines the guidelines and regulations that govern a company's dividend payments to shareholders. Establishing a clear dividend policy benefits both the company and its shareholders. To ensure effectiveness, a company should develop a well-planned policy and test it through various scenarios to assess its potential impact on business operations.

A dividend policy determines the proportion of earnings distributed as dividends to shareholders on a regular basis. This is displayed by its dividend payout ratio, which represents the percent of net earnings paid out to shareholders. By having a defined dividend policy in place, companies can provide transparency and consistency in their dividend payments, ultimately benefiting both the company and its shareholders.

12.6 Determinant Factors of Dividends

Dividend determinants are the factors that influence the amount of dividends a company pays out to its shareholders. A company's profitability is a crucial factor, as insufficient income or cash flow can hinder its ability to pay dividends. Additionally, investment opportunities within the company can also impact dividend payments, as firms may choose to retain earnings to fund growth projects rather than distributing them as dividends.

External factors, such as macroeconomic conditions and market expectations, also significantly influence dividend distributions. In times of economic downturn, companies may retain cash, whereas favorable market conditions can lead to increased dividend payments.

Dividend determinants are crucial factors that companies consider when deciding how much of their earnings to retain and how much to distribute to shareholders. One key internal factor is profitability. Profitable companies tend to generate more cash, making it easier for them to fund dividend payments without resorting to external financing or reducing other offers. Conversely, companies with poor profitability may struggle to maintain dividend payments.

Profitability: Profitability is a key indicator of a company's likelihood of paying dividends. Companies that consistently generate strong profits are more likely to distribute regular dividends, assuming they have sufficient future cash flow. However, profitability alone does not guarantee dividend payments, as other factors such as cash flow and investment needs can also influence a company's dividend decisions.

Cash Flow: The cash flow is an important factor in determining a company's capability to pay dividends. It provides a clear picture of the company's available cash to distribute as dividends. Even profitable companies may struggle to pay dividends without sufficient cash flow. Therefore, a steady and substantial cash flow is essential for companies to maintain regular dividend payments.

Investment Opportunities: Investment opportunities also play a significant role in dividend decisions. Companies may decide to reinvest their earnings in growth projects, than distributing them as dividends, in order to drive long-term growth and expansion. Alternatively, companies may reduce or eliminate dividend payments to free up capital for promising investment opportunities, which can have both short-term and long-term implications for dividend cash flows.

Economic Conditions: The prevailing economic conditions have a remarkable impact on dividend policies, as they affect both market stability and companies' financial performance. During economic slowdowns, companies may reduce or suspend dividend payments to preserve cash, while periods of economic growth may lead to increased and more frequent dividend

payments. As a result, companies must adapt their dividend policies to respond to changing economic conditions and maintain a stable financial position.

Market Expectations: Market expectations also play a vital role in shaping dividend policies. Investors often anticipate regular or increasing dividend payments, and companies may adjust their dividend policies to meet these expectations. By doing so, companies can influence investor satisfaction and stock prices, as meeting or exceeding dividend expectations can drive positive market responses and boost investor confidence.

Dividend Payout Ratio: The dividend payout ratio represents the percent of a company's net earnings distributed to shareholders as dividends. A key aspect of dividend policy, it involves deciding whether to distribute earnings as dividends or retain them for reinvestment in the company. An optimal dividend policy makes a balance between current dividend payments and future growth, ultimately maximizing the company's share price, while considering two primary objectives: maximizing shareholder wealth and ensuring sufficient funds to finance growth.

Internal Constraints And Restrictions: Companies face various constraints and restrictions that influence their dividend payment decisions. Legally, while dividend declarations are not mandatory, laws dictate specific conditions for dividend payments, such as maintaining capital integrity, generating net profits, and avoiding insolvency. Contractually, companies may accept restrictions on dividend payments when securing external funding, such as limiting dividend payments until a certain earnings threshold is met or capping dividend payouts at a specific amount or percentage of earnings. Internally, firms must consider unique constraints, including liquidity, growth prospects, financial requirements, earnings stability, and control over available funds.

12.7 Tax Implications of Dividend Policy

The tax implications of dividend policy play a significant role in a company's decision to distribute dividends. Notably, paying dividends does not directly impact a company's corporate tax liability. However, tax considerations can influence dividend policy. For instance, when dividend taxes are lower than capital gains taxes, companies are more likely to distribute excess cash as dividends. Conversely, when dividend taxes are high, companies may retain earnings rather than paying dividends.

Paying dividends reduces a company's stockholder's equity, as it decreases cash assets. This reduction in equity can potentially negatively impact the stock's share price. Nevertheless, issuing dividends can benefit shareholders by transferring company value directly to them in the form of cash, rather than capital gains.

Additionally, dividend policy can affect both corporate and personal taxes. Companies may opt to issue dividends to reduce tax liability for certain investors, as dividend taxes can be lower than short-term capital gains taxes. Overall, tax implications are a crucial consideration in a company's dividend policy decision-making process.

12.8 Issue of Bonus Shares

A bonus issue, also referred to as a scrip issue or capitalization issue, is a distribution of additional free shares to existing shareholders. Typically, this is done in a predetermined ratio, such as issuing one bonus share for every five shares already held. The primary objectives of issuing bonus shares are to incentivize further investment, reward loyal shareholders, and

increase shareholder value.

Bonus issues increase a company's outstanding share count, but its market capitalization remains unchanged. These issues are typically funded through retained profits or existing share reserves. Notably, the issuance of bonus shares is not subject to taxation; however, shareholders are still liable for capital gains tax if they sell their bonus shares for a profit.
Bonus shares are allocated to shareholders in proportion to their existing holdings. Importantly, bonus issues do not dilute shareholders' equity, as the new shares are issued in a fixed ratio that maintains each shareholder's relative stake in the company.

To illustrate, consider a three-for-one bonus issue, where shareholders receive three new shares for every one share they already hold. For example, a shareholder with 100 shares would receive 300 bonus shares (100 x 3 ÷ 1 = 300), thereby maintaining their proportionate ownership in the company.

12.9 Advantages of Issuing Bonus Shares

Issuing bonus shares offers several benefits to shareholders. These advantages include:

1. Increased Holdings: Bonus shares augment the number of shares you own without requiring additional investment, potentially amplifying your wealth in the long term as the company's stock price and earnings grow.

2. Enhanced Liquidity: The increased trading activity resulting from bonus shares can lead to improved market liquidity, making it easier for you to buy or sell shares.

3. Positive Signal: Companies typically issue bonus shares when they are confident in their financial stability and future prospects, sending a positive signal to investors.

4. Enhances the Marketability: Issuing bonus shares enhances the marketability of a company's shares by reducing the market price per share, making it more affordable and accessible to a wider range of investors, including ordinary retail investors.

5. Internal Financing: Bonus shares enable companies to finance expansion and modernization projects without relying on external funding sources.

6. Retention of Managerial Control: Unlike new share issues, which can dilute managerial control, bonus shares are distributed to existing shareholders, maintaining the current ownership structure and ensuring that managerial control remains intact.

Issue of Bonus and Tax Treatment

The tax implications of issuing bonus shares are a significant consideration for companies during dividend declarations. When a company issues bonus shares by capitalizing profits, neither the company nor its shareholders incur any tax liability. This makes bonus shares an attractive option for companies looking to reward shareholders without incurring additional tax costs.

The tax treatment of bonus shares varies depending on the holding period and sale conditions. If bonus shares are held for over 12 months and sold on a stock exchange, capital gains are exempt from tax (subject to securities transaction tax payment). However, if bonus shares are sold within 12 months, capital gains are taxable at 15% (plus surcharge). Notably, the cost price of the original shares remains unchanged following the bonus issue.

12.10 To Sum Up

A company's dividend policy refers to the guidelines and practices it follows in distributing a portion of its profits to shareholders in the form of dividends. Dividends can be categorized into various types, including cash dividends, stock dividends, liquidating dividends, property dividends, and scrip dividends. Each type of dividend has its own characteristics and implications for shareholders.

The dividend policy of a company is influenced by several factors, including profitability, cash flow, investment opportunities, economic conditions, and market expectations. Companies must balance the competing demands of shareholders, who seek regular income and returns on their investment, and the company's need to retain earnings to fund its business operations and strategic initiatives. A well-designed dividend policy can help a company achieve its business objectives and maximize shareholder value.

The issuance of bonus shares is another way companies can reward shareholders. Bonus shares are additional free shares issued to existing shareholders, and they can enhance liquidity, send a positive signal, and increase the marketability of shares. The tax implications of dividend policy

and bonus shares must also be considered, as they can impact the company's tax liability and shareholder value.

12.11 Some Key Words

Dividend: Distribution of a company's net profits among its shareholders.

Preference Dividend: Fixed payments made annually to preference shareholders.

Equity Dividend: Distribution of remaining net profits to equity shareholders.

Cash Dividend: Payment of dividend in cash to shareholders.

Stock Dividend: Issue of new common stock to existing shareholders.

Liquidating Dividend: Return of original capital invested by shareholders.

Property Dividend: Distribution of non-monetary assets to shareholders.

Scrip Dividend: Issue of promissory notes to shareholders instead of cash.

Dividend Policy: Guidelines and regulations governing a company's dividend payments.

Dividend Payout Ratio: Percentage of net earnings distributed as dividends.

Profitability: Company's ability to generate profits.

Cash Flow: Company's ability to generate cash.

Investment Opportunities: Availability of growth projects.

Economic Conditions: State of the economy.

Market Expectations: Investor expectations.

Tax Implications: Impact of tax laws on dividend policy.

Dividend Tax: Tax on dividend income.

Bonus Shares: Additional free shares issued to existing shareholders.

Bonus Issue: Distribution of bonus shares.

12.12 Assignment Question

1. Discuss different types of Dividends.

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2. Explain the factors determining Dividends.

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3. Discuss the Issue of Bonus Shares and their Advantages.

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12.13 Objective Types of Question

1. Dividend Distribution Tax was payable by the _____ and not the shareholders.

   Answer: company
2. DDT in India was governed under Section _____ of the Income Tax Act, 1961.

   Answer: 115-O
3. The Dividend Distribution Tax was abolished in the Union Budget of the year _____.

   Answer: 2020
4. Before its abolition, the effective DDT rate was approximately _____%.

   Answer: 20.56
5. DDT was applicable on the declaration, distribution, or _____ of dividends.

   Answer: payment
6. Companies paying dividends were required to pay DDT within _____ days of declaration.

   Answer: 14
7. After the abolition of DDT, dividends are now taxed in the hands of the _____.

   Answer: shareholders
8. DDT was considered a form of _____ taxation.

   Answer: double
9. DDT was not applicable to dividends paid by _____ companies.

   Answer: foreign
10. The removal of DDT aimed to make the tax system more _____.

    Answer: progressive
11. DDT was calculated on the _____ amount of dividend declared.

    Answer: gross

12. In the case of mutual funds, DDT was payable under Section _____.

    Answer: 115-R

13. One reason for abolishing DDT was to attract more _____ investment.

    Answer: foreign

14. Post-DDT, dividend income exceeding ₹10 lakh was earlier taxed under Section _____ (before DDT abolition).

    Answer: 115BBDA

15. The Finance Act, _____ officially removed the DDT liability from companies.

    Answer: 2020

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Unit – 13
Companies Established in Free Trade Zones (FTZs)

Structure

13.0 Learning Outcomes
13.1 Bloom's Level of Learning
13.2 Introduction
13.3 Meaning of Free Trade Zone
13.4 Advantages of FTZs
13.5 Types of Free Trade Zones
13.6 Incentives for New Businesses in Free Trade Zones (FTZs) and Special Economic Zones (SEZs)
13.7 Estimated computation of business profits and income for eligible undertakings
13.8 To Sum Up
13.9 Some Key Words
13.10 Assignment Question
13.11 Objective Type Question
13.12 Bibliography

13.0 Learning Outcomes

A student is expected to have clear idea about the following concepts after completing this unit.

- Meaning of Free Trade Zone
- Advantages of FTZs
- Types of Free Trade Zones
- Incentives for New Businesses in Free Trade Zones (FTZs) and Special Economic Zones (SEZs)
- Estimated computation of business profits and income for eligible undertakings

13.1 Bloom's Level of Learning

1. Remembering (Knowledge)

Objective: Recall facts and basic terms related to FTZs.
Examples:

Define a Free Trade Zone (FTZ).

List examples of countries with active FTZs.

Identify benefits offered to companies in FTZs.

2. Understanding (Comprehension)

Objective: Explain the concept and purpose of FTZs.
Examples:

Describe how FTZs help promote trade and investment.

Explain the tax and regulatory incentives given to FTZ companies.

Differentiate between FTZs and Special Economic Zones (SEZs).

3. Applying (Application)

Objective: Use learned concepts in practical or hypothetical scenarios.
Examples:

Apply eligibility criteria to determine whether a company qualifies for FTZ benefits.

Identify how a company can structure its operations to benefit from FTZ incentives.

Prepare a compliance checklist for a business entering an FTZ.

4. Analyzing (Analysis)

Objective: Break down components of FTZ operations and examine their relationships.
Examples:

Analyze the economic impact of FTZs on local vs. national markets.

Compare the legal obligations of companies inside and outside FTZs.

Examine risks involved in setting up a company in an FTZ.

5. Evaluating (Evaluation)

Objective: Critically assess the effectiveness and implications of FTZs.
Examples:

Evaluate the advantages and disadvantages of operating in an FTZ.

Justify the choice of an FTZ over a domestic location for manufacturing.

Assess government policies related to FTZs and their implementation.

6. Creating (Synthesis)

Objective: Formulate new ideas or plans using FTZ concepts.
Examples:

Design a business plan for setting up a unit in an FTZ.

Propose policy improvements to increase FTZ effectiveness.

Develop a comparative model of FTZ success across different countries.

13.2 Introduction

A Free Trade Zone (FTZ) is a designated area within a country where businesses can operate with minimal regulatory and tax burdens, allowing for the free flow of goods, services, and investments. Also known as export processing zones, free zones, or special economic zones, FTZs aim to promote economic growth, attract foreign investment, and increase exports by providing a favorable business environment. By offering incentives such as tax exemptions, streamlined customs procedures, and relaxed labor laws, FTZs enable businesses to reduce costs, increase efficiency, and improve competitiveness in the global market.

13.3 Meaning of Free Trade Zone

Free Trade Zones (FTZs) are designated areas where goods can be imported, manufactured, processed and re-exported without customs interference. FTZs are usually established at major seaports, international airports and border facilities and offer numerous benefits such as reduced goods handling charges, optimized logistics and exemption from customs duties on waste, scrap or defective parts. By establishing Free Trade Zones (FTZs), countries aim to stimulate economic growth, attract foreign investment and create a business-friendly environment that allows smooth international trade.

Objectives

The primary objectives of a Free Trade Zone (FTZ) are:

a) Promote exports
b) Attract foreign direct investment
c) Create jobs
d) Facilitate technological advancements

To achieve these goals, FTZs offer a number of benefits to companies, including:

a) Exemptions or reductions in customs duties on imported materials and machinery
b) Relaxed work regulations
c) Simplified customs procedures
d) Access to specialized infrastructure such as warehousing and logistics services These incentives attract foreign investment, promote domestic industry, and enable companies to compete globally, ultimately stimulating economic growth and development.

13.4 Advantages of FTZs

Free trade zones (FTZs) offer a range of benefits that can stimulate economic growth, attract foreign investment, and promote international trade. There are five main benefits of FTZs:

1. Tax Incentives: FTZs offer favorable tax regimes and often exempt companies from corporate income tax, import and export duties, and value-added tax. This creates a highly attractive environment for domestic and foreign investors.
2. Streamlined Customs and Administration: FTZs streamline customs procedures and administrative requirements, making the process simpler and faster for companies to import and export goods. This reduces costs, time delays, and enhances efficiency and competitiveness.

3. World-Class Infrastructure and Logistics: FTZs are typically equipped with state-of-the-art infrastructure and logistics facilities, supporting the smooth flow of goods and services. This comprehensive infrastructure creates a conducive environment for trade.

4. Access to Global Markets: Free trade zones provide companies with improved access to global markets. By establishing branches in these zones, companies can benefit from preferential trade

agreements, reduced trade barriers, and increased market access to partner countries.

5. Innovation and Technology Transfer: Free trade zones often act as hubs for innovation and technology transfer, attracting research and development activities and facilitating collaboration between academia, industry, and government.

Leveraging these benefits, countries can unlock their trade potential, boost economic growth, attract foreign direct investment, and facilitate international trade. Ultimately, free trade zones can foster prosperity and development, building a better future for future generations.

13.5 Types of Free Trade Zones

Free trade zones are designated areas that offer tax and trade incentives to businesses. These zones are intended to promote international trade, attract foreign investment, and stimulate economic growth. There are different types of free trade zones, each targeted at a specific industry or trade activity.

1. Export Processing Zones (EPZ): EPZs focus on manufacturing and exporting goods. They offer infrastructure, tax incentives, simplified customs procedures, and are often located near ports or airports.

2. Free ports: Free ports are areas where goods can be imported, stored, processed, and re-exported without duties or taxes. Trade barriers and administrative burdens are reduced.

3. Special Economic Zones (SEZ): SEZs provide incentives to attract foreign investment, promote exports, and support economic development. They often span multiple industries and are broader in scope than other FTZs.

4. Free Trade Areas (FTAs): FTAs are areas where countries agree to reduce or eliminate tariffs, quotas, and trade barriers. They foster trade integration and economic cooperation between participating countries. 5. Bonded Warehouses: Bonded warehouses are secure facilities where imported goods can be stored without paying duties and taxes until they are sold or re-exported.
6. Innovation and Technology Parks: These parks focus on fostering research, development, and innovation in specific industries. They provide an environment that fosters collaboration, knowledge sharing, and technological advancements.

By understanding the different types of FTZs, businesses can identify the most suitable zone for their specific trade requirements, unlocking the full potential of international trade.

13.6 Incentives for New Businesses in Free Trade Zones (FTZs) and Special Economic Zones (SEZs)

Newly established industrial undertakings in FTZs and SEZs are eligible for deductions and concessions. The amount of deduction depends on the profits derived from exports.

Free Trade Zones (FTZs)

Under Section 10A, a deduction is allowed for 10 consecutive assessment years from the year of beginning of manufacturing or production. The deduction is based on the profits derived from exports. Special Economic Zones (SEZs)

As per Article 10AA, new units in SEZs are eligible for deduction as follows:

- 100% of profits for the first 5 consecutive years of assessment
- 50% of profits for the next 5 consecutive years of assessment
- 50% of profits for years 11 to 15, provided that the same is credited to the Special Economic Zone Reinvestment Subsidy Reserve Account or Special Reserve Account. The amount must be used for business purposes (except for distribution of dividends) and for purchasing new plant and machinery within 3 years.

Eligible Start-ups:

Tax Benefits Under Section 80-IAC

A company or Limited Partnership (LLP) incorporated between 1 April 2016 and 31 March 2019 is eligible for tax benefits under Section 80-IAC. To be eligible, a startup must:

1. Participate in permitted business activities such as innovating, developing, deploying or commercializing new products, processes or services.
2. Have annual revenues of not more than 25 billion for either 2016-2017 or 2020-21.

Tax Benefits:

- 100% deduction of profits and income for three consecutive tax years over a period of five years, at the taxpayer's option.

To claim the deduction, a startup must:

- File income tax returns on time.
- Maintain properly audited business records.
- Upload the audit report along with the income tax return.

Units engaged in the development of tea, coffee or rubber:

Under Section 33AB, deposits made to NABARD for the development of tea, coffee or rubber is deductible. The deduction is up to the amount of the deposit or 40% of the income of the business, whichever is lower.

Telecommunication services:

Under Section 35ABB, deduction is available on capital expenditure incurred in obtaining a licence to operate telecommunication services. The deduction is granted in equal installments over the period of the licence.

Specified undertakings:

Under Section 35AD, 100% deduction is available on capital expenditure incurred in a specified undertaking before the commencement of the business. A weighted deduction of 150% is also available for certain undertakings which have commenced operations after April 2012. The listed undertakings are:

a) Cold chain or storage facilities
b) Interstate pipeline distribution network
c) Construction and operation of hotels
d) Construction and operation of hospitals
e) Housing project
f) Fertilizer production
g) Beekeeping and honey production
h) Pipeline transportation of iron ore

i) Infrastructure development such as roads, bridges and railways

13.7 Estimated computation of business profits and income for eligible undertakings

Section 44AD of the Income Tax Act permits eligible undertakings to compute profits and income on the basis of estimation. This provision applies to undertakings having a total turnover or total receipts not exceeding Rs 10 crore (Rs 20 crore from FY 2017-18), except undertakings engaged in arranging for transportation, rental or leasing of goods. The taxable persons include resident persons, Hindu Undivided Family (HUF) and partnerships (other than limited liability partnerships).

A taxpayer's estimated profits and income is 8% of his or her total receipts and turnover for the previous year. A taxpayer has the option to claim a higher amount. However, if a taxpayer declares profits less than the estimated profits or income, he will be required to keep accounts, get audited and submit an audit report. Further, if a taxpayer has declared an income equal to 8% of his total turnover but has declared a lower income in any of the assessment years within five consecutive years, he will not be entitled to benefit under Section 44AD.

13.8 To Sum Up

A Free Trade Zone (FTZ) is a designated area where businesses can operate with minimal regulatory and tax burdens, allowing for the free flow of goods, services, and investments. FTZs aim to promote economic growth, attract foreign investment, and increase exports by providing a favorable business environment. The primary objectives of FTZs include promoting exports, attracting foreign investment, creating jobs, and facilitating technological advancements. There are various types of FTZs, including Export Processing Zones (EPZ), Free Ports, Special

Economic Zones (SEZ), Free Trade Areas (FTAs), Bonded Warehouses, and Innovation and Technology Parks. Each type of FTZ offers unique benefits and incentives to businesses.

The incentives for new businesses in FTZs include tax incentives, streamlined customs and administration, world-class infrastructure and logistics, access to global markets, and innovation and technology transfer. FTZs offer exemptions or reductions in corporate income tax, import and export duties, and value-added tax. They also provide simplified customs procedures and

administrative requirements, state-of-the-art infrastructure and logistics facilities, and improved access to global markets through preferential trade agreements. Additionally, FTZs act as hubs for innovation and technology transfer, fostering research, development, and innovation in specific industries. By offering these incentives, FTZs enable businesses to reduce costs, increase efficiency, and improve competitiveness in the global market.

13.9 Some Key Words

Free Trade Zone (FTZ): A designated area where businesses can operate with minimal regulatory and tax burdens.

Export Processing Zones (EPZ): Focus on manufacturing and exporting goods.

Free Ports: Areas where goods can be imported, stored, processed, and re-exported without duties or taxes.

Special Economic Zones (SEZ): Provide incentives to attract foreign investment and promote exports.

Free Trade Areas (FTAs): Areas where countries agree to reduce or eliminate tariffs, quotas, and trade barriers.

Bonded Warehouses: Secure facilities where imported goods can be stored without paying duties and taxes.

Innovation and Technology Parks: Foster research, development, and innovation in specific industries.

Tax Incentives: Exemptions or reductions in corporate income tax, import and export duties, and value-added tax.

Streamlined Customs and Administration: Simplified customs procedures and administrative requirements.

World-Class Infrastructure and Logistics: State-of-the-art infrastructure and logistics facilities.

Access to Global Markets: Improved access to global markets through preferential trade agreements.

Innovation and Technology Transfer: Hubs for innovation and technology transfer.

13.10 Assignment Question

1. Discuss different types of Free Trade Zone.

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2. Explain the incentives for New Business fin Free Trade Zones.

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3. What is a Free Trade Zone? Explain the advantages of Free Trade Zone.

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4. Explain incentives for New Businesses in Free Trade Zones (FTZs) and Special Economic Zones (SEZs

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13.11 Objective Type Question

1. A Free Trade Zone (FTZ) is a designated area where goods can be imported, handled, and re-exported without direct intervention of _____ authorities.
   Answer: customs
2. FTZs are also commonly referred to as _____ Economic Zones (SEZs) in some countries.
   Answer: Special
3. One major benefit for companies in FTZs is exemption from import and _____ duties.
   Answer: export
4. Companies operating in FTZs often receive tax _____ for a specific number of years.
   Answer: exemptions
5. FTZs are created to promote international _____ and investment.
   Answer: trade

6. Companies in FTZs can import raw materials without paying _____ duties.

   Answer: customs

7. Most FTZs offer streamlined customs procedures and reduced administrative _____.

   Answer: burdens

8. FTZs are usually located near ports, airports, or _____ hubs.

   Answer: logistic

9. One of the key advantages of FTZs is ease of _____ setup and operations.

   Answer: business

10. Companies in FTZs are often required to meet specific _____ requirements related to export or employment.

    Answer: compliance

11. FTZs help in increasing _____ generation by promoting industrial activities.

    Answer: employment

12. In some countries, FTZ companies are allowed 100% _____ investment.

    Answer: foreign

13. Goods produced in FTZs are often meant for _____ markets rather than domestic consumption.

    Answer: export

14. Governments establish FTZs to attract _____ and technology from abroad.

    Answer: capital

15. A common risk for companies in FTZs is potential changes in _____ policies.

    Answer: government

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Unit – 14

Enterprises set up in Special Economic Zones (SEZs), newly set up in 100% Export Oriented Units (EOUs)

Structure

14.0 Learning Outcomes
14.1 Bloom's Level of Learning
14.2 Introduction
14.3 Meaning and Objectives
14.4 Governance Structure of Special Economic Zones (SEZs)
14.5 Facilities and Incentives in Special Economic Zones
14.6 100% Export Oriented Units (EOUs) Newly Established Enterprises
14.7 Difference between EOU and SEZ
14.8 Advantages of Export Oriented Units (EOUs)
14.9 To Sum up
14.10 Some Key Words
14.11 Assignment Question
14.12 Objective Types Question
14.13 Bibliography

14.0 Learning Outcomes

After completion of this unit a student can able to have clear idea about the following concepts.

- Governance Structure of Special Economic Zones (SEZs)
- Facilities and Incentives in Special Economic Zones
- 100% Export Oriented Units (EOUs) Newly Established Enterprises
- Difference between EOU and SEZ
- Advantages of Export Oriented Units (EOUs)

14.1 Bloom's Level of Learning

1. **Remembering (Knowledge)**

Objective: Recall basic facts and definitions.
Examples:

Define SEZs and EOUs.

List the benefits available to enterprises in SEZs and EOUs.

Identify the governing acts or rules applicable to SEZs/EOUs.

2. Understanding (Comprehension)

Objective: Explain the concepts and differences between SEZs and EOUs.
Examples:

Explain how SEZs differ from EOUs in structure and purpose.

Describe the objectives of setting up SEZs and EOUs.

Discuss the role of SEZs and EOUs in promoting exports.

3. **Applying (Application)**

Objective: Use concepts in real-world or hypothetical scenarios.
Examples:

Apply tax provisions to calculate exemptions for an SEZ/EOU unit.

Identify steps required to register a company in an SEZ.

Use relevant rules to determine eligibility for EOU status.

4. Analyzing (Analysis)

Objective: Break down and compare features of SEZs and EOUs.
Examples:

Compare the incentives provided to SEZs and EOUs.

Analyze the challenges faced by businesses operating in SEZs vs. EOUs.

Examine the administrative structure of SEZs and EOUs.

5. Evaluating (Evaluation)

Objective: Make judgments based on criteria and standards.
Examples:

Evaluate the effectiveness of SEZs in boosting export-led growth.

Justify the continuation or revision of policies supporting EOUs.

Assess whether a business should set up in an SEZ or as an EOU based on its goals.

6. Creating (Synthesis)

Objective**:** Develop new ideas or plans using the knowledge.
Examples:

Design a strategic plan for a startup to register as an EOU.

Propose policy changes to improve the functioning of SEZs.

Develop a comparative investment proposal between setting up in SEZ vs. EOU.

14.2 Introduction

A Special Economic Zone (SEZ) is a specifically designated geographic area within a country that operates under unique economic regulations, offering a business-friendly environment to attract foreign investment, promote exports, and stimulate economic growth. SEZs are designed to provide a favorable climate for businesses to operate, innovate, and thrive, by offering incentives such as tax breaks, streamlined regulations, and state-of-the-art infrastructure. By creating a conducive environment for investment and trade, SEZs aim to drive economic development, create employment opportunities, and increase a country's competitiveness in the global market.

14.3 Meaning and Objectives

Special Economic Zones (SEZs) are designated enclaves within the country that act as their own trade laws and duty-free zones. The Special Economic Zones Act, 2005 aims to promote exports and economic growth through the establishment, development and management of Special Economic Zones (SEZs). The Act provides a framework for the creation of Special Economic Zones designed to be hubs for economic activity, exports and investments.

The objectives of the SEZ Act are manifold. The main objectives include stimulating economic activity, increasing exports of goods and services, creating jobs, attracting domestic and foreign investments, developing infrastructure facilities, etc. By achieving these goals, Special Economic Zones can contribute significantly to the economic growth and development of the country.

The SEZ Rules provide the framework for the implementation of the SEZ Act. The Rules outline simplified procedures for the development, operation and maintenance of Special Economic Zones and a single approval authority for setting up units in Special Economic Zones and Special Economic Zones. In addition, the Rules provide for streamlined compliance procedures and self-certified documentation, making it easier for companies to operate in Special Economic Zones.

Approval Mechanism

The SEZ approval mechanism involve a unified process carried out by a 19-member inter-ministerial Committee on SEZ Approval (BoA). To initiate this process, developers submit proposals to state governments, which forward it to the BoA with recommendations within 45 days. Alternatively, developers can submit proposals directly to the BoA. The BoA is chaired by the Secretary, Ministry of Commerce and Industry and comprises representatives of various ministries and bodies such as the Central Board of Customs and Excise, the Central Board of Revenue and the Ministry of Economic Affairs. The Board takes decisions based on consensus and considers the merits of each proposal.With the approval of the BoA and notification of the Central Government, units can be set up in Special Economic Zones.

14.4 Governance Structure of Special Economic Zones (SEZs)

The functioning of SEZs is governed by a three-tiered governance structure:

1. Board of Approval (BoA): This apex body, headed by the Secretary, Ministry of Commerce, oversees the approval of SEZ proposals.

2. Approval Committee: At the zone level, this committee deals with approval of units in the Special Economic Zone and related issues. The committee is headed by the Development Chairman, who is also the formal Chairman.

3. Zone Administration: Each Special Economic Zone is headed by a Development Commissioner who is responsible for issuing post-approval approvals, monitoring the performance of units and enforcing compliance with the approval conditions. The Zone Level Approval Committee approves proposals to set up units in Special Economic Zones and the Development Secretary issues post approval. Units that fail to comply with the approval

conditions are subject to criminal penalties under the Foreign Trade (Development and Regulation) Act.

14.5 Facilities and Incentives in Special Economic Zones

The government offers a number of incentives to companies and enterprises operating in Special Economic Zones (SEZs). The main benefits are:

i. Duty-free import or inward procurement of goods for the development, operation and maintenance of the Special Economic Zone.
ii. 100% exemption from income tax on export earnings for the first five years. - 50% exemption for next 5 years.
iii. 50% exemption on repurposed export profits for next 5 years.
iv. Exemption from Minimum Alternate Tax (MAT).
v. Zero rate of tax on supplies under the IGST Act, 2017 (previously exempt from Central Sales Tax, Service Tax and State Sales Tax).
vi. Central clearance point for approvals at central as well as state levels. - No license required for imports.
vii. 100% Foreign Direct Investment (FDI) allowed in the manufacturing sector (except for some sectors).
viii. Free repatriation of profits without obligation to pay dividends.
ix. Simplified documentation for customs and import/export policies.
x. Many Special Economic Zones provide developed land and ready-to-use infrastructure.

As of March 31, 2024, there are 280 operational Special Economic Zones (SEZs) in India, with 423 formally approved SEZs and 375 notified SEZs as of April 30, 2024. These SEZs have generated significant employment opportunities, with 3,070,653 people employed in these SEZs.

14.6 100% Export Oriented Units (EOUs) Newly Established Enterprises

Introduced in 1981, the Export Oriented Units (EOU) program aims to boost exports and increase net foreign exchange earnings. To qualify as an EOU, an enterprise must commit to

export all of the goods and services it produces. Eligible entities include entities engaged in manufacturing, services, software development, repair, and overhaul and re-engineering, excluding commercial entities, as well as entities engaged in agriculture, animal husbandry, biotechnology and other similar activities.

An Export Oriented Unit (EOU) is defined in the Foreign Trade Policy (FTP) as a unit that undertakes to export its entire production of goods and services including manufacturing, repairs, services, software development, agriculture and allied activities, but excludes trading units that are permitted to carry out permitted sales within the domestic customs territory (DTA).

14.7 Difference between EOU and SEZ

While both export-oriented enterprises (EOUs) and special economic zones (SEZs) were established to promote exports, there is an important difference between the two. Unlike EOUs, which can be established anywhere in the country, SEZs are specially demarcated enclaves that are considered outside the customs jurisdiction. This distinction impacts tax treatment and supply chain dynamics. Notably, SEZs are taxed at 0% and exempt from GST, whereas EOUs operate on the principle of refund of GST paid. Further, EOUs are required to invest a minimum of Rs 100 crore in plant, machinery and buildings before commencing commercial production, but this requirement does not apply to SEZs.

14.8 Advantages of Export Oriented Units (EOUs)

Export Oriented Units (EOUs) enjoy several advantages, including:

a) Duty-free procurement of raw materials and capital goods from imports or domestic sources.
b) Goods and Services Tax (GST) refund.
c) Rebate of duty on fuel purchased from domestic oil companies.
d) Right to input tax credit on goods and services with refund option.
e) Speedy customs clearance. f) Exemption from trade license requirement for production of items reserved for the Small Scale Industries Unit (SSI).

14.9 To Sum up

A Special Economic Zone (SEZ) is a designated geographic area with unique economic

regulations to attract foreign investment and promote exports. The governance structure of SEZs includes a three-tiered system, consisting of the Board of Approval (BoA), the Approval Committee, and the Zone Administration. SEZs offer various incentives, including duty-free import, 100% exemption from income tax on export earnings, and exemption from Minimum Alternate Tax (MAT). Additionally, SEZs provide streamlined documentation and customs clearance, as well as developed land and ready-to-use infrastructure. As of March 31, 2024, there are 280 operational SEZs in India, generating significant employment opportunities. Export Oriented Units (EOUs) are units that commit to export their entire production of goods and services. EOUs enjoy various advantages, including duty-free procurement of raw materials and capital goods, Goods and Services Tax (GST) refund, and rebate of duty on fuel purchased from domestic oil companies. Unlike SEZs, EOUs can be established anywhere in the country and are not required to invest a minimum amount in plant, machinery, and buildings. However, EOUs are required to export their entire production, whereas SEZs are allowed to sell a portion of their production in the domestic market. Overall, both SEZs and EOUs play a crucial role in promoting exports and economic growth in India.

14.10 Some Key Words

Special Economic Zone (SEZ): A designated geographic area with unique economic regulations to attract foreign investment and promote exports.

Export Oriented Units (EOUs): Units that commit to export their entire production of goods and services.

Governance Structure: The framework of rules, practices, and processes by which SEZs are directed and controlled.

Board of Approval (BoA): The apex body responsible for approving SEZ proposals.

Approval Committee: A committee at the zone level that deals with approval of units in the SEZ.

Zone Administration: The administration responsible for issuing post-approval approvals and monitoring the performance of units in the SEZ.

Duty-Free Import: Import of goods without paying customs duty.

Foreign Direct Investment (FDI): Investment made by a foreign entity in a business or venture in another country.

Minimum Alternate Tax (MAT): A minimum tax payable by companies, even if they have no

taxable income.

Goods and Services Tax (GST): A tax levied on the supply of goods and services.

14.11 Assignment question

1.Explain governance structure of Special Economic Zone.

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2.Discuss the incentives and facilities for Special Economic Zone.

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3.Explain the advantages of Export Oriented Units.

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14.12 Objective type of Question

1. A Special Economic Zone (SEZ) is a specifically designated area with different _____ and economic laws from the rest of the country.

   Answer: legal
2. The main objective of SEZs and EOUs is to promote _____.

   Answer: exports
3. Enterprises in SEZs enjoy exemptions from _____ duties on imported goods.

   Answer: customs
4. 100% Export Oriented Units (EOUs) must export their entire production except for limited _____ sales.

   Answer: domestic
5. SEZs are governed by the SEZ Act, _____.

   Answer: 2005

6. EOUs operate under the _____ Development Commissioner and are governed by the Foreign Trade Policy.

   Answer: zonal

7. Units in SEZs can claim exemption from _____ under Section 10AA of the Income Tax Act.

   Answer: income tax

8. EOUs are allowed to import capital goods and raw materials without paying _____ duty.

   Answer: excise

9. Units in SEZs must be approved by the _____ Approval Committee.

   Answer: Unit

10. EOUs must maintain positive _____, meaning their export earnings must exceed the import costs.

    Answer: Net Foreign Exchange (NFE)

11. Developers of SEZs receive _____ benefits like exemption from central sales tax and service tax.

    Answer: fiscal

12. SEZs are treated as foreign territory for the purpose of _____ and trade operations.

    Answer: customs

13. EOUs can be set up in sectors like textiles, electronics, and _____.

    Answer: pharmaceuticals

14. Domestic Tariff Area (DTA) sales by EOUs are allowed only with prior _____ and limited quantity.

    Answer: permission

15. The minimum built-up area requirement for setting up an SEZ varies based on the _____ of the city.

    Answer: category

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Unit – 15
Mergers and Amalgamations, Tax Implications for Foreign Partnerships

Structure

15.0 Learning Outcomes
15.1 Bloom's Level of Learning
15.2 Introduction
15.3 Types of Amalgamations
15.4 Mergers
15.5 Reasons for mergers and consolidations
15.6 Business Growth Benefits
15.7 Laws Applicable to Mergers and Amalgamations in India
15.8 Merger and Amalgamation Procedure
15.9 To Sum up
15.10 Some Key Words
15.11 Assignment Question
15.12 Objective Type of Question
15.13 Bibliography

15.0 Learning Outcomes

After completion of this unit a student is expected to have a clear idea of the following concepts:

- Types of Amalgamations
- Mergers
- Reasons for mergers and consolidations
- Business Growth Benefits
- Laws Applicable to Mergers and Amalgamations in India
- Merger and Amalgamation Procedure

15.1 Bloom's Level of Learning

1. Remembering

- Mergers & Amalgamations: Recall definitions, types (e.g., horizontal, vertical, conglomerate), and key legal provisions (e.g., Companies Act, 2013).
- Foreign Partnerships Tax**:** Memorize key terms such as DTAA, PE (Permanent Establishment), and Section 9/90/91 of the Income Tax Act.

2. Understanding

- Mergers & Amalgamations**:** Explain the rationale behind mergers, distinguish between merger and amalgamation, and interpret basic implications on shareholders.
- Foreign Partnerships Tax**:** Explain the concept of source-based vs residence-based taxation, and the purpose of tax treaties.

3. Applying

- Mergers & Amalgamations**:** Apply Companies Act and Income Tax provisions to a given case of amalgamation.
- Foreign Partnerships Tax**:** Compute tax liability of a foreign partner with income sourced in India, applying relevant sections and DTAA provisions.

4. Analyzing

- Mergers & Amalgamations**:** Examine the financial, legal, and tax impacts of a merger on various stakeholders.
- Foreign Partnerships Tax**:** Analyze treaty clauses to determine residency status, or taxability of certain cross-border income.

5. Evaluating

- Mergers & Amalgamations**:** Critically evaluate whether a proposed merger is beneficial from a tax or strategic standpoint.
- Foreign Partnerships Tax**:** Assess risks of double taxation or tax evasion in a foreign partnership structure and suggest planning strategies.

6. Creating

- Mergers & Amalgamations**:** Design a tax-efficient merger scheme or draft a restructuring proposal compliant with corporate and tax laws.
- Foreign Partnerships Tax**:** Devise a cross-border investment model minimizing tax exposure while remaining compliant with international tax norms.

15.2 Introduction

A merger is the process by which two or more companies combine to form an entirely new company. Unlike an acquisition, where one company survives, in a merger all the companies involved are dissolved and a new company is formed with combined assets and liabilities. The term "amalgamation" is less common in the US and is often replaced by "merger" or "consolidation", but is still widely used in countries such as India.

An amalgamation often involves the combination of two or more companies in the same industry or conducting similar business. Typically, a larger "acquiring" company acquires one or smaller "transferring" companies and forms a new company. The process begins with the boards of directors of the companies involved finalizing the terms of the amalgamation. A plan is then prepared and submitted to the Indian High Court and regulatory authorities such as the Securities and Exchange Board of India (SEBI) for approval. Indian tax law defines a merger as the amalgamation of one or more companies with another company, or the merging of two or more companies to form a new company.

15.3 Types of Amalgamations

There are two main types of amalgamations:

1. **Amalgamation through Absorption**: This occurs when one company absorbs another and the latter ceases to exist as a separate legal entity. The acquiring company takes over all the assets and liabilities of the acquired company.

2. **Amalgamation through Consolidation**: Two or more companies merge to form a new company. The combined company becomes a new legal entity and the combined companies no longer exist as separate legal entities.

An amalgamation can be a strategic business decision that has several advantages and disadvantages. Here are the main advantages and disadvantages to consider:

Advantages:

a) Increased market share: A merger can increase market share and customer base.
b) Cost savings: A merger can reduce costs in the areas of research, production and marketing.
c) Competitive advantage: The new company can gain a competitive advantage through the combination of resources, expertise and technology.
d) Improved access to capital: A merger provides increased financial resources to support growth and expansion.
e) Product diversification: A merger improves product diversification and reduces dependency on a single market.

Disadvantages

a) Cultural differences: The merging companies may have different corporate cultures, which leads to conflicts and challenges.
b) Integration issues: It may be difficult to align processes, systems and procedures.
c) Regulatory hurdles: During a merger, regulatory challenges may arise, such as: B. Obtaining permits and complying with legal requirements.
d) Job losses: Employees may lose their jobs due to the integration.
e) Reduced flexibility: A merger may reduce flexibility and agility due to increased complexity.

15.4 Mergers

A merger is a corporate strategy that involves combining two or more companies into one company. This approach is often adopted to achieve specific business goals, such as:

a) Economies of scale: By integrating operations, companies can reduce costs, increase efficiency, and improve profitability.
b) Access to new markets: A merger can give a company access to new markets, customers, and geographic regions.

c) Reduced competition: By merging with a competitor, a company can reduce competition and increase market share.

Types of mergers

The type of merger pursued depends on a company's strategic objectives, industry trends, and regulatory environment. The main types of mergers are:

a) Horizontal merger: A merger between two companies in the same industry or market.

b) Vertical merger: A merger between two companies at different stages of the supply chain.

c) Conglomerate merger: A merger between two companies in unrelated industries.

d) Market expansion merger: A merger between two companies operating in different markets.

e) Product expansion merger: A merger between two companies offering different products or services.

Merger Process

The merger process typically involves the following steps:

a) Strategic planning: Companies identify potential merger targets and evaluate the strategic benefits of a merger.
b) Due diligence: Companies thoroughly investigate each other's financial, operational, and legal situations.

c) Negotiation: Companies negotiate the terms of the merger, including the acquisition price, integration plan, and management structure.
d) Regulatory approval: Companies obtain regulatory approval for the merger, including antitrust and shareholder approval.
e) Integration: Companies integrate operations, including people, systems, and processes.

Benefits of Merger

Mergers have several benefits, including:

a) Increased Market Share and Competitive Edge: Mergers allow companies to expand their

market presence and improve their competitive edge.

b) Synergies and Cost Savings: Mergers bring about economies of scale, resulting in cost savings and increased operational efficiency.
c) Diversification: Mergers provide companies with an opportunity to diversify their products and services, thereby reducing dependency on a single market.
d) Access to New Markets and Customers: Mergers facilitate entry into new markets, providing access to new customers and revenue streams.
e) Increased Bargaining Power: Due to increased scale and scope, the merged companies can negotiate better terms with suppliers and customers.
f) Increased Profitability and Revenue Growth: Mergers lead to improved financial performance, thereby increasing profitability and revenue growth.
g) Talent and knowledge exchange: Mergers provide companies with an opportunity to exchange knowledge, expertise and talent, thereby driving innovation and growth.

Disadvantages of Mergers

Although mergers have several advantages, they also come with challenges, such as:

a) Culture clashes and integration problems: Mergers of companies with different cultures may lead to integration problems and clashes.
b) Job loss and employee anxiety: Mergers may lead to job loss and cause anxiety and fear among employees.

c) Reduced concentration and distraction: Mergers may distract from the core business of the companies and lead to reduced concentration.
d) Increased debt and financial risk: Mergers may increase debt and financial risk, especially if the post-merger companies are difficult to integrate.
e) Difficulty in achieving cost savings and synergies: The merged companies may find it difficult to achieve the expected cost savings and synergies.
f) Regulatory and legal hurdles: Mergers require compliance with regulatory and legal requirements, which can be time-consuming and costly.
g) Reduced innovation and creativity: Mergers can lead to bureaucracy and consolidation, which can reduce innovation and creativity.

15.5 Reasons for mergers and consolidations

Companies pursue merger and consolidation strategies to drive growth, increase competitiveness, and improve profitability. Important reasons for these strategies include:

a) Diversification: Through mergers and consolidations, companies can reduce risk and increase sales by diversifying their business, entering new markets, and reaching new customers.

b) Synergies: Merging companies create synergies, which can result in cost reductions, increased efficiency, and innovation through the integration of operations, elimination of redundant functions, and sharing of resources.

c) Increased Market Share: Mergers and consolidations increase market share, giving the new company a better negotiating position with customers and suppliers.

d) Access to New Technology: Merging companies give companies access to new technology and knowledge, which allows them to improve existing products or develop new products.

e) Improved Market Position: Merging companies create stronger, more dominant companies, which increases market share.

f) New Talent and Human Resources: Mergers and acquisitions give access to a new pool of skilled labor, thus strengthening the existing workforce and improving human resource management.

g) Improved Competitiveness: Mergers and consolidations strategies enable companies to remain competitive in a rapidly changing business environment, increasing growth and profitability. Benefits of Mergers and Amalgamations

15.6 Business Growth Benefits

Mergers and amalgamations have many benefits that can increase business growth and profitability. The main benefits are:

1. Economies of scale: Mergers and amalgamations result in economies of scale through the consolidation of operations and elimination of redundancies, resulting in reduced costs and

increased profitability.

2. Improved market position: Mergers and amalgamations improve the new company's market position, resulting in increased sales, improved profitability, and better negotiating power with customers and suppliers. 3. Access to new markets: Mergers between companies can improve access to new markets, products, and customers, increasing revenues and reducing risk.

3. **Improved innovation**: Mergers and mergers can enable greater innovation through the combination of resources and expertise, resulting in new products and services and improving existing products and services.

4. Faster implementation of new strategies: Mergers and amalgamations shorten the timeline for the implementation of new strategies, allowing companies to expand into new markets, acquire new technologies, and improve their competitive position.

5. Tax Benefits: Mergers and amalgamations can provide tax benefits, especially when acquiring companies in strategic industries or countries with favorable tax laws.

15.7 Laws Applicable to Mergers and Amalgamations in India

In India, mergers and amalgamations are regulated by several laws and regulations. These laws ensure that such transactions are carried out fairly and transparently.

1. Companies Act, 2013: This is the primary law regulating mergers and amalgamations in India. It lays down the legal framework for such transactions and provides procedural guidelines to be followed.

2. Competition Act, 2002: This Act ensures that mergers and amalgamations do not give rise to anti-competitive practices that may cause harm to consumers and other businesses. Companies are required to notify the Competition Commission of India (CCI) if a merger or consolidation reaches certain thresholds.

3. Indian Income Tax Act, 1961: This Act regulates the tax implications of mergers and amalgamations. It defines "merger" and "demerger" and provides for carry forward of losses, settlement of accumulated losses and unallocated depreciation.

4. Foreign Exchange Management Act, 1999 (FEMA): This Act monitors foreign exchange transactions and investments by foreigners in India. FEMA plays a key role in determining the foreign exchange impact of mergers and amalgamations.

5. Securities and Exchange Board of India (SEBI) Rules and Regulations: SEBI rules play a key role in regulating mergers and acquisitions in India, especially in protecting the interests of minority shareholders. Companies must obtain SEBI approval before issuing securities as part of a merger or amalgamation.

15.8 Merger and Amalgamation Procedure

The merger and amalgamation procedure in India involves a step-by-step process governed by the Companies Act, 2013. The process begins with the filing of an application with the National Company Law Tribunal (NCLT) setting out details of the proposed amalgamation or merger, including the reasons for the transaction, the proposed exchange ratio and its likely impact on employees, creditors and shareholders. After considering the application, the NCLT will convene a meeting of the company's shareholders and creditors to approve the transaction. Notice of the creditors' meeting must be sent to all creditors at least 21 days before the meeting. Once the shareholders and creditors approve the amalgamation or merger, the NCLT will issue an order approving the transaction and specify the terms and conditions, including the exchange ratio and all other conditions to be satisfied before completion.

15.9 To Sum up

A merger is the process by which two or more companies combine to form an entirely new company. Unlike an acquisition, where one company survives, in a merger all the companies involved are dissolved and a new company is formed with combined assets and liabilities. Amalgamation, on the other hand, refers to the combination of two or more companies into one company, with the merged companies losing their identity.

There are different types of mergers, including horizontal merger, vertical merger, conglomerate

merger, and market expansion merger. The merger process typically involves strategic planning,

due diligence, negotiation, regulatory approval, and integration. Mergers can provide several benefits, including increased market share, cost savings, improved innovation, and access to new markets and customers.

The laws applicable to mergers and amalgamations in India include the Companies Act, 2013, Competition Act, 2002, Indian Income Tax Act, 1961, Foreign Exchange Management Act, 1999, and Securities and Exchange Board of India (SEBI) Rules and Regulations. The merger and amalgamation procedure in India involves a step-by-step process governed by the Companies Act, 2013, and requires approval from the National Company Law Tribunal (NCLT).

15.10 Some Key Words

Amalgamation: The process of combining two or more companies into one company, with the merged companies losing their identity.
Acquisition: The process of one company acquiring a majority stake in another company.
Consolidation: The process of combining the financial statements of two or more companies into one statement.
Horizontal Merger: A merger between two companies in the same industry.
Vertical Merger: A merger between two companies at different stages of the supply chain.
Conglomerate Merger: A merger between two companies in unrelated industries.
Synergy: The benefit that results from the combination of two or more companies.
Due Diligence: The process of investigating and evaluating the financial, operational, and legal aspects of a company before a merger or acquisition.
Integration: The process of combining the operations, systems, and cultures of two or more companies after a merger or acquisition.

15.11 Assignment Question

1. Explain the advantages and disadvantages of Amalgamations.

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2. Explain the advantages and disadvantages of Mergers.

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3. Discuss the reasons for Mergers and Consolidations.

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4. Discuss types of amalgamation.

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5. Discuss Mergers and Amalgamation procedure.

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15.12 Objective Types of Question

1. A merger in which companies from the same industry combine to reduce competition is called a **_____ merger**.

   Answer: Horizontal

2. The legal provision dealing with amalgamation of companies under the Companies Act, 2013 is **Section _____**.

   Answer: 232

3. In a merger, the transferor company is also known as the **_____ company**.

   Answer: Amalgamating

4. The exemption from capital gains tax on amalgamation is provided under **Section _____ of the Income Tax Act, 1961**.

   Answer: 47

5. When all assets and liabilities of one company are transferred to another, it is called a **_____**.

   Answer: Amalgamation

6. In a merger, shareholders of the transferor company are issued **_____** in the transferee company.

   Answer: Shares

7. A merger aimed at expanding into unrelated business activities is known as a **_____ merger**.

   Answer: Conglomerate

8. Amalgamation is not considered a transfer for capital gains purposes if it is between **_____ companies**.

   Answer: Indian

9. A foreign partnership may be taxed in India if it has a **_____ establishment** in India.

   Answer: Permanent

10. Double Taxation Avoidance Agreements are abbreviated as **_____**.

    Answer: DTAA

11. Income deemed to accrue or arise in India is covered under **Section _____ of the Income Tax Act, 1961**.

    Answer: 9

12. Foreign partnerships claiming DTAA benefits must furnish **Form _____** to the Indian tax authorities.

    Answer: 10F

13. The concept of **_____ of residence** determines the taxability under DTAAs.

    Answer: Tie-breaker rule

14. Tax is withheld on payments made to foreign partners under **Section _____ of the Income Tax Act**.

    Answer: 195

15. A partnership formed outside India but conducting business within India may be taxed as a **_____** in India.

    Answer: Foreign entity / Foreign company.

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Unit – 16
Corporate Tax Structure for Domestic Startups

Structure

16.0 Learning Outcomes
16.1 Bloom's Level of Learning
16.2 Introduction
16.3 Tax Incentives for Startups
16.4 Angel Tax Exemption for Startups
16.5 Deduction under Section 80-IAC for Eligible Startups
16.6 Meaning of Sale of Scientific Research Asset
16.7 Tax Treatment of Sale of Scientific Research Asset
16.8 Recalculation of Profits
16.9 Limitation on double deduction
16.10 Other significant changes:
16.11 To Sum Up
16.12 Some Key Words
16.13 Assignment Question
16.14 Objective Types Question
16.15 Bibliography

16.0 Learning Outcomes

A student after completion of this unit is expected to have a clear idea of the following concepts:

- Tax Incentives for Startups
- Angel Tax Exemption for Startups
- Deduction under Section 80-IAC for Eligible Startups
- Recalculation of Profits
- Limitation on double deduction

16.1 Bloom's Level of Learning

1. Remembering

- Recall the **corporate tax rates** applicable to startups.
- List sections like **Section 80-IAC**, **115BAA**, and **Section 10(38)** (for past capital gains).
- Identify the **conditions** for claiming startup tax exemption under DPIIT recognition.

2. Understanding

- Explain the **difference** between normal corporate taxation and startup-specific tax regimes.
- Describe the **tax benefits** under Section 80-IAC.
- Interpret how **Minimum Alternate Tax (MAT)** impacts startups opting for the old regime.

3. Applying

- Compute the total tax liability for a startup using **Section 115BAA** or after claiming deductions under **Section 80-IAC**.
- Apply the **DPIIT eligibility criteria** to a given business to determine tax benefit eligibility.

4. Analyzing

- Compare the **old tax regime** vs the **new concessional tax regime** (115BAA vs 115BAB) for a domestic startup.
- Analyze the **impact of ESOP taxation** on employee retention and startup cash flow.

5. Evaluating

- Assess whether a startup should opt for **Section 115BAA** or stay in the **old regime** considering carried-forward losses and MAT credit.
- Evaluate the **long-term tax efficiency** of incorporating as an LLP vs a private limited company

6. Creating

- Design a **tax-efficient startup structure** considering equity funding, ESOPs, and potential exit strategy.
- Create a **financial model** for a startup including projected tax benefits and compliance costs.

16.2 Introduction

The Department for Promotion of Industry and Internal Trade (DPIIT) is a central government agency under the Ministry of Commerce and Industry that is responsible for promoting domestic trade including retail and facilitation of business in India. DPIIT also deals with policies to encourage and promote startups and is involved in formulating and implementing industrial policy, facilitating foreign direct investment, and streamlining regulatory processes to reduce compliance burden.

According to the Department for Promotion of Industry and Internal Trade (DPIIT), a startup is an entity that meets the following criteria:

1. Establishment: It must be incorporated in India as a private limited company, partnership, or limited liability partnership (LLP).
2. Turnover: It must have an annual turnover of not more than Rs 100 crore in any financial year since incorporation.
3. Innovation: It works towards innovation, development or improvement of a product, process, service or business model that has high potential to create jobs and wealth. d) Originality: A company cannot be formed by dividing or restructuring an existing company.

A company is considered a startup for a maximum period of 10 years from the date of incorporation or registration, provided it satisfies these conditions.

To be considered an “eligible startup”, a company must fulfil certain conditions laid down in Notification No. GSR 127(E) dated 19th February 2019 of the Department for Promotion of Industry and Internal Trade (DPIIT). Additional conditions may apply to avail certain benefits and reliefs under the Income Tax Act, however approval by DPIIT is a mandatory requirement to avail these benefits.

16.3 Tax Incentives for Startups

Eligible startups recognized by the Department for Promotion of Industry and Internal Trade (DPIIT) are entitled to the following tax incentives:

1. Income Tax Exemption: Exemption from income tax under Section 56(2)(viib) of the Income Tax Act.

2. Deduction: Deduction under Section 80-IAC of the Income Tax Act.

3. Carry-forward of losses and compensation for losses: Liberalised system under Section 79 for carry-forward of losses and compensation for losses. Companies eligible for benefits under the DPIIT recognition include private limited companies, limited liability partnerships (LLPs), partnership firms, and one person companies (OPCs).

16.4 Angel Tax Exemption for Startups

Angel tax is a tax paid by family companies on premium received through share issue under Section 56(2)(viib). However, startups recognized by the Department for Promotion of Industry and Internal Trade (DPIIT) can apply for angel tax exemption.

Conditions for Exemption

To qualify for the exemption, a startup must meet the following conditions:

1. Paid-up Share Capital: The combined amount of paid-up share capital and share premium must not exceed Rs 25 crore.
2. Use of funds: Startups must not invest in certain assets like houses, loans, advances etc. for seven years from the end of the last financial year.

Application for exemption

To apply for exemption, startups need to submit Form 2 return along with company details and self-declaration to DPIIT. DPIIT will forward the form to Central Board of Direct Taxes (CBDT) for approval. Startups can issue shares after filing self-declaration. CBDT will examine the application and approve or reject it after hearing.

16.5 Deduction under Section 80-IAC for Eligible Startups

Eligible startups can claim 100% deduction of profits and income for three consecutive assessment years of 10 years, starting from the year of incorporation or registration.

Definition of Eligible Startups

The definition of eligible startups differs in DPIIT notification and Section 80-IAC. The main

differences are:

a) Incorporation: DPIIT allows companies, LLPs, partnership firms, whereas Section 80-IAC allows only companies and LLPs.
b) Date of Incorporation: Section 80-IAC requires incorporation between 1 April 2016 and 31 March 2025.
c) Eligible Enterprises: Both the definitions require innovation, development or improvement of a product, process or service.
d) d) Turnover: Both definitions require turnover not to exceed Rs 100 crore.
e) Reorganization: Both definitions prohibit formation by dividing or reorganizing an existing company.

How to claim the deduction:

To claim the deduction under Section 80-IAC, an eligible startup needs to:

a) Contact DPIIT using Form 1 and obtain a certificate from the Inter-Ministerial Certification Committee.
b) File the inspection report electronically using Form 10CCB.
c) Claim the deduction in your return of income. Revocation of Certificate

DPIIT can revoke the certificate if it is found that the startup obtained the certificate based on false information.

Review and Filing Requirements

Taxpayers must:

a) get their books of business audited by an auditor.
b) submit the audit report electronically in Form 10CCB.
c) file their income tax return on time.

16.6 Meaning of Sale of Scientific Research Asset

Scientific research assets refer to tangible or intangible assets (like equipment, machines, or software) that are used exclusively for the purpose of scientific research. These assets often qualify for deductions under Section 35 of the Income Tax Act, 1961, which promotes research and development activities.

When these assets are no longer needed or are sold, the proceeds from their sale must be accounted for under tax rules. The treatment depends on whether the asset was used for scientific research throughout or was later used for business purposes.

16.7 Tax Treatment of Sale of Scientific Research Asset

There are **two main scenarios**:

1. Asset Sold Without Being Used for Any Other Purpose

- If a scientific research asset is sold **without being used for any other business purpose**, then:
  - The entire cost of the asset would have been claimed earlier as a **deduction under Section 35**.
  - Therefore, the **sale proceeds are treated as business income** in the year of sale.
  - **Capital gains do not apply** in this case since the cost was already deducted.

2. Asset First Used in Business, Then Sold

- If the asset, after being used for scientific research, is later used in the regular business and then sold:
  - The **actual cost of the asset is considered 'nil'** because it was already deducted.
  - The **full sale value** is treated as **short-term capital gain**.

Tax Planning Strategies

To minimize the tax impact when selling scientific research assets, taxpayers can consider the following:

i. Timing of Sale

- If possible, **defer the sale** to a year where business income is lower or where there are **carry-forward losses**, which can offset the gain.

ii. Utilize Set-Off of Losses

- Any **brought forward business losses** or depreciation can be used to **reduce the taxable business income** arising from the sale.

iii. Proper Documentation

- Maintain clear records showing that the asset was used exclusively for scientific research. This helps ensure proper classification of the income (business vs. capital gains).

iv. Avoid Dual Use

- If tax deduction under Section 35 was claimed, it is better not to use the asset later in the business unless necessary, to avoid complications in tax treatment and potential capital gains.

16.8 Recalculation of Profits

Tax auditors may recalculate profits in certain circumstances, such as:

16.8.1 Transactions between units owned by the assessee.

16.8.2 Transactions with other parties that produce more than ordinary profits.

16.9 Limitation on double deduction

No deduction will be allowed for the same income under any other provision of Chapter VI-A.

Corporate tax rate reduced to 22% for domestic companies and 15% for new domestic manufacturing companies.

The Government of India has made significant changes to the corporate tax rates to stimulate economic growth and investment. Since September 2019, domestic companies can now pay income tax at 22% unless they claim for any exemption or incentive. This translates to an effective tax rate of 25.17%, including surcharge and penalty. In addition, these companies do not have to pay minimum alternative tax[1].

New domestic manufacturing companies incorporated after October 1, 2019 can enjoy an even lower tax rate of 15% under certain conditions. These companies must commence production by March 31, 2023 and will not be eligible for any exemptions or incentives. The effective tax rate will be 17.01% inclusive of surcharge and penalty.

16.10 Other significant changes:

Reduction in alternative minimum tax rate: Companies still claiming for exemption or incentive will see their alternative minimum tax rate reduced from 18.5% to 15%.

Capital gains relief: The enhanced surcharge will not be applicable on capital gains arising from sale of ordinary shares or securities benefiting individuals, HUFs, AOPs, BOIs, AJPs and Foreign Portfolio Investors (FPIs).

Exemption from tax on share buybacks: Listed companies that announced share buybacks before July 5, 2019 will not be taxed on these transactions.

Expanded scope of CSR: Companies can now allocate CSR funds to incubators, publicly funded universities and research institutes to promote research in science, technology, engineering and medicine.

16.11 To Sum Up

The Department for Promotion of Industry and Internal Trade (DPIIT) is a government agency responsible for promoting domestic trade and facilitating business in India. A startup is defined as an entity that meets certain criteria, including being incorporated in India, having an annual turnover of less than Rs 100 crore, and working towards innovation. Eligible startups can claim tax benefits, including a 100% deduction of profits and income for three consecutive assessment years under Section 80-IAC.

To avail these benefits, startups must obtain certification from the Inter-Ministerial Certification Committee by submitting Form 1. They must also file their audit report electronically using Form 10CCB. The corporate tax rate has been reduced to 22% for domestic companies and 15% for new domestic manufacturing companies. Additionally, the alternative minimum tax rate has been reduced to 15%. These changes aim to stimulate economic growth and investment in India.

16.12 Some Key Words

Startup: A newly formed business that aims to develop and sell a unique product or service.

DPIIT (Department for Promotion of Industry and Internal Trade): A government agency responsible for promoting domestic trade and facilitating business in India.

Angel Tax: A tax paid by startups on investments received from angel investors.

Section 80-IAC: A tax deduction available to eligible startups, allowing them to claim 100%

deduction of profits and income for three consecutive assessment years.

Eligible Startup: A startup that meets certain criteria, including being incorporated in India, having an annual turnover of less than Rs 100 crore, and working towards innovation.

Inter-Ministerial Certification Committee: A committee that certifies eligible startups for tax benefits.

Form 1: An application form submitted to DPIIT for certification as an eligible startup.

Form 10CCB: A form used to file the audit report electronically.

Corporate Tax Rate: The tax rate applicable to companies, currently 22% for domestic companies and 15% for new domestic manufacturing companies.

Alternative Minimum Tax (AMT): A minimum tax rate applicable to companies claiming exemptions or incentives, currently 15%.

16.13 Assignment Question

1. Explain tax incentive for start up business.

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2. Discuss angel tax exemption for start up.

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3. Discuss deduction under section 80-IAC.

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4. Discuss meaning and tax treatment of sale of scientific research asset..

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5. Discuss recalculation of profit and limitation of double deduction.

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16.14 Objective Types of Question

1. Startups recognized by _____ can avail tax benefits under Section 80-IAC.
   Answer: DPIIT (Department for Promotion of Industry and Internal Trade)
2. Section _____ of the Income Tax Act provides a 3-year tax holiday for eligible startups.
   Answer: 80-IAC
3. The concessional corporate tax rate under Section 115BAA is _____**%** (excluding surcharge and cess).
   Answer: 22%
4. The deadline to incorporate a startup to claim Section 80-IAC benefit is _____ (current cutoff, subject to amendment).
   Answer: 31st March 2025
5. A domestic company opting for Section 115BAA is **not eligible** to claim _____ and other deductions.
   Answer: Chapter VI-A deductions
6. The total turnover of a startup should not exceed _____ **crore** in any previous year to qualify under Section 80-IAC.
   Answer: 100
7. Under Section 80-IAC, the startup must be incorporated as a company or _____ to claim benefits.
   Answer: LLP (Limited Liability Partnership)
8. Startups are taxed at _____**%** if they opt for Section 115BAB (for new manufacturing companies).
   Answer: 15%
9. ESOPs issued by eligible startups get deferred tax on perquisite value under Section _____.
   Answer: 192(1C)

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